



IAG – RAC Insurance

MN-65005

Phase 2 Determination

Acquisition must not be put into effect

Statement of Reasons

22 September 2026

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CONFIDENTIALITY STYLES

IAG confidential information

RACI confidential information

IAG and RACI confidential information

Third party confidential information

1. Determination

- 1.1. On 3 March 2026, Insurance Australia Group Limited (**IAG**) lodged a notification in respect of IAG's proposal to acquire 100% of the issued share capital in RAC Insurance (**RACI**) from RACI Pty Ltd, a wholly owned subsidiary of the Royal Automobile Club of Western Australia Inc (**RAC**) (the **Acquisition**) with the Australian Competition and Consumer Commission (**ACCC**).
- 1.2. When an acquisition is notified in accordance with the *Competition and Consumer Act 2010* (Cth) (the **Act**), the ACCC may determine that a notified acquisition may be put into effect or must not be put into effect. A determination that an acquisition may be put into effect may include conditions. The ACCC must not determine that an acquisition must not be put into effect unless certain statutory requirements are met, including that the ACCC is satisfied that the acquisition, if put into effect, would, in all the circumstances, have the effect, or be likely to have the effect, of substantially lessening competition in any market.¹
- 1.3. On 16 April 2026, the ACCC decided the Acquisition would be subject to a Phase 2 review and subsequently released a Notice of Competition Concerns on 25 May 2026 in accordance with section 51ABZK of the Act.
- 1.4. The ACCC has determined under section 51ABZE(1) of the Act that the Acquisition must not be put into effect. The ACCC is satisfied that the Acquisition, if put into effect, would in all the circumstances, have the effect, or be likely to have the effect, of substantially lessening competition in a market.

Applications for review

- 1.5. The notifying party, or other person who has been allowed to do so by the Australian Competition Tribunal, may apply for review if they are dissatisfied with the determination. Pursuant to section 100C of the Act, applications for review of the determination are to be made to the Australian Competition Tribunal before the end of 14 calendar days after this Statement of Reasons was included on the ACCC's acquisitions register. To confirm whether there has been any application for review, please contact the Australian Competition Tribunal.

Public benefit application

- 1.6. The notifying party may also apply to the ACCC for a determination that the acquisition would be of public benefit. Pursuant to section 51ABZP(2) of the Act, this application must be made no later than 21 calendar days after the ACCC made this Phase 2 determination.

Determination made by a division of the Commission constituted by a direction issued pursuant to section 19 of the Act

¹ Section 51ABZE(2)(c) of the Act.

2. Summary

- 2.1. On 18 June 2025, Insurance Australia Group Limited (**IAG**) sought informal clearance from the Australian Competition and Consumer Commission (**ACCC**) in respect of IAG's proposal to acquire 100% of the issued share capital in RAC Insurance (**RACI**) from RACI Pty Ltd, a wholly owned subsidiary of the Royal Automobile Club of Western Australia Inc (**RAC**) (the **Acquisition**). On 11 December 2025, the ACCC announced it opposed the Acquisition.
- 2.2. Following the ACCC's opposition, IAG elected to notify the Acquisition under the new formal merger regime, which commenced on 1 January 2026. IAG lodged a notification with the ACCC in respect of the Acquisition. The effective notification date was 3 March 2026.
- 2.3. On 16 April 2026, the ACCC decided the Acquisition would be subject to a Phase 2 review and subsequently released a Notice of Competition Concerns on 25 May 2026.² The ACCC published a summary of the Notice of Competition Concerns on the Acquisitions Register on 25 May 2026.³
- 2.4. For the reasons described below, the ACCC has determined that the Acquisition must not be put into effect.
- 2.5. Currently, RACI underwrites and distributes motor vehicle insurance and home and contents insurance under the RAC brand in Western Australia. It is the largest insurer in these markets with a market share over 50% in motor vehicle insurance and almost 40% in home and contents insurance.
- 2.6. RACI places significant weight on the relationships it has with its customers as well as its repairers. RACI competes strongly with competitive pricing and high-quality service, including customers' claims experiences. It has also fostered strong working relationships with repairers.
- 2.7. IAG is one of the two largest general insurers in Australia and is also a strong insurer in Western Australia. It has a well-known brand in NRMA, strong IT capabilities, and access to capital.
- 2.8. A key consideration in this assessment is the likely position and competitiveness of RACI in the absence of the Acquisition. While RACI is likely to face increased expenses in the future, including higher claims costs, technology costs, and regulatory costs, the ACCC's assessment is that these will not impact RACI's financial and capital position to an extent that RACI would not continue to be an effective competitor in the counterfactual.
- 2.9. The ACCC's assessment of the evidence is that RACI will continue to compete vigorously and effectively in the supply of motor vehicle insurance and home and contents insurance in Western Australia in the future without the Acquisition. The ACCC considers that RACI has a strong financial position, is appropriately and adequately managing its capital position, reinsurance program and concentration risk, and is well placed to manage these and other industry challenges in the future without the Acquisition.

² ACCC, *Phase 2 Decision*, 16 April 2026. 65005.001.057.0001; ACCC, *Notice of Competition Concerns*, 25 May 2026. 65005.001.056.0001.

³ ACCC, *Notice of Competition Concerns – Summary*, 25 May 2026. 65005.001.054.0001.

- 2.10. The Acquisition would combine these two large insurers, leaving the merged entity with overall market shares of approximately 55–65% in motor vehicle insurance and approximately 50–60% in home and contents insurance in Western Australia.
- 2.11. The Acquisition would eliminate the competitive pressure that RACI and IAG impose on each other in relation to price, coverage, service quality and commercial arrangements with repairers.
- 2.12. The ACCC carefully considered the level of competition provided by other insurers in Western Australia, including established insurers Suncorp, Allianz, and QBE, and mid-tier insurers Auto & General, Youi, and Hollard. The ACCC found that although there are multiple alternate insurers in Western Australia, there is still likely to be a significant loss in competition from the Acquisition. Most rival insurers have had considerable difficulty promoting their brand and growing their share in Western Australia, in part due to the difficulty in acquiring and retaining customers in that market as well as the fact that customers consider RACI's product and quality offering to be superior. Accordingly, the ACCC does not consider that any expansion by insurers currently operating in Western Australia would be sufficient to offset the loss in competition caused by the Acquisition.
- 2.13. The ACCC does not consider that timely and sufficient entry to competitively constrain the merged entity post-Acquisition is likely. Establishing a new brand, setting up a supply chain (including a network of assessors and repairers) and accessing claims data to assist with pricing are key obstacles. Following that, a new entrant would need to attract a sufficient customer base to achieve scale and compete effectively with the merged entity. New entrants will also face the same challenges in growing their brands, such as acquiring and retaining customers at scale, that are faced by the existing competitors in Western Australia.
- 2.14. In its assessment, the ACCC considered whether the Acquisition would allow the merged entity to restrict competing insurers' access to repair services, but did not find it had sufficient evidence to be satisfied that the merged entity would have the ability and incentive to engage in such conduct.
- 2.15. The ACCC also considered whether the merged entity would likely have the ability and incentive to exercise monopsony power in the acquisition of smash repair services in certain regions of Western Australia. The ACCC considered whether the merged entity could reduce its repair costs by reducing the quality of repair services acquired and subsequently, the quality-adjusted volume of repairs acquired below competitive levels. However, based on the material before it, the ACCC did not find it had sufficient evidence to be satisfied that the merged entity would likely have the ability and incentive to engage in such conduct.
- 2.16. For the reasons set out above, the ACCC is satisfied that the Acquisition, if put into effect, would, in all the circumstances, be likely to have the effect of substantially lessening competition in each of the motor vehicle insurance and home and contents insurance markets in Western Australia and has determined that the Acquisition must not be put into effect.
- 2.17. The ACCC's satisfaction is based on it having made a single evaluative judgement as to the likely effect of the Acquisition, having regard to the statutory framework, the evidence and submissions before it, the interests of consumers, and the object of the Act.

3. The Acquisition and the Parties

The Acquisition

- 3.1. IAG proposes to acquire 100% of the issued share capital in RACI from RACI Pty Ltd, a wholly owned subsidiary of RAC, pursuant to a share sale deed dated 15 May 2025.
- 3.2. Upon completion of the Acquisition, it is proposed that RACWA Holdings Pty Ltd (**RACWAH**), a wholly owned subsidiary of RAC, and RACI (which would be owned by IAG), will enter into an exclusive 20-year distribution alliance and brand licensing agreement, under which RACWAH will continue as distributor of the general insurance products issued by RACI to RAC members in Western Australia under the RAC brand (**Distribution Agreement**).
- 3.3. Total consideration is approximately \$1.35 billion comprising \$400 million for the Acquisition and \$950 million for the Distribution Agreement. In addition, **[Confidential - Redacted]**. **[Confidential - Redacted]**.⁴
- 3.4. The Acquisition would result in IAG underwriting motor vehicle insurance and home and contents insurance under the RAC brand. Products currently distributed by RAC under other underwriting arrangements (i.e., travel insurance, health insurance and life insurance) are excluded from the Acquisition, with the option for IAG to make an offer to supply these insurance products following expiry of their existing arrangements.
- 3.5. The Acquisition does not involve RAC's roadside assistance business or its other operations including RAC's auto servicing and repair services, finance, retirement living, home security, batteries, tyres, travel and tourism operations. These businesses would continue to be independently operated by RAC and are not affected by the Acquisition.
- 3.6. IAG's stated rationale for the Acquisition is that it is an opportunity for it to:
- bring increased resilience and sustainability to the general insurance offering of RAC and greater access to global capital to the RACI business, which will benefit policyholders generally, and in the event of a catastrophic insurance event, in particular; and
 - create a more balanced national presence in IAG's personal lines general insurance business by expanding outside its foundations in New South Wales, the Australian Capital Territory and Victoria.⁵
- 3.7. RAC submits that **[Confidential - Redacted]**⁶
- 3.8. On 18 June 2025, IAG sought informal clearance from the ACCC to acquire RACI from RAC. On 11 December 2025, the ACCC announced it opposed the Acquisition.

⁴ **[Confidential - Redacted]**.

⁵ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, pp. 19-20, para. 67(a)-(b). 65005.001.005.0849.

⁶ **[Confidential - Redacted]**.

- 3.9. Following the ACCC's opposition, the Parties elected to notify the Acquisition under the new formal merger regime, which commenced on 1 January 2026. The effective notification date was 3 March 2026.

The acquirer – IAG

- 3.10. IAG is an ASX-listed (**ASX: IAG**) general insurance company operating in Australia and New Zealand. As of 30 June 2026, IAG had 7.3 million direct customers across Australia and New Zealand.⁷
- 3.11. IAG provides a range of personal and commercial insurance products in Australia directly under its owned brands, including NRMA, Swann Insurance, ROLLiN', Cylo and Lumley Special Vehicles. Through its joint venture business, Insurance Manufacturers of Australia Pty Limited, IAG provides personal lines insurance in Victoria distributed by its joint venture partner RACV.
- 3.12. In addition, IAG provides intermediated insurance through brokers, authorised financial representatives, institutions and agents under the CGU and WFI brands. IAG also underwrites insurance products distributed by financial institutions, including Bendigo and Adelaide Bank, People's Choice Bank and, since 2023, ANZ Bank.
- 3.13. On 22 May 2025, the ACCC decided not to oppose IAG's acquisition of RACQ Insurance Limited (**RACQ**) from The Royal Automobile Club of Queensland Limited. Following that acquisition, RACQ distributes general insurance products underwritten by IAG.
- 3.14. For the financial year ended 30 June 2026, IAG's personal lines insurance business, Retail Insurance Australia, reported approximately \$10.3 billion in gross written premiums and net profit after tax of approximately \$769 million.⁸

The target – RACI

- 3.15. RAC is a Western Australian based member-owned mutual association (and, effective from 26 June 2026, a company limited by guarantee) that provides roadside assistance, general insurance products, and other ancillary services to its members.
- 3.16. RACI underwrites motor vehicle insurance and home and contents insurance for RAC.
- 3.17. RAC distributes other personal lines of general insurance underwritten by third party insurers. Namely:
- travel insurance underwritten by Tokio Marine & Nichido Fire Insurance Co. Ltd
 - health insurance underwritten by HCF
 - life insurance underwritten by NobleOak Life Limited, and
 - pet insurance underwritten by IAG.

⁷ IAG, [IAG Appendix 4E Annual Report FY26](#), 13 August 2026, p. 7.

⁸ IAG, [IAG Appendix 4E Annual Report FY26](#), 13 August 2026, pp. 80-81.

- 3.18. RAC has approximately 1.3 million members.⁹ For the financial year ended 30 June 2025, RACI reported approximately \$1.5 billion in gross written premiums¹⁰ and a profit after tax of approximately **[Confidential - Redacted]**.¹¹

4. Industry background

- 4.1. Personal lines insurance products are taken out by individuals and families and include home and contents, motor vehicle, travel, and pet insurance.
- 4.2. IAG and RACI are both underwriters of personal insurance and primarily overlap in the supply of motor vehicle insurance and home and contents insurance. The Parties also overlap in the acquisition of repair services. More information about the areas of overlap between the Parties is in Section 8.
- 4.3. This section sets out a brief overview of the regulatory framework for insurance products, the ways in which insurance products are distributed, how customers select products and how insurers compete for customers, the insurers that supply insurance products including motor vehicle clubs, and the acquisition of repair services.

Regulatory framework for personal lines insurance products

- 4.4. Personal insurance is regulated as a financial service under the *Corporations Act 2001* (Cth), administered by the Australian Securities and Investments Commission (**ASIC**) and is also subject to prudential requirements under the *Australian Prudential Regulation Authority Act 1998* (Cth), regulated by the Australian Prudential Regulation Authority (**APRA**). APRA is also responsible for the administration of federal insurance legislation including the *Insurance Act 1973* (Cth).
- 4.5. Personal insurers are required to comply with various regulatory requirements, including:
- Capital adequacy requirements which require insurers to maintain sufficient capital reserves to ensure they can meet policyholder obligations and remain financially resilient under stressed conditions¹² (i.e., insurers need to be in a position to manage a high volume of claims in the wake of a major natural disaster such as an earthquake or flood), and
 - Reinsurance requirements which require insurers to manage underwriting and catastrophe risk.¹³

Distribution of personal lines insurance products

- 4.6. Insurers offer branded insurance policies to customers through a number of channels including the following:
- Direct distribution channels involve the customer purchasing an insurance policy directly from an insurance provider through one of its brands online, over the

⁹ RAC, [Annual Concise Report 2024-2025](#), 24 May 2025, p. 5.

¹⁰ IAG, [ASX Release – IAG enters strategic alliance with The Royal Automobile Club of Western Australia](#), 15 May 2025, pp. 1 and 8.

¹¹ **[Confidential - Redacted]**.

¹² APRA, [Prudential Standard GPS 110 – Capital Adequacy](#), January 2015.

¹³ APRA, [Prudential Standard GPS 230 – Reinsurance Management](#), July 2023.

phone, or at a branch. Most general insurance policies are sold through direct distribution channels.

- Intermediated/indirect channels involve insurers entering into distribution agreements or partnerships with established companies that do not underwrite insurance policies, such as supermarkets and banks. The non-insurance company then uses its platform and distribution channels to facilitate the sale of general insurance products by the insurer.
- Brokers provide advice and options to the prospective policyholder, and arrange appropriate policies through insurers.
- Comparison websites and aggregators act as a third-party intermediary between insurers and customers searching for insurance products online. Comparison websites active in Australia include Compare the Market, iSelect, Choosi, Canstar, and the Insurance Council of Australia's (ICA) 'find an insurer'.

- 4.7. In each case, the customer's insurance policy would be underwritten by the insurer, not the intermediary or broker.

Personal lines insurance suppliers

- 4.8. According to the ICA, around 30 different insurers offer home and contents and motor vehicle insurance to Australian customers.¹⁴

Western Australian suppliers

- 4.9. In Western Australia, suppliers of personal lines general insurance include established insurers, mid-tier insurers (sometimes referred to as "challenger" brands) and smaller insurers.
- 4.10. In addition to the Parties, the established insurers in Western Australia are Suncorp, Allianz and QBE.
- 4.11. Suncorp is an ASX-listed insurance company and the second largest general insurer in Australia after IAG. Suncorp's direct and indirect personal lines general insurance brands include Suncorp, AAMI, GIO, Bingle, Vero, Apia, CIL, Terri Scheer, and AA Insurance.
- 4.12. Allianz is a wholly owned subsidiary of the German-based financial services company, Allianz SE. Allianz is the underwriter for the following insurance brands: Allianz, TIO, Westpac, NAB, St George, RAMS, Aussie, HSBC, Bank SA, Newcastle Permanent, RAA, Kia, Hyundai, BMW, Audi, and Mazda.
- 4.13. QBE is a publicly listed insurer offering commercial, casualty and speciality, and personal lines insurance and risk management services. The majority of QBE's Australian insurance business is commercial in nature. QBE's direct and indirect personal lines general insurance brands include QBE, Australia Post, Stella, Mercedes Benz, Elders Insurance, and Kogan Insurance.
- 4.14. The mid-tier insurers, sometimes known as "challenger" brands are Auto & General, Youi and Hollard.

¹⁴ Insurance Council of Australia, [Australia's insurance industry snapshot 2025](#), 2 June 2025, p. 3.

- 4.15. Auto & General is part of the international, privately held group BHL Holdings Limited, headquartered in the United Kingdom. Auto & General's direct and indirect personal lines general insurance brands in Australia include Budget Direct, Qantas, and Coles.
- 4.16. Youi is part of the OUTsurance Group that operates in Australia, South Africa and Ireland. Youi commenced offering personal lines general insurance in Australia in 2008. It currently supplies home and contents and motor vehicle insurance in most parts of Australia under its Youi brand.
- 4.17. Hollard is owned by the Netherlands privately owned insurance business investment holding company, IVM Intersurer B.V. Hollard's direct and indirect personal lines general insurance brands in Australia include Hollard, CBA, Real Insurance, Everyday Insurance (Woolworths), Bupa, Australian Seniors, and Steadfast.
- 4.18. Other insurers operating in Western Australia include Adica (motor vehicle insurance only), Chubb (home and contents insurance only) and Zurich.

Motoring clubs in Australia

- 4.19. Motoring clubs have a long history of supplying motor vehicle insurance and other personal lines of general insurance as well as other member services, such as roadside assistance.
- 4.20. Currently, there are two motoring clubs that underwrite and supply insurance products to customers in Australia – RACI in Western Australia and the Royal Automobile Club of Tasmania (**RAC**T).
- 4.21. RACT acquired its insurance business back from Suncorp in 2021 and is currently the underwriter and supplier of insurance products in Tasmania. From 2007 to 2021, the RACT insurance business was operated as a 50:50 joint venture between RACT and Suncorp.
- 4.22. The other state-based motoring clubs do not currently underwrite insurance products and tend to have long-term exclusive distribution arrangements with an insurer. In particular:
 - New South Wales and Australian Capital Territory: The motoring club NRMA demutualised in 2000, separating its road services and insurance operations, and listed its insurance business on the ASX (later becoming IAG).
 - Victoria: In 1999, NRMA entered a joint venture with motoring club RACV, where NRMA (now, IAG) underwrites RACV-branded home and contents and motor vehicle insurance across Victoria, while RACV manages distribution and member engagement.
 - Queensland: In May 2025, the ACCC announced that it would not oppose IAG's proposed acquisition of a 90 per cent interest in RACQI, Queensland's motoring club insurance business. The deal included a 25-year exclusive distribution agreement for RACQ to sell insurance underwritten by IAG under the RACQ brand. The transaction completed on 1 September 2025.
 - South Australia: In June 2025, the ACCC announced that it would not oppose Allianz's proposed acquisition of the general insurance business of the Royal Automobile Association of South Australia (**R**AA), known as RAAI. The deal included a 20-year exclusive distribution agreement allowing RAA to sell

insurance underwritten by Allianz under the RAA brand. On 1 July 2025, Allianz completed its purchase of RAAI.

- Northern Territory: The Automobile Association of Northern Territory (**AANT**) has a long-standing partnership with CGU Insurance (acquired by IAG in 2003), where AANT distributes CGU-brand insurance as an authorised representative on behalf of CGU.

Competition in personal lines insurance products

- 4.23. For the purposes of the assessment of the Acquisition, the ACCC has focused on how insurers compete for customers in the supply of two personal lines insurance products – motor vehicle insurance and home and contents insurance.

Motor vehicle insurance

- 4.24. Motor vehicle insurance protects the policyholder (customer) against financial loss if their car is involved in an accident, is stolen or catches fire. Different levels of cover are available and typically include comprehensive cover (including damage to the car and other people's cars in an accident including where it is the driver's fault as well as other types of damage and theft), compulsory third party (CTP) and fire and theft damage (covering damage to other people's cars in an accident, and damage caused by fire or theft).
- 4.25. Customers choose their insurer for motor vehicle insurance depending on a number of factors including price, coverage/policy features (including what types of events are covered, exclusions, and the excess payable on a claim), and the brand or reputation of an insurer (including customers' expectations, often based on their own previous interactions and claims experiences, of how the insurer will respond in the event the customer makes a claim and the claims handling experience).
- 4.26. Customers typically consider the following specific elements when selecting an insurance product:¹⁵
- Comprehensive or third-party insurance – customers will select whether they want to insure their motor vehicle for all accidents and damage or whether they only want insurance that covers damage that they cause to another person's motor vehicle or property while driving or damage to their vehicle from fire or theft.¹⁶
 - Agreed versus market value – customers will select whether they want insurance up to an agreed value (i.e. a specific amount) or at market value (i.e. the value of the vehicle at the time of the accident, determined by the insurer).
 - Choice of repairer – customers can select whether they choose where the motor vehicle is repaired or use the insurer's repairer in the event of accident.
 - Premium and discounts – customers pay an annual or monthly premium with potential discounts including when they do not claim (no claim bonus), when they have multiple policies with the same insurer (multi-policy discount) and

¹⁵ Australian Government, [Choosing car insurance](#), Moneysmart website, 10 August 2026.

¹⁶ Third party insurance is a broader term that covers a number of elements. Compulsory third party insurance is mandatory in Australia and this covers liability for personal injury or death caused to other people in a motor vehicle accident. Third party property insurance covers damage caused by the insured driver to another person's vehicle or property. Third party fire and theft insurance covers both theft of the insured vehicle and fire damage of the insured vehicle.

when they drive less regularly (low kilometres discount). The premium is linked to the excess selected.

- Excess – customers typically pay an excess when making a claim on the insurance policy, usually on a sliding scale. The excess can be \$0 when the accident is not the insured person's fault. The excess is linked to the premium paid, and a customer can choose a higher premium as a trade-off for a lower excess.

4.27. Typically, motor vehicle insurance contracts last for one year, at which point the insurer makes the customer an offer to renew their policy for another year. Customers may choose to accept the insurer's offer, switch to an alternative insurer, or negotiate with their existing insurer over the price and terms (perhaps with the benefit of having obtained quotes from other insurers).

4.28. CHOICE insurance surveys from 2025 show that the cost of living is currently an important element affecting customers' choice, with 'value for money' being at the forefront of customer minds and a key reason for selecting an insurer.¹⁷ Another aspect important to customers is the claims experience.¹⁸

4.29. Insurers rely on premium income to cover the cost of reinsurance, underwriting expenses, and operating expenses.¹⁹ Insurers seek to maximise their profits by maximising their underwriting margin by attracting new customers as well as competing to retain existing ones.

4.30. Insurers can compete for customers across a number of aspects including:

- Price – this includes the upfront premium paid by the customer, and any discounts available to the customer, for example a discount for purchasing multiple insurance products, for being a new customer or for being a 'good risk' as the customer has no claims history.
- Policy coverage – insurers may set limits such as the maximum value of the asset the insurer recognises. Insurers may also include different levels of cover for certain events, and features such as whether customers can choose their repairer, and whether they are covered for certain losses (e.g. personal valuable cover, accidental damage, etc.) Insurers may also adopt a particular stance to claims and how they will approach the interpretation of coverage in policy documents.
- Quality of service – insurers also have the ability to control their quality of service. This includes the claims handling process and how quickly the insurer can manage and pay out claims, as well as dispute handling procedures and more general customer services standards.
- Marketing – insurers typically increase marketing spend/share of voice to grow brand awareness and encourage switching when seeking to grow customer numbers.

¹⁷ CHOICE, [CHOICE car insurance survey: RAA car insurance takes out top spot again](#), 12 May 2025.

¹⁸ CHOICE, [CHOICE car insurance survey: RAA car insurance takes out top spot again](#), 12 May 2025.

¹⁹ Insurance Council of Australia, [Australia's insurance industry snapshot 2025](#), 2 June 2025, p. 1.

- 4.31. Each insurer's ability to compete on these aspects will be determined by a range of factors including:
- Its funding position, including the costs the insurer faces to meet its claims obligations and fund improvements to its offer, such as through price reductions, coverage improvements and marketing.
 - Its claims and support capability, including the infrastructure the insurer has to handle claims, arrange repairs and respond to customer needs.
 - Its technical capability, including access to new technologies which can help improve risk assessment, claims processing and customer experience.²⁰ Current technological trends influencing the insurance industry include artificial intelligence, blockchain, cybersecurity, embedded insurance, quantum computing, and regulatory technology.²¹
- 4.32. Insurers decide whether and when to compete for new customers and/or grow market share depending on various factors including their financial position and other capabilities, and can increase marketing spend, reduce prices, increase coverage and/or service quality in an attempt to do this.
- 4.33. An insurance brand can signal attributes of its offer that are not directly observable to customers at the point of purchase, for example, claims handling, a critical element of the customer experience. An insurer builds a reputation over time for how well or poorly it handles claims with its reputation encapsulated in the relevant brand. An insurance brand may itself therefore signal a range of attributes not otherwise apparent to a customer considering a quote.

Home and contents insurance

- 4.34. Home and contents insurance includes home (building) insurance, contents insurance, combined home and contents insurance, landlord insurance, renters' contents insurance, and strata insurance.
- 4.35. Home insurance typically covers the cost to repair or rebuild a home if it is damaged or destroyed by a covered incident, for example fire, water damage from leaks, floods and storms, and theft and vandalism, up to the sum insured. Policies may additionally cover accommodation expenses if the home is unliveable.
- 4.36. Contents insurance typically covers the cost of replacing items in a policyholder's home, for example furniture, clothing, jewellery and electronics, which may be damaged in weather events such as floods, storm and storm surge, fire, leaks, and theft and vandalism. Some insurers also offer portable contents insurance, which covers items such as laptops, sunglasses and jewellery, which may be carried with the owner and lost or stolen while they are out.

²⁰ Insurtech, [Insurtech Australia Market Report March 2025: Insurtech Down Under – Trends, Tech and Triumphs](#), 15 October 2025, p. 16.

²¹ Insurtech, [Insurtech Australia Market Report March 2025: Insurtech Down Under – Trends, Tech and Triumphs](#), 15 October 2025, p. 16.

- 4.37. As set out above in relation to motor vehicle insurance, for home and contents insurance, customers will consider specific elements when selecting an insurance product:²²
- Coverage – customers can choose a policy to address identified insured events. Typically, insurers cover for most common events (such as fire, storms, theft and burglary and water damage) but some events such as floods, bushfires and cyclones may not be automatically included (and in some regions, may not be insurable events).
 - Sum insured – customers can select what they consider the estimated rebuild cost of their home is as well as the estimated replacement cost of the contents.
 - Premium and discounts – customers pay an annual premium each year with potential discounts available including for when they do not claim or have a good claims history (no claim bonus), have multiple policies with the same insurer (multi-policy discount) or when there is a lower risk as the customer works from home often or has security systems in place (lower risk discount). The premium is linked to the excess selected.
 - Excess – customers typically pay an excess when making a claim on the insurance policy, usually on a sliding scale. The excess is linked to the premium paid – generally, the higher the excess, the lower the premium paid.
- 4.38. As with motor vehicle insurance contracts, home and contents insurance contracts are typically one year in duration. Customers will then decide whether to renew or move to another insurer.
- 4.39. CHOICE insurance surveys from 2025 show that the cost of living is currently an important element affecting customers' choice, with 'value for money' being at the forefront of customer minds and a key reason for selecting an insurer.²³ Another aspect important to customers is the claims experience.²⁴
- 4.40. As with motor vehicle insurance, insurers compete across a number of metrics including price, policy coverage, quality of service, and, in terms of attracting customers, marketing spend which increases brand awareness/share of voice, which generally leads to increases in the policies written. Insurers will make decisions on when to compete for new customers and attempt to grow market share based on their funding position, and other capabilities.

Acquisition of repair services

- 4.41. Insurers acquire repair services as inputs to the supply of personal insurance. For motor vehicle insurance, these services include smash repair services and windscreen repair and replacement services. For home and contents insurance, these services include building repair services.
- 4.42. Insurers generally acquire these services on a local basis through a series of non-exclusive arrangements with various third-party providers, typically local independent operators. However, some repair services are obtained through regional and national arrangements with providers such as O'Brien, Drive Group, and AMA Group, or national contractors who subcontract to local providers.

²² Australian Government, [Choosing home insurance](#), Moneysmart website, 15 July 2026.

²³ CHOICE, [CHOICE home insurance survey: RACQ in top spot for customer experience again](#), 12 May 2025.

²⁴ CHOICE, [CHOICE home insurance survey: RACQ in top spot for customer experience again](#), 12 May 2025.

- 4.43. Insurers tend to have arrangements with preferred partner repairers and independent repairers. The arrangements are typically on a non-exclusive basis.

5. IAG's Notification and the assessment process

Notification lodgement and timeline

- 5.1. IAG notified the Acquisition on 3 March 2026.
- 5.2. On 16 April 2026, the ACCC decided the Acquisition would be subject to a Phase 2 review and subsequently released a Notice of Competition Concerns (**NOCC**) on 25 May 2026 in accordance with section 51ABZK of the Act.
- 5.3. On 26 June 2026, the ACCC decided to extend the Phase 2 determination period by 20 business days under section 51ABZZE(2)(c) as IAG's response to a section 155 notice was incomplete. The end of the determination period is 23 September 2026.

Market engagement and information gathering

- 5.4. Over the course of its assessment, the ACCC has engaged with, and received substantive submissions and information from IAG, RACI, RAC, third party insurers, smash repairers, industry associations, APRA and other interested parties.
- 5.5. In doing so, the ACCC gathered information on both a voluntary and compulsory basis including:
- sending voluntary requests for information and documents;
 - issuing compulsory notices seeking the provision of information and production of documents under sections 155(1)(a) and (b) of the Act;
 - conducting voluntary interviews; and
 - conducting compulsory examinations of individuals under section 155(1)(c) of the Act.
- 5.6. To assist it with assessing the Acquisition, the ACCC also sought expert opinions from:
- Dr Jeffrey Carmichael, who prepared expert reports dated 21 May 2026 (**Carmichael Report**)²⁵ and 19 August 2026 (**Supplementary Carmichael Report**);²⁶ and
 - Patrick Smith, Partner at RBB Economics, who prepared expert reports dated 22 May 2026 (**Smith Report**)²⁷ and 19 August 2026 (**Supplementary Smith Report**).²⁸

²⁵ ACCC, IAG and RAC Insurance (Report of Dr. Jeffrey Carmichael AO), 21 May 2026. 65005.001.037.0001.

²⁶ ACCC, IAG and RAC Insurance (Supplementary Report of Dr. Jeffrey Carmichael AO), 19 August 2026. 65005.001.052.0001.

²⁷ ACCC, IAG and RAC Insurance (Report of Patrick Smith, RBB Economics), 22 May 2026. 65005.001.051.0001.

²⁸ ACCC, IAG and RAC Insurance (Supplementary Report of Patrick Smith, RBB Economics), 19 August 2026. 65005.001.050.0001.

5.7. The ACCC has engaged with IAG and RAC during its assessment, including but not limited to:

- considering IAG's initial submission with the notification together with an expert report prepared by Jason Ockerby, an economist at CEG, dated 3 March 2026 (**First Ockerby Report**),²⁹ and two witness statements from the Chief Executive Officer (**CEO**) of NRMA³⁰ and the Chief Financial Officer (**CFO**) of Retail Insurance Australia, dated 3 March 2026 and 27 February 2026;³¹
- considering RAC's initial submission, an expert report from Mozammel Ali of Theorem Consulting (**First Ali Report**)³² dated 26 February 2026, and three witness statements of:
 - the CEO of RAC dated February 2026;³³
 - the CFO of RAC dated 27 February 2026;³⁴ and
 - the CEO of RACI dated 26 February 2026;³⁵
- meeting with Jason Ockerby on 30 April 2026 and Mozammel Ali on 1 May 2026 and 26 June 2026;
- considering IAG's response to the NOCC dated 1 July 2026, and the accompanying:
 - proposed Remedy Offer;³⁶
 - second report from Jason Ockerby from CEG dated 1 July 2026 (**Second Ockerby Report**);³⁷ and
 - witness statement from the Chief Transformation Officer of Retail Insurance Australia dated 1 July 2026;³⁸
- considering RAC's response to the NOCC dated 1 July 2026 and the accompanying second report from Mozammel Ali of Theorem Consulting (**Second Ali Report**),³⁹ the witness statement of a Reinsurance Broker from Aon⁴⁰ dated 30 June 2026, and the further witness statements from the CFO of RAC⁴¹ and the CEO of RACI dated 30 June and 1 July 2026;⁴²

²⁹ IAG, Jason Ockerby (CEG) Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 3 March 2026. 65005.001.005.1024.

³⁰ [Confidential - Redacted].

³¹ [Confidential - Redacted].

³² RAC, Mozammel Ali (Theorem Consulting) Report for HSF Kramer regarding IAG's proposed acquisition of RAC Insurance, 26 February 2026. 65005.001.005.1203.

³³ [Confidential - Redacted].

³⁴ [Confidential - Redacted].

³⁵ [Confidential - Redacted].

³⁶ IAG, Proposed Undertaking – Annexure A: Formal commitments offer, 1 July 2026. 65005.001.022.0041.

³⁷ IAG, Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026. 65005.001.022.0044.

³⁸ [Confidential - Redacted].

³⁹ RAC, Supplementary Mozammel Ali (Theorem Consulting) Report for HSF Kramer regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026. 65005.001.021.0848.

⁴⁰ [Confidential - Redacted].

⁴¹ [Confidential - Redacted].

⁴² [Confidential - Redacted].

- considering material provided on 24 July 2026 by RAC,⁴³ including the third witness statement of the CFO of RAC⁴⁴ and a further supplementary report of Mozammel Ali (**Third Ali Report**);⁴⁵
 - conducting compulsory examinations under section 155(1)(c) of the Act;
 - holding a formal interview with the CEO of RACI on 27 August 2026; and
 - considering materials from IAG and RAC responding to the ACCC’s phase 2 additional information letter of 19 August 2026, including further supplementary reports dated 2 September 2026 from Mozammel Ali of Theorem Consulting (**Fourth Ali Report**)⁴⁶ and Jason Ockerby from CEG (**Third Ockerby Report**),⁴⁷ responding to the Supplementary Carmichael Report and the Supplementary Smith Report.
- 5.8. The ACCC also took into account material provided by IAG, RAC and other market participants during the ACCC’s informal review of the Acquisition in 2025.

6. The statutory framework and required ACCC decision

- 6.1. Australia’s new formal mandatory and suspensory merger control regime came into effect on 1 January 2026. The acquisition provisions in this regime apply to acquisitions of shares or assets of a corporation, as well as other types of legal rights.⁴⁸
- 6.2. Businesses that propose to give effect to an acquisition that meets the notification thresholds must notify it to the ACCC.⁴⁹
- 6.3. The ACCC is the administrative decision maker under the new formal merger regime and determines whether a notified acquisition may be put into effect or must not be put into effect.⁵⁰ A proposed acquisition is stayed until the ACCC or Australian Competition Tribunal determines that it may be put into effect.⁵¹

Substantial lessening of competition test

- 6.4. The ACCC may only determine that a proposed acquisition must not be put into effect if it is satisfied that the acquisition, if put into effect, would, in all the circumstances, have the effect, or be likely to have the effect, of substantially

⁴³ RAC, *July 2026 Letter to the ACCC*, 24 July 2026. 65005.001.034.0023.

⁴⁴ **[Confidential - Redacted]**.

⁴⁵ RAC, *Further Supplementary Mozammel Ali (Theorem Consulting) Report for HSF Kramer regarding IAG’s proposed acquisition of RAC Insurance*, 24 July 2026. 65005.001.036.0015.

⁴⁶ RAC, *Third Supplementary Mozammel Ali (Theorem Consulting) Report for HSF Kramer regarding IAG’s proposed acquisition of RAC Insurance*, 2 September 2026. 65005.001.049.0012.

⁴⁷ IAG, *Jason Ockerby (CEG) Second Reply Report for Allens regarding IAG’s proposed acquisition of RAC Insurance*, 2 September 2026. 65005.001.048.0033.

⁴⁸ Act, s 51ABB(1).

⁴⁹ Act, s 51ABO.

⁵⁰ Act, s 51ABZE(1).

⁵¹ Act, ss 51ABE and 51ABF.

lessening competition in any market.⁵² The concept of lessening competition includes preventing or hindering competition.⁵³

- 6.5. The substantial lessening of competition test (**SLC test**) requires a focus on whether the effect or likely effect on competition of a proposed acquisition is substantial. This has been interpreted to mean an effect that is real or of substance, and therefore meaningful and relevant to the competitive process.⁵⁴
- 6.6. In the context of mergers, the SLC test is a forward-looking test that ‘requires a comparison between the nature and extent of competition in the future with the acquisition and without the acquisition in any market potentially affected by the acquisition.’⁵⁵
- 6.7. As is the case in this assessment, the ACCC recognises that there may be a number of possible future scenarios absent an acquisition. The ACCC’s task is not to determine with certainty what will occur, but to assess the relative likelihood of alternative commercially realistic scenarios and the competitive conditions that would arise under each. The ACCC does not treat remote, speculative or merely theoretical possibilities as relevant counterfactuals in its assessments, although it will consider multiple plausible scenarios where that is supported by the evidence.
- 6.8. In this context, when assessing the likely effect of a proposed acquisition, the decision maker must determine whether there is a *real commercial likelihood* of a substantial lessening of competition. As explained by the Federal Court, ‘[t]he word “likely” has to be applied at a level which is commercially relevant or meaningful as must be the assessment of the substantial lessening of competition under consideration’.⁵⁶
- 6.9. The Federal Court has said that the SLC test ‘ultimately poses *one* question involving one evaluative judgment’ and that it turns on satisfaction in relation to this single evaluative judgment. Even though the exercise of determining whether the competitive effects of a transaction amount to a substantial lessening of competition involves multiple constituent inquiries, namely, identifying the futures with and without the transaction and the effects on competition of each, and then making the relevant comparison leading to answering that question.⁵⁷
- 6.10. In the context of the formal merger regime, this requires the ACCC, as the decision maker, to take into account all of the material before it, assess the weight to be given to that material and consider the potential effects on competition, both positive and negative, and the different degrees of likelihood of these effects. It is this assessment that informs the single evaluative judgement which the ACCC must make as to whether it is satisfied in all the circumstances that the proposed acquisition would have or would be likely to have the effect of substantially

⁵² Act, s 51ABZE(2)(c).

⁵³ Act, s 4G.

⁵⁴ *Australian Competition and Consumer Commission v Pacific National Pty Limited* (2020) 277 FCR 49; [2020] FCAFC 77 (**ACCC v Pacific National FFC**), [104] (Middleton and O’Byrne JJ), and the cases cited therein.

⁵⁵ *ACCC v Pacific National FFC*, [216] (Middleton and O’Byrne JJ).

⁵⁶ *Australian Gas Light Company v Australian Competition & Consumer Commission (No 3)* (2003) 137 FCR 317; [2003] FCA 1525, [348] (French J, as his Honour then was), citing *Rural Press Limited v Australian Competition and Consumer Commission* (2003) 216 CLR 53; [2003] HCA 75, [41] (Gummow, Hayne and Heydon JJ).

⁵⁷ *Australian Competition and Consumer Commission v Pacific National Pty Ltd (No 2)* [2019] FCA 669 (*ACCC v Pacific National FC*), [1276], approved by the majority in *ACCC v Pacific National FFC*, [246] (Middleton and O’Byrne JJ).

lessening competition. To be satisfied means the ACCC must have an affirmative belief about the requirements of the test in section 51ABZE(2)(c).⁵⁸

7. Parties' submissions

- 7.1. During its consideration of the Acquisition, the ACCC received a number of submissions from the Parties.
- 7.2. IAG submits the Acquisition is not likely to result in a substantial lessening of competition in any market, including in the:
- manufacture and supply of personal lines motor vehicle insurance;
 - manufacture and supply of personal lines home and contents insurance; and
 - acquisition of ancillary services.
- 7.3. IAG submits the Acquisition is not likely to substantially lessen competition in the personal lines general insurance market, nor the motor vehicle insurance or home and contents insurance market, because:
- The competitive landscape in personal lines general insurance occurs at both the underwriter level and between brands at the retail level and there is a large degree of choice for customers.⁵⁹ Brands compete for customers at the retail level, notwithstanding their shared underwriting.⁶⁰
 - RACI is not in a position to **[Confidential - Redacted]** and its recent competitive presence **[Confidential - Redacted]**.⁶¹
 - There are a number of other insurers that will continue to constrain the merged entity, including at least six competitive providers other than IAG and RACI in Western Australia.⁶²
 - Customers can and do actively switch between insurers. Customers can compare insurance products with increasing ease. Customers are also free to switch insurers at any time, generally without any additional cost and with the unused balance of their annual premium repaid to them. Switching data is consistent with customers switching between the full range of insurers.⁶³
 - Competition in personal lines general insurance is increasing nationally and in Western Australia, with most national insurers active in Western Australia.⁶⁴
 - There are strong indicators of effective competition between underwriters and brands.⁶⁵ Insurers compete to acquire new and renewed policies on a brand basis, across price and non-price factors, and to retain customers for the term of the policy held.⁶⁶

⁵⁸ See *BOY19 v Minister for Immigration and Border Protection* [2019] FCA 574, [55] (O'Bryan J), where his Honour considered the evidentiary burden of proof in the context of s 21(2)(h) of the *Australian Citizenship Act 2007* (Cth).

⁵⁹ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 27. 65005.001.005.0849.

⁶⁰ **[Confidential - Redacted]**.

⁶¹ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 27. 65005.001.005.0849.

⁶² IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 27. 65005.001.005.0849.

⁶³ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 27. 65005.001.005.0849.

⁶⁴ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, pp. 27-28. 65005.001.005.0849.

⁶⁵ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 28. 65005.001.005.0849.

⁶⁶ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 28. 65005.001.005.0849.

- Potential price effects from the Acquisition are not consistent with a substantial lessening of competition.⁶⁷ The First Ockerby Report states that the indicative price effects for the merging parties are small, **[Confidential - Redacted]** under a linear demand specification, which is not indicative of a substantial lessening of competition.⁶⁸
- The Distribution Agreement will ensure continued incentives for competitive policies. Under the Distribution Agreement, RAC will continue to be involved in the RAC branded insurance offering. It is also structured to ensure that RACI's member-centric approach is maintained⁶⁹ and **[Confidential - Redacted]**.⁷⁰
- IAG has a limited presence in Western Australia. IAG has a relatively low brand awareness and has been losing ground to various rivals due to its transition from its SGIO brand to NRMA Insurance and transitioning customers to its enterprise platform.⁷¹
- In the specific context of the Acquisition, concentration measures, such as the Herfindahl-Hirschman Index (**HHI**), are not indicative of actual competition as RACI's market share in Western Australia overstates its competitiveness and is driven by behaviour that RACI will be **[Confidential - Redacted]**.⁷²
- Barriers to entry are primarily regulatory and will not be increased as a result of the Acquisition, with large international insurers well placed to enter the market.⁷³
- The Acquisition will not create, strengthen or entrench any market power. Neither IAG nor RACI currently have a substantial degree of market power nationally or in Western Australia and the Acquisition will not result in the creation or entrenchment of a substantial degree of market power, as competitors will continue to provide effective restraint.⁷⁴
- There will be no substantial lessening of competition as a result of cumulative past acquisitions. RAC has not completed any acquisitions involving insurance businesses in the previous three years, and taking into account relevant acquisitions completed by IAG in this period will not result in a substantial lessening of competition.⁷⁵

7.4. IAG also submits the Acquisition is not likely to substantially lessen competition in the acquisition for ancillary repair services including smash repair, windscreen repair and building repair services. IAG submits that post-transaction there will be no substantial change to the dynamics of the acquisition of smash repair services. In particular:

⁶⁷ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 28. 65005.001.005.0849.

⁶⁸ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 28. 65005.001.005.0849.

⁶⁹ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 28. 65005.001.005.0849.

⁷⁰ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 75. 65005.001.005.0849.

⁷¹ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 28. 65005.001.005.0849.

⁷² IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, pp. 81. 65005.001.005.0849.

⁷³ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 29, para. 99(k). 65005.001.005.0849.

⁷⁴ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 29, para. 99(l). 65005.001.005.0849.

⁷⁵ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 29, para. 99(m). 65005.001.005.0849.

- the merged entity will continue to have an incentive to ensure the quality of repair services provided to insured customers does not decline;
- agreements with repairers are non-exclusive, do not require the provider to take a certain volume of work from IAG, or require the repairer to prioritise work from IAG;
- given IAG's limited presence in Western Australia, there will be no material increase in the merged entity's bargaining power and no significant change to the level of concentration in relation to third party service suppliers;
- to the extent that any future review of the merged entity's repair network and negotiations with providers results in improved pricing, consumers should benefit as repair costs place upward pressure on premiums;
- the merged entity will have no ability to foreclose third party insurers' access to repair services;
- there will continue to be a large number of insurer and non-insurer customers acquiring services from repair service providers; and
- as there is no restriction on the use of repair services, alternative insurers will continue to have access to these services, and access to these services is not a growth constraint.⁷⁶

7.5. In relation to the counterfactual, RACI submits **[Confidential - Redacted]** the challenges faced by the insurance industry.⁷⁷ These challenges include:⁷⁸

- RACI's capital constraints and the impact of this on **[Confidential - Redacted]**
- concentration risk⁷⁹
- rising reinsurance costs
- increased claims costs
- anticipated climate change-related challenges, including a predicted increase in extreme weather events, and
- increased regulatory oversight and costs **[Confidential - Redacted]**.⁸⁰

7.6. RACI submits that its internal documents indicate that:

- **[Confidential - Redacted]**.⁸¹
- **[Confidential - Redacted]**.⁸²
- **[Confidential - Redacted]**,⁸³ **[Confidential - Redacted]**.⁸⁴

⁷⁶ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 89, para. 276. 65005.001.005.0849.

⁷⁷ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 4, para. 14. 65005.001.005.0849.

⁷⁸ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, pp. 38-43, para. 121-129. 65005.001.005.0849.

⁷⁹ **[Confidential - Redacted]**.

⁸⁰ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, pp. 42-44. 65005.001.005.0849.

⁸¹ **[Confidential - Redacted]**.

⁸² **[Confidential - Redacted]**.

⁸³ **[Confidential - Redacted]**.

⁸⁴ **[Confidential - Redacted]**.

- 7.7. As a result of the challenges it faces, in the future without the Acquisition, RAC submits that RACI **[Confidential - Redacted]**.⁸⁵ **[Confidential - Redacted]**.⁸⁶
- 7.8. If the Acquisition does not proceed, **[Confidential - Redacted]**. RAC submits that RACI would:
- **[Confidential - Redacted]**
 - **[Confidential - Redacted]**.⁸⁷ **[Confidential - Redacted]**.⁸⁸
- 7.9. It submits **[Confidential - Redacted]**.⁸⁹
- 7.10. **[Confidential - Redacted]**, following a strategic review of RACI, RAC undertook a sale process for RACI.⁹⁰ **[Confidential - Redacted]**.⁹¹
- 7.11. The ACCC understands that the Parties' positions on each of the key issues set out in this Statement of Reasons are broadly as set out above, based on the submissions and evidence the Parties have provided. These issues, and the relevant evidence on each issue are considered in more detail in the corresponding sections of the determination below.

8. Market definition

- 8.1. Based on the material before it, the ACCC considers that the markets for the purposes of assessing the competitive effects of the Acquisition are likely to be:
- the market for the supply of motor vehicle insurance in Western Australia,
 - the market for the supply of home and contents insurance in Western Australia, and
 - markets for the acquisition of smash repair services in regions within Western Australia.
- 8.2. While the ACCC considers that these market definitions best encapsulate the competitive dynamics for the purposes of assessing the Acquisition, the ACCC considers all relevant competitive constraints in the competition assessment sections below.

Overlap between the parties

- 8.3. The ACCC's starting point for defining the relevant markets for the purposes of assessing the competitive effects of an acquisition is to identify the areas of overlap between the products actually or potentially supplied by the merger parties. The ACCC then considers other actual or potential suppliers of those products, as well as what other products constitute sufficiently close substitutes to provide a

⁸⁵ **[Confidential - Redacted]**.

⁸⁶ **[Confidential - Redacted]**.

⁸⁷ **[Confidential - Redacted]**.

⁸⁸ **[Confidential - Redacted]**.

⁸⁹ **[Confidential - Redacted]**; **[Confidential - Redacted]**.

⁹⁰ **[Confidential - Redacted]**.

⁹¹ **[Confidential - Redacted]**.

significant source of competitive pressure or constraint on the merged entity and its remaining rivals.⁹²

8.4. IAG and RACI overlap in the supply of the following types of insurance in Western Australia:

- motor vehicle insurance, including comprehensive car insurance, third party fire and theft, third party property insurance, caravan and trailer insurance, and motorcycle insurance (but excluding CTP insurance); and
- home and contents insurance, including home (building) insurance, contents insurance, combined home (building) and contents insurance and landlord insurance.

8.5. The Parties also overlap in the acquisition of repair services in certain areas of Western Australia. Repair services are inputs to the supply of insurance. For motor vehicle insurance, these services include smash repair services, and windscreen repair and replacement services. For home and contents insurance these include building repair services.

Product dimension – supply of insurance

8.6. The Parties submit that the relevant product dimension for the Acquisition is personal lines general insurance, which includes (among other products) motor vehicle insurance and home and contents insurance.⁹³

8.7. The Parties consider there is “substantial supply-side substitutability between the different personal lines insurance products.”⁹⁴ The Parties note that “[b]oth IAG and RACI manufacture and supply personal lines home insurance and personal lines motor insurance to consumers, as do most general insurers active in Australia” and “IAG generally considers both home and motor insurance together in its internal documents.”⁹⁵ The Parties also submit that “on the demand side, consumers often purchase different personal lines of insurance together and can obtain a bundled price for insurance.”⁹⁶

8.8. The ACCC considers it appropriate to identify separate product markets for each of motor vehicle insurance and home and contents insurance.

8.9. Most critically, there is no demand side substitution between motor vehicle insurance and home and contents insurance.

8.10. While most insurers supply both products, the ACCC considers that given the time and investment required to supply home and contents insurance in addition to supplying motor vehicle insurance, supplying home and contents insurance is better considered as new entry rather than supply-side substitution. Home and contents insurance is significantly more capital intensive than motor vehicle insurance. It

⁹² ACCC, [Merger assessment guidelines](#), 20 June 2025, para. A.13.

⁹³ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 21, para. 75. 65005.001.005.0849.

⁹⁴ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 21, para. 75. 65005.001.005.0849.

⁹⁵ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 26, para. 75. 65005.001.005.0849.

⁹⁶ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 26, para. 75. 65005.001.005.0849.

involves more complex risk assessment, which requires different and more extensive data to set premiums. As such, rivals in the supply of motor vehicle insurance that are seeking to move into also supplying home and contents insurance would face substantial challenges and costs.

- 8.11. Similarly, the ACCC considers that the supply of motor vehicle insurance involves establishing and managing relationships with smash repairers across relevant geographic areas, and ensuring customers' repairs are carried out promptly and at a high quality. As such, providers of home and contents insurance that are seeking to move into also supplying motor vehicle insurance would face substantial challenges and costs. Therefore, the ACCC considers that commencing the supply of motor vehicle insurance, in addition to supplying home and contents insurance, is better considered as new entry rather than supply-side substitution.
- 8.12. Although IAG considers both home and contents insurance and motor vehicle insurance in the same internal documents, the ACCC considers that IAG's internal documents still separately consider the two insurance types in those documents.⁹⁷ Some insurers similarly consider the two insurance types separately within the same document, given the differences in pricing, product attributes, targets and objectives.⁹⁸ Other insurers generally consider the two insurance types in separate documents.⁹⁹

Functional dimension – supply of insurance

- 8.13. The First Ockerby Report provides that the supply of both home and contents insurance and motor vehicle insurance involve two distinct activities – (i) the underwriting of policies, and (ii) the retail distribution of these policies.¹⁰⁰ The First Ockerby Report points out there are more brands than underwriters offering personal lines insurance in Australia and in Western Australia.
- 8.14. In particular, the First Ockerby Report provides that there are **[Confidential - Redacted]** third-party distributors of home and contents insurance in Western Australia which distribute approximately **[Confidential - Redacted]** of home and contents insurance policies in the state, and that there are **[Confidential - Redacted]** third-party distributors of motor vehicle insurance which distribute approximately **[Confidential - Redacted]** of motor vehicle policies in the state.¹⁰¹
- 8.15. While the ACCC recognises that there is a distinction between underwriters and distributors, the ACCC considers the most relevant frame of reference to assess the Acquisition is competition between underwriters. Principally, this is because the Acquisition is of an underwriting business, and both Parties are underwriters. Further, and importantly, pricing decisions (premiums) are typically made at the underwriter level, as are key decisions about coverage and claims.

⁹⁷ See, for example, **[Confidential - Redacted]**; **[Confidential - Redacted]**; **[Confidential - Redacted]**.

⁹⁸ See, for example, **[Confidential - Redacted]**; **[Confidential - Redacted]**; **[Confidential - Redacted]**; **[Confidential - Redacted]**.
⁹⁹ **[Confidential - Redacted]**.

¹⁰⁰ IAG, Jason Ockerby (CEG) Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 3 March 2026, p. 6, para. 14. 65005.001.005.1024.

¹⁰¹ IAG, Jason Ockerby (CEG) Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 3 March 2026, p. 19, table 4-4. 65005.001.005.1024.

Geographic dimension – supply of insurance

- 8.16. The Parties submit that the appropriate geographic dimension for the relevant insurance markets is national.¹⁰²
- 8.17. In support of this, the Parties submit that:
- large Australian insurers tend to have a national presence with only two state-based insurers remaining being RACI and RACT;
 - customers' experiences when selecting and buying insurance is increasingly digitised, which means it is now less important that insurers have a local physical presence in a particular area;
 - insurers have regard to national considerations when making pricing decisions, which are considered alongside local risks on a postcode-by-postcode basis (rather than a state-by-state basis); and
 - insurers pool risks across customers in all states and territories, including for reinsurance purposes, and capital is determined by APRA on a whole of portfolio (national) basis.¹⁰³
- 8.18. The Parties also submit that analysis in the Second Ockerby Report shows that a Western Australian market is too narrow and the market is properly national.¹⁰⁴
- 8.19. The ACCC considers the appropriate geographic dimension for the supply of insurance is Western Australia.
- 8.20. As set out in paragraph 8.3, the starting point for market definition is the area in which the Parties' activities overlap. In the supply of personal lines general insurance products, the overlap is in Western Australia.
- 8.21. While certain aspects of insurers' businesses and competitive strategies are national, including the aspects identified by the Parties (summarised in paragraph 8.17 above) and most insurers are increasingly operating claims management services out of national call centres, the ACCC considers a number of important parameters of competition are at the state level.
- 8.22. All insurers offering insurance in Western Australia have a form of physical local presence in the state. All insurers have state-based assessor networks and all repairers are local.¹⁰⁵ Some insurers, including the Parties, also have a bricks and mortar presence in Western Australia – RACI has both a call centre and branches, while IAG has a branch.
- 8.23. In addition to being important to run operations effectively, evidence suggests that an insurer's local presence is valued by customers in Western Australia. In particular, **[Confidential - Redacted]** RAC **[Confidential - Redacted]** noted that "the

¹⁰² IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 22, para. 77. 65005.001.005.0849.

¹⁰³ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 22, para. 79. 65005.001.005.0849.

¹⁰⁴ **[Confidential - Redacted]**.

¹⁰⁵ All repair work is done by Western Australian based repairers which form part of national, state-based or local brands. In terms of assessors, **[Confidential - Redacted]** and **[Confidential - Redacted]** advised that they have state-based assessors in Western Australia. **[Confidential - Redacted]** advised that there are approximately **[Confidential - Redacted]** assessors based in Western Australia. **[Confidential - Redacted]** advised that their repairer network includes state-based repairers with some national repairer brands. Similarly, **[Confidential - Redacted]** has a claims and assessing operation in Western Australia: **[Confidential - Redacted]**; **[Confidential - Redacted]**; **[Confidential - Redacted]**; **[Confidential - Redacted]**.

claims experience that we can deliver by being local is important. The ability for us to respond with a local call centre ... on the ground, running with people, getting feedback and communicating with our membership.”¹⁰⁶ Similarly **[Confidential - Redacted]** RACI **[Confidential - Redacted]** stated that RACI’s focus is on being a local business with local services for the local community.¹⁰⁷ **[Confidential - Redacted]** stated that “a physical presence always creates a connective tissue into a community.”¹⁰⁸ **[Confidential - Redacted]** similarly stated that “Western Australia strongly value local presence: WA-based call centres, WA friendly hours, fast access to a real person who “gets WA”.”¹⁰⁹

- 8.24. Evidence before the ACCC shows that a number of insurers run state-based marketing initiatives and/or adopt a degree of tailoring of national marketing campaigns for the Western Australian audience. **[Confidential - Redacted]** tailors some of its marketing to state-based markets. It considers some form of tailoring to be important.¹¹⁰ **[Confidential - Redacted]** also noted that it tailors its marketing to Western Australians with a state-based marketing budget that is spent according to a state-based strategy.¹¹¹
- 8.25. Evidence before the ACCC also shows that Western Australia differs from other states in a number of key respects, including economic conditions, demographic characteristics, and environmental conditions. In particular:
- Economic conditions – Western Australia has had a higher population growth rate compared with the rest of Australia over the last few years. As at December 2025, the population growth rate was 2.2% in Western Australia and 1.4% in the rest of Australia.¹¹² Western Australia has also had greater economic growth than other states of Australia. Over the past five years, Western Australia’s economy grew by 27.2%, the strongest of all states and territories, and well above the national rate of 20.9%.¹¹³ Western Australia has also had the greatest growth in the number of registered passenger vehicles compared with the rest of Australia. Between 2024 and 2025, registered passenger vehicle grew 3.4% in Western Australia, above the national rate of 2.4%.¹¹⁴ Housing growth has also been relatively strong, with cumulative growth of 2.5% over the period March 2023-March 2026 in total residential dwellings, slightly above the national growth rate in the same period (2.4%).¹¹⁵
 - Demographic characteristics – approximately 80% of Western Australia’s population resides in Greater Perth. This is the highest metropolitan concentration of any state in Australia, and can be contrasted to other major states such as NSW, where approximately 66% of residents are in Greater

¹⁰⁶ **[Confidential - Redacted]**.

¹⁰⁷ **[Confidential - Redacted]**.

¹⁰⁸ **[Confidential - Redacted]**. A number of other insurers also provided evidence to the ACCC that the Western Australian market is ‘parochial’, including **[Confidential - Redacted]**, and **[Confidential - Redacted]**. **[Confidential - Redacted]** summarised this best as “Western Australians loves Western Australian businesses”: **[Confidential - Redacted]**.

¹⁰⁹ **[Confidential - Redacted]**; **[Confidential - Redacted]**.

¹¹⁰ **[Confidential - Redacted]**.

¹¹¹ **[Confidential - Redacted]**.

¹¹² Australian Bureau of Statistics, [National, state and territory population \(December 2025\)](#), 18 June 2026.

¹¹³ Western Australian Government, [WA’s economic growth continues to outpace the nation](#), Media Release, 4 March 2026.

¹¹⁴ BITRE, [Road Vehicles Australia January 2025](#), 31 January 2025, pp. 3-4.

¹¹⁵ Australian Bureau of Statistics, [Total Value of Dwellings 6432.0 \(March Quarter 2026\)](#), 8 September 2026.

Sydney, and Queensland, where approximately 50% of residents are in Greater Brisbane.¹¹⁶

- Environmental conditions – Western Australia has experienced a relatively low incidence of significant natural hazard and storm events compared with other Australian states over time. Over the period 1967 to July 2026, Western Australia had 25, or 10%, of the state-attributed Catastrophic and Significant Events recorded in the Insurance Council of Australia data, compared with 92 (37%) in NSW and 71 (29%) in Queensland.¹¹⁷ Productivity Commission recent emergency services data are consistent with this pattern. From FY2015/16 to FY2024/25, WA State Emergency Services attended 18,375 storm and cyclone incidents, compared with 302,054 in NSW, 215,956 in Victoria and 56,665 in South Australia.¹¹⁸ This equates to an average of approximately 67 storm and cyclone incidents annually per 100,000 residents in Western Australia, compared with 371 in NSW, 327 in Victoria and 315 in South Australia.¹¹⁹

8.26. The ACCC considers that these differences appear to be a key reason why insurers view Western Australia as a separate market to other states of Australia. For example:

- RACI **[Confidential - Redacted]** explained that the Western Australian insurance market has not been impacted by weather events to the same extent that east coast markets have and is therefore a good market to do business in.¹²⁰ This view around the impact of weather events is supported by **[Confidential - Redacted]**.¹²¹
- **[Confidential - Redacted]** similarly identifies that the Western Australian market is attractive relative to other states as it has favourable demographics and conditions. In particular, **[Confidential - Redacted]** outlines that the geographic concentration of Greater Perth is a positive as it enables “insurers to focus on marketing, distribution, and servicing efforts within a concentrated footprint.”¹²² **[Confidential - Redacted]** also identified that Western Australia has higher population growth than other states, which means consumer demand is increasing.¹²³ **[Confidential - Redacted]** also stated that Western Australia has

¹¹⁶ Australian Bureau of Statistics, [Regional Population \(2024–25 financial year\)](#), 31 March 2026; Australian Bureau of Statistics, [National, state and territory population \(June 2025\)](#), 18 December 2025. Percentages calculated from ABS estimated resident population data.

¹¹⁷ Insurance Council of Australia, [Historical Normalised Catastrophe List](#), July 2026. Analysis includes events recorded in the ICA historical dataset as Catastrophes (CAT) or Significant Events (SE) from 1967 to July 2026. COVID-19 and events not classified as a CAT or SE have been excluded. Where an event affected more than one state or territory, it has been counted in the main affected jurisdiction. Of the 25 events in Western Australia, approximately 12 were events located north of the 26th parallel.

¹¹⁸ ACCC calculations using Productivity Commission, [Report on Government Services 2026 – Part D Emergency management](#), 3 February 2026, section 9, table 9A.7, *State and territory Emergency Service incidents*. Figures represent the sum of reported “storms and cyclones” incidents for 2015–16 to 2024–25. Queensland is not included in the comparison because the number of incidents is not recorded. The Productivity Commission cautions that comparability across jurisdictions and over time can be affected by differences in reporting and service arrangements.

¹¹⁹ ACCC calculations using Productivity Commission, [Report on Government Services 2026 – Part D Emergency management](#), 3 February 2026, table 9A.7, and Australian Bureau of Statistics, [National, state and territory population \(June 2025\)](#), Estimated Resident Population by state and territory, June 2016 to June 2025. The annualised rate is calculated as total storm and cyclone incidents over the ten-year period divided by the sum of each jurisdiction’s June estimated resident population for the corresponding ten years, multiplied by 100,000. ABS describes ERP as the official measure of Australia’s state and territory populations.

¹²⁰ **[Confidential - Redacted]**.

¹²¹ **[Confidential - Redacted]**; **[Confidential - Redacted]**.

¹²² **[Confidential - Redacted]**.

¹²³ **[Confidential - Redacted]**.

relatively fewer natural risks than some of the east coast states but did note that its modelling showed there was a sizeable Perth earthquake risk.¹²⁴

- **[Confidential - Redacted]** explained that the peril exposures are different in Western Australia compared to eastern states.¹²⁵
- **[Confidential - Redacted]** similarly noted that the weather dynamics are slightly different in Western Australia compared to the rest of Australia.¹²⁶

8.27. Beyond these economic, demographic and environmental differences, insurers consider the market characteristics and operating conditions in Western Australia differ to the rest of Australia. In particular:

- **[Confidential - Redacted]** submits that Western Australia exhibits distinct market characteristics relative to other states, including high concentration, strong incumbent brand loyalty, lower observed customer switching, and more acute constraints in claims-related supply chains, particularly in regional areas."¹²⁷
[Confidential - Redacted].¹²⁸
- **[Confidential - Redacted]** similarly submits that 'Western Australia is unique as it has fewer major general insurer competitors achieving market scale given the dominant share of RACI'.¹²⁹ **[Confidential - Redacted]**.¹³⁰ **[Confidential - Redacted]**.
- An **[Confidential - Redacted]** states that that the market in Western Australia is 'highly concentrated, with RAC, IAG, Suncorp and Allianz the dominant players across key segments.'¹³¹
- An **[Confidential - Redacted]** outlines a number of operational differences in Western Australia including supply chain issues with motor vehicle repairs (issues with smash repairer, tow truck and part availability, skilled labour shortages and lengthy transportation distances, and therefore significantly higher costs compared with eastern states).¹³²
- **[Confidential - Redacted]**.¹³³

8.28. In the Second Ockerby Report, Mr Ockerby applies a hypothetical monopolist test (HMT) to an insurer supplying customers exclusively in Western Australia and concludes that a 'price increase would not be profitable due to constraints from non-WA national insurers. If national insurers have the regulatory clearance from APRA, the systems for writing policies and managing claims, and the capital and reinsurance arrangements required to supply in WA then they could respond to a SSNIP [a Small but Significant Non-transitory Increase in Price] by writing policies in WA.'¹³⁴

¹²⁴ **[Confidential - Redacted]**.

¹²⁵ **[Confidential - Redacted]**.

¹²⁶ **[Confidential - Redacted]**.

¹²⁷ **[Confidential - Redacted]**.

¹²⁸ **[Confidential - Redacted]**.

¹²⁹ **[Confidential - Redacted]**.

¹³⁰ **[Confidential - Redacted]**; **[Confidential - Redacted]**.

¹³¹ **[Confidential - Redacted]**.

¹³² **[Confidential - Redacted]**.

¹³³ **[Confidential - Redacted]**.

¹³⁴ IAG, Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026, p. 21. 65005.001.022.0044.

- 8.29. The ACCC has considered the use of the HMT in the Second Ockerby Report and its consideration has been assisted by the Supplementary Smith Report. Mr Smith noted that the HMT test in the Second Ockerby Report rests on the proposition that national insurers not currently in Western Australia face “no material cost or capability disadvantage in expanding in Western Australia.”¹³⁵ Mr Smith notes that this is an empirical matter but considers that the records show that established insurers have lower market shares, and third party insurers have elevated acquisition costs and depressed margins in Western Australia relative to other states.¹³⁶
- 8.30. The ACCC considers that the cost of entry/expansion into Western Australia by a new insurer not presently active in the state is significant, and accordingly that entry by a new insurer in response to a SSNIP is unlikely. Relevant barriers include the establishment of a new brand, supply chain (including assessors and repairers) and claim data to assist with pricing.
- 8.31. The ACCC also considers that Mr Ockerby’s articulation of the HMT in Section 3.2 of the Second Ockerby Report may suggest that the test involves assessing whether a hypothetical monopolist of *insurance supplied exclusively to Western Australian customers* could profitably raise prices by 5% or 10%. This could be interpreted as asking whether RACI – as the only significant WA-focused insurer – could (presently) profitably raise its prices. However, the ACCC considers that the HMT should be understood as asking whether a hypothetical monopolist supplier of insurance to Western Australia customers could profitably raise its prices.
- 8.32. For the above reasons, the ACCC has not given significant weight to Mr Ockerby’s analysis of the appropriate geographic market.

Supply and acquisition of ancillary repair services

- 8.33. The Parties overlap in the acquisition of the following ancillary repair services:
- smash repair services acquired from smash repairers;
 - windscreen repair services acquired from windscreen repairers; and
 - building repair services.¹³⁷
- 8.34. While the Parties highlight that there is a level of national, state and local contracting between repairers and insurers, the Parties submit that the ACCC does not need to come to a concluded view on whether the relevant geographic scope is national, state or local/regional as there can be no substantial lessening of competition regardless of the market definition adopted.¹³⁸
- 8.35. For the purposes of this assessment, the ACCC is focused on smash repair services acquired by insurers and supplied to insured customers. In particular:
- insurers acquire smash repairs from smash repairers on a contracted (preferred repairer) or an ad hoc (non-preferred repairer) basis

¹³⁵ ACCC, *IAG and RAC Insurance (Supplementary Report of Patrick Smith, RBB Economics)*, 19 August 2026, p. 10. 65005.001.050.0001.

¹³⁶ ACCC, *IAG and RAC Insurance (Supplementary Report of Patrick Smith, RBB Economics)*, 19 August 2026, p. 10. 65005.001.050.0001.

¹³⁷ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 23. 65005.001.005.0849.

¹³⁸ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 89. 65005.001.005.0849.

- smash repairs are a key input in the supply of motor vehicle insurance to customers.
- 8.36. Smash repair services involve repairing vehicles that have sustained collision or accident damage and restoring them to a safe and serviceable condition. Smash repair services generally comprise a bundle of activities, including assessing vehicle damage, dismantling and repairing or replacing damaged panels and components, structural and body repairs, refinishing and painting, reassembly, and associated calibration or diagnostic work.
- 8.37. Given the nature of the work, customers prefer to have their motor vehicle repaired locally. Insurers also tend to manage repair networks in a way that insured customers can get their motor vehicle repaired in the local area so that the works can be completed within a reasonable timeframe.¹³⁹
- 8.38. The ACCC considers that the relevant markets for the supply and acquisition of smash repair services are local or regional areas of Western Australia.

9. Future without the acquisition

Overview

- 9.1. The ACCC has considered the effects of the Acquisition by comparing the likely future state of competition if the Acquisition proceeds (the factual) against the likely future state of competition if the Acquisition does not proceed (the counterfactual). The counterfactual assessment is a tool of analysis to assist the ACCC in considering whether there is a real commercial likelihood that the Acquisition would result in a substantial lessening of competition.
- 9.2. This section sets out the ACCC's consideration of likely outcomes for RACI in the counterfactual. It considers RACI's financial and capital position, technology costs, reinsurance costs, concentration risk, claims costs and regulatory costs.
- 9.3. The Parties submit that RACI would not be as competitive as it is currently in the supply of motor vehicle insurance and home and contents insurance in the future without the Acquisition due to challenges facing the insurance industry generally and the RACI business in particular.¹⁴⁰
- 9.4. RAC submits that it **[Confidential - Redacted]**.¹⁴¹ **[Confidential - Redacted]**.¹⁴² **[Confidential - Redacted]**,¹⁴³ **[Confidential - Redacted]**.¹⁴⁴
- 9.5. Based on the material before it, the ACCC's finding is that, in the short to medium term, RACI is likely to continue to compete vigorously in the supply of motor vehicle insurance and home and contents insurance in Western Australia. **[Confidential - Redacted]**.¹⁴⁵ **[Confidential - Redacted]**.

¹³⁹ **[Confidential - Redacted]**.

¹⁴⁰ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 27, para. 99(b). 65005.001.005.0849.

¹⁴¹ **[Confidential - Redacted]**; **[Confidential - Redacted]**; **[Confidential - Redacted]**; **[Confidential - Redacted]**.

¹⁴² **[Confidential - Redacted]**.

¹⁴³ **[Confidential - Redacted]**.

¹⁴⁴ **[Confidential - Redacted]**.

¹⁴⁵ **[Confidential - Redacted]**.

RACI's financial and capital position

- 9.6. RAC submits that RACI has a **[Confidential - Redacted]**.¹⁴⁶ It submits that, unlike its key competitors, it does not have the ability to raise capital through traditional equity markets and must support its growth through reinvestment.¹⁴⁷ It submits that these capital constraints **[Confidential - Redacted]**:
- **[Confidential - Redacted]**,
 - **[Confidential - Redacted]**, and
 - **[Confidential - Redacted]**.¹⁴⁸
- 9.7. RAC also submits that the profitability and capital adequacy of insurance companies, **[Confidential - Redacted]**, are inherently volatile and subject to events which cannot be predicted with precision.¹⁴⁹ **[Confidential - Redacted]**.¹⁵⁰ **[Confidential - Redacted]**.¹⁵¹
- 9.8. The ACCC recognises that RACI cannot raise capital through equity markets and that other forms of capital raising available to it (e.g. Mutual Capital Instruments (**MCI**)) may not be particularly attractive to investors. The ACCC also recognises that this means that RACI has more limited means of raising capital than major national insurers operating in Western Australia.
- 9.9. Further, the ACCC accepts that the profitability and financial stability of insurers can be volatile and is dependent on factors outside of their control such as weather events. However, this is an essential feature of being an insurer – “insurers are in the business of managing risk.”¹⁵²
- 9.10. Based on the evidence before it, the ACCC considers that RACI is currently a financially stable and profitable insurance business that is appropriately managing its capital position, and this is likely to continue to be the case in the short to medium term in the absence of the Acquisition.

RACI's financial position over time

- 9.11. RACI [Confidential – Redacted] has a long history of profitability and financial stability, and [Confidential – Redacted].¹⁵³ [Confidential – Redacted]¹⁵⁴ [Confidential

¹⁴⁶ RAC, Mozammel Ali (*Theorem Consulting*) Report for HSF Kramer regarding IAG's proposed acquisition of RAC Insurance, 26 February 2026, p. 25, para. 122. 65005.001.005.1203.

147 [Confidential - Redacted].

148 RAC, Mozammel Ali (Theorem Consulting) Report for HSF Kramer regarding IAG's proposed acquisition of RAC Insurance, 26 February 2026, pp. 25-26, para. 129. 65005.001.005.1203. **[Confidential - Redacted]**.

149 [Confidential - Redacted]

150 [Confidential - Redacted].

151 [Confidential - Redacted]; [Confidential - Redacted]; [Confidential - Redacted]; [Confidential - Redacted].

152 ACCC, IAG and RAC Insurance (Supplementary Report of Dr. Jeffrey Carmichael AO), 19 August 2026, p. 6.
65005.001.052.0001.

[illegible]

154 [Confidential - Redacted].

– Redacted].¹⁵⁵ [Confidential – Redacted].¹⁵⁶ [Confidential – Redacted],¹⁵⁷
[Confidential – Redacted].¹⁵⁸

- 9.12. While RACI's after-tax profits vary through time, as is typically the case for insurance companies, RACI has traded profitably [Confidential – Redacted] (according to APRA publicly listed data and RAC financial statements).¹⁵⁹

Figure 1: RAC Insurance profit after tax

[Confidential - Redacted]

Source: APRA general insurance institution-level database 2005 to 2023; [Confidential – Redacted]; [Confidential – Redacted]; [Confidential – Redacted].

Note: APRA data was used for profit values from FY05 to FY23, noting that profit for FY07 was missing in this data. RAC accounts were used for profit values from FY23 to FY26. Profit for FY26 reflects RACI's half-year 2026 profit multiplied by 2.

- 9.13. [Confidential – Redacted].¹⁶⁰ [Confidential – Redacted].¹⁶¹

- 9.14. RACI's after-tax profits for FY2018-FY2026 are set out in Table 1 below:

Table 1: RACI after-tax profits FY2018-FY2026 (\$m)

[Confidential - Redacted]

[Confidential - Redacted].¹⁶²

[Confidential - Redacted].¹⁶³

[Confidential - Redacted]

- 9.15. [Confidential - Redacted].¹⁶⁴ The POI is the probability that the general insurer will incur losses over a twelve-month period of sufficient magnitude that the insurer breaches its Prudential Capital Requirement (PCR).¹⁶⁵ [Confidential - Redacted].¹⁶⁶

- 9.16. As at the date of this Statement of Reasons, RAC's annual report for the 2025/26 financial year had not yet been published. [Confidential - Redacted].¹⁶⁷ The ACCC accepts that the financial performance in any one financial year for an insurer is likely to be the result of the claims environment. However, the ACCC considers that benign weather events are not the sole driver of these results.

¹⁵⁵ [Confidential - Redacted].

¹⁵⁶ ACCC, IAG and RAC Insurance (Report of Dr. Jeffrey Carmichael AO), 21 May 2026, p. 22. 65005.001.037.0001.

¹⁵⁷ ACCC, IAG and RAC Insurance (Report of Dr. Jeffrey Carmichael AO), 21 May 2026, p. 3. 65005.001.037.0001.

¹⁵⁸ ACCC, IAG and RAC Insurance (Report of Dr. Jeffrey Carmichael AO), 21 May 2026, para. 7.23. 65005.001.037.0001.

¹⁵⁹ [Confidential - Redacted]. APRA, [Annual general insurance institution-level statistics database March 2005 to June 2023](#), 23 October 2023.

¹⁶⁰ ACCC, IAG and RAC Insurance (Report of Dr. Jeffrey Carmichael AO), 21 May 2026, para. 2.2. 65005.001.037.0001.

¹⁶¹ ACCC, IAG and RAC Insurance (Report of Dr. Jeffrey Carmichael AO), 21 May 2026, para. 2.2. 65005.001.037.0001.

¹⁶² [Confidential - Redacted]; [Confidential - Redacted]; [Confidential - Redacted]; [Confidential - Redacted]; [Confidential - Redacted]; [Confidential - Redacted]; [Confidential - Redacted]; [Confidential - Redacted]; [Confidential - Redacted]; [Confidential - Redacted].

¹⁶³ [Confidential - Redacted].

¹⁶⁴ ACCC, IAG and RAC Insurance (Report of Dr. Jeffrey Carmichael AO), 21 May 2026, p. 4, para. 2.2(c) (executive summary). 65005.001.037.0001.

¹⁶⁵ The PCR is the minimum capital requirement APRA requires general insurers to hold. As outlined in APRA, [Prudential Standard GPS 110 – Capital Adequacy](#), January 2015, the PCR is intended to be sufficient to cover losses from a 1-in-200 year catastrophic event; [Confidential - Redacted]; [Confidential - Redacted]; [Confidential - Redacted]; [Confidential - Redacted]; [Confidential - Redacted]; [Confidential - Redacted]; [Confidential - Redacted]; [Confidential - Redacted].

¹⁶⁶ ACCC, IAG and RAC Insurance (Report of Dr. Jeffrey Carmichael AO), 21 May 2026, p. 18. 65005.001.037.0001.

¹⁶⁷ [Confidential - Redacted].

- 9.17. RACI's **[Confidential - Redacted]** past financial results demonstrate that it has been effectively managing the challenges of being an insurer in Western Australia, and that its capital constraints have not materially impacted its ability to compete and be profitable.
- 9.18. **[Confidential - Redacted]**¹⁶⁸
- 9.19. **[Confidential - Redacted]**¹⁶⁹ **[Confidential - Redacted]**,¹⁷⁰ **[Confidential - Redacted]**.¹⁷¹
- 9.20. The ACCC considers that while RACI's recent profitability may in part have been assisted by benign weather conditions over the past 18 months, its profitability dates back significantly further than 18 months, and includes (the very occasional) years where Perth experienced severe weather events. For example, the hailstorm referred to as the Great Perth Hailstorm occurred in FY09/10, and in that year RACI earned a FY after-tax profit of **[Confidential - Redacted]** versus budgeted profit of **[Confidential - Redacted]**.¹⁷² Similarly, a Perth Hills bushfire occurred in FY13/14 and in that year RACI earned a FY after-tax profit of **[Confidential - Redacted]** versus a budgeted profit of **[Confidential - Redacted]**.¹⁷³ In addition, as set out in more detail from paragraph 9.79 below, the ACCC considers that the benign weather peril conditions in Perth, relative to the rest of Australia, are likely to continue.
- 9.21. **[Confidential - Redacted]**¹⁷⁴ **[Confidential - Redacted]**.
- 9.22. While recognising there is inherent volatility associated with underwriting insurance, the ACCC considers that RACI's strong and long history of success and profitability shows that it has effectively managed the challenges of supplying insurance in Western Australia while remaining financially stable over a long period of time from 2008 to 2026.

RAC Group funding

- 9.23. RAC submits that RAC is a mutual organisation with a range of subsidiaries across a diversified portfolio of business operations, **[Confidential - Redacted]**.¹⁷⁵
- 9.24. RAC submits that it operates its subsidiaries for the benefit of its members and the Western Australian community more broadly, **[Confidential - Redacted]**,¹⁷⁶ **[Confidential - Redacted]**.¹⁷⁷
- 9.25. The ACCC understands that RAC has a number of subsidiaries **[Confidential - Redacted]**.¹⁷⁸

¹⁶⁸ **[Confidential - Redacted]**.

¹⁶⁹ **[Confidential - Redacted]**.

¹⁷⁰ **[Confidential - Redacted]**.

¹⁷¹ **[Confidential - Redacted]**.

¹⁷² **[Confidential - Redacted]**.

¹⁷³ **[Confidential - Redacted]**.

¹⁷⁴ **[Confidential - Redacted]**.

¹⁷⁵ **[Confidential - Redacted]**.

¹⁷⁶ **[Confidential - Redacted]**.

¹⁷⁷ **[Confidential - Redacted]**.

¹⁷⁸ **[Confidential - Redacted]**.

- 9.26. Based on the evidence before it, the ACCC considers that it is likely that RAC would provide further capital to RACI if that was necessary for RACI to remain competitive and if doing so would benefit members. Given the importance of insurance to RAC's members (as at September 2024, **[Confidential - Redacted]** of RAC members have insurance with RACI),¹⁷⁹ and the **[Confidential - Redacted]** contribution of RACI to RAC's overall profits (**[Confidential - Redacted]** of RAC-branded businesses' before tax profit in FY25 was attributed to RACI),¹⁸⁰ it appears that RACI would be well-positioned to receive funding from RAC so that it could continue to operate effectively and provide benefits to RAC members.

Technology costs

- 9.27. RAC submits that **[Confidential - Redacted]**.¹⁸¹
- 9.28. RAC submits that RACI operates on **[Confidential - Redacted]**,¹⁸² **[Confidential - Redacted]**.¹⁸³
- 9.29. RAC submits that **[Confidential - Redacted]**,¹⁸⁴ **[Confidential - Redacted]**.¹⁸⁵ **[Confidential - Redacted]**.¹⁸⁶
- 9.30. RAC submits that **[Confidential - Redacted]**.¹⁸⁷
- 9.31. **[Confidential - Redacted]**.¹⁸⁸
- 9.32. **[Confidential - Redacted]**, **[Confidential - Redacted]**,¹⁸⁹ **[Confidential - Redacted]**,¹⁹⁰ **[Confidential - Redacted]**.¹⁹¹
- 9.33. The ACCC accepts that **[Confidential - Redacted]**.¹⁹²
- 9.34. **[Confidential - Redacted]**, the ACCC considers that this has not had a meaningful impact on RACI's competitiveness to date, as indicated by RACI's continued position as the leading supplier of both motor vehicle and home and contents insurance in Western Australia over a significant period, and its **[Confidential - Redacted]** financial performance **[Confidential - Redacted]**.
- 9.35. **[Confidential - Redacted]**.
- 9.36. While the RACI CEO stated that **[Confidential - Redacted]**.¹⁹³

¹⁷⁹ **[Confidential - Redacted]**; **[Confidential - Redacted]**.

¹⁸⁰ **[Confidential - Redacted]**.

¹⁸¹ **[Confidential - Redacted]**.

¹⁸² **[Confidential - Redacted]**.

¹⁸³ **[Confidential - Redacted]**.

¹⁸⁴ **[Confidential - Redacted]**; **[Confidential - Redacted]**.

¹⁸⁵ **[Confidential - Redacted]**; **[Confidential - Redacted]**; **[Confidential - Redacted]**.

¹⁸⁶ **[Confidential - Redacted]**.

¹⁸⁷ **[Confidential - Redacted]**.

¹⁸⁸ **[Confidential - Redacted]**; **[Confidential - Redacted]**.

¹⁸⁹ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 40. 65005.001.005.0849.

¹⁹⁰ **[Confidential - Redacted]**.

¹⁹¹ **[Confidential - Redacted]**; **[Confidential - Redacted]**.

¹⁹² **[Confidential - Redacted]**.

¹⁹³ **[Confidential - Redacted]**.

- 9.37. [Confidential - Redacted].¹⁹⁴
- 9.38. The ACCC accepts that RACI is likely to need to expend [Confidential - Redacted] in order to remain competitive. [Confidential - Redacted].¹⁹⁵
- 9.39. [Confidential - Redacted]:
- [Confidential - Redacted], and
 - [Confidential - Redacted].
- 9.40. [Confidential - Redacted].¹⁹⁶
- 9.41. [Confidential - Redacted].¹⁹⁷
- 9.42. [Confidential - Redacted].¹⁹⁸ [Confidential - Redacted],¹⁹⁹ [Confidential - Redacted].²⁰⁰
- 9.43. [Confidential - Redacted].
- 9.44. [Confidential - Redacted].²⁰¹ [Confidential - Redacted].²⁰²
- 9.45. [Confidential - Redacted].²⁰³ [Confidential - Redacted].
- 9.46. [Confidential - Redacted].²⁰⁴ [Confidential - Redacted].²⁰⁵ [Confidential - Redacted].²⁰⁶ [Confidential - Redacted].

Reinsurance costs

- 9.47. RAC submits that it is [Confidential - Redacted],²⁰⁷ [Confidential - Redacted].²⁰⁸ [Confidential - Redacted].²⁰⁹
- 9.48. In particular, RACI submits that, [Confidential - Redacted].²¹⁰
- 9.49. The ACCC considers that RACI is likely to be able to manage its reinsurance such that it will be able to continue to compete effectively in the future in the absence of the Acquisition.

¹⁹⁴ [Confidential - Redacted].

¹⁹⁵ [Confidential - Redacted].

¹⁹⁶ [Confidential - Redacted]; [Confidential - Redacted].

¹⁹⁷ [Confidential - Redacted].

¹⁹⁸ [Confidential - Redacted].

¹⁹⁹ [Confidential - Redacted].

²⁰⁰ [Confidential - Redacted].

²⁰¹ [Confidential - Redacted]; [Confidential - Redacted].

²⁰² [Confidential - Redacted].

²⁰³ [Confidential - Redacted]; [Confidential - Redacted].

²⁰⁴ [Confidential - Redacted]; See [Confidential - Redacted].

²⁰⁵ [Confidential - Redacted].

²⁰⁶ [Confidential - Redacted]; [Confidential - Redacted].

²⁰⁷ [Confidential - Redacted].

²⁰⁸ [Confidential - Redacted].

²⁰⁹ [Confidential - Redacted].

²¹⁰ [Confidential - Redacted]; [Confidential - Redacted]; [Confidential - Redacted]; [Confidential - Redacted].

- 9.50. At a high level, the ACCC notes that **[Confidential - Redacted]**²¹¹ and **[Confidential - Redacted]**.²¹²
- 9.51. The ACCC's view on RACI's reinsurance position has also been informed by Dr Carmichael's expert reports.
- 9.52. The section below sets out the ACCC's assessment of each of the three aspects that RAC has raised on this issue – the cost of catastrophic reinsurance, increased reinsurance deductibles and the potential inability of RACI's reinsurance to meet catastrophic losses.

Cost of catastrophic reinsurance

- 9.53. **[Confidential - Redacted]**.²¹³ **[Confidential - Redacted]**.²¹⁴ **[Confidential - Redacted]**.²¹⁵
- 9.54. Evidence before the ACCC suggests that **[Confidential - Redacted]**.²¹⁶ **[Confidential - Redacted]**.
- 9.55. RAC submits, and the ACCC recognises, that reinsurance markets are volatile and dependent on both global and local events.²¹⁷ However, the Parties submit that recent increases in reinsurance costs have largely stabilised.²¹⁸ **[Confidential - Redacted]** similarly said that there has been a softening of the reinsurance market such that there is an increased willingness for reinsurers to supply reinsurance at a lower price than previously (with the peak cost year being 2023) and the reinsurance market dynamic is likely to continue to be similar to current conditions for the next three to five years.²¹⁹ **[Confidential - Redacted]** also said there has been no lack of appetite for its program among reinsurers and there is still a lot of capital available.²²⁰
- 9.56. **[Confidential - Redacted]**.²²¹ **[Confidential - Redacted]**.²²² **[Confidential - Redacted]**.
- 9.57. **[Confidential - Redacted]**, there is evidence before the ACCC suggesting that the current soft market conditions in reinsurance are likely to continue for the next three to five years.²²³

²¹¹ **[Confidential - Redacted]**.

²¹² **[Confidential - Redacted]**.

²¹³ RAC, Mozammel Ali (Theorem Consulting) Report for HSF Kramer regarding IAG's proposed acquisition of RAC Insurance, 26 February 2026, paras. 30(a), 144, 148. 65005.001.005.1203; **[Confidential - Redacted]**.

²¹⁴ RAC, Mozammel Ali (Theorem Consulting) Report for HSF Kramer regarding IAG's proposed acquisition of RAC Insurance, 26 February 2026, paras. 146-147. 65005.001.005.1203; **[Confidential - Redacted]**.

²¹⁵ RAC, Mozammel Ali (Theorem Consulting) Report for HSF Kramer regarding IAG's proposed acquisition of RAC Insurance, 26 February 2026, paras. 146-147. 65005.001.005.1203; **[Confidential - Redacted]**.

²¹⁶ IAG, Notification of Acquisition – Accompanying Submission to Notification, 3 March 2026, p. 39, para. 123. 65005.001.005.0849.

²¹⁷ **[Confidential - Redacted]**; **[Confidential - Redacted]**.

²¹⁸ IAG, Notification of Acquisition – Accompanying Submission to Notification, 3 March 2026, p. 39, para. 123. 65005.001.005.0849.

²¹⁹ **[Confidential - Redacted]**.

²²⁰ **[Confidential - Redacted]**.

²²¹ **[Confidential - Redacted]**.

²²² **[Confidential - Redacted]**.

²²³ **[Confidential - Redacted]**; **[Confidential - Redacted]**.

- 9.58. In addition, these rising reinsurance costs (which have now stabilised) impacted the whole insurance market, not just RACI **[Confidential - Redacted]**. **[Confidential - Redacted]**²²⁴ **[Confidential - Redacted]**²²⁵ **[Confidential - Redacted]**²²⁶ As set out below, the ACCC considers that despite increasing climate-related weather events, the Perth metropolitan area is likely to continue to experience relatively benign weather peril conditions compared to the rest of Australia.
- 9.59. The ACCC considers that while rising reinsurance costs over the past few years **[Confidential - Redacted]**, that has not impacted RACI's ability to compete effectively and be profitable over that period (including 2023 when the reinsurance market was at its highest), demonstrating that RACI can manage its reinsurance costs. **[Confidential - Redacted]**²²⁷ Therefore, if the reinsurance market was not going to remain soft over the next three to five years, then RACI would likely be in a position to manage that situation.

Increased reinsurance deductibles

- 9.60. In the context of reinsurance, the deductible is the total amount that an insurer will be liable for in respect of a claim or series of claims before the reinsurance coverage commences.²²⁸
- 9.61. **[Confidential - Redacted]**²²⁹ **[Confidential - Redacted]**²³⁰ **[Confidential - Redacted]**²³¹
- 9.62. **[Confidential - Redacted]**²³²
- 9.63. **[Confidential - Redacted]**²³³
- 9.64. **[Confidential - Redacted]**²³⁴ **[Confidential - Redacted]**²³⁵
- 9.65. However, **[Confidential - Redacted]**²³⁶ **[Confidential - Redacted]**²³⁷ **[Confidential - Redacted]**²³⁸ **[Confidential - Redacted]**²³⁹
- 9.66. **[Confidential - Redacted]**.
- 9.67. **[Confidential - Redacted]**, has not impacted RACI's ability to compete effectively and be profitable over that period (including 2023 when the reinsurance market was at

²²⁴ The share of premiums paid to reinsurers.

²²⁵ **[Confidential - Redacted]**.

²²⁶ **[Confidential - Redacted]**.

²²⁷ ACCC, *IAG and RAC Insurance (Report of Dr. Jeffrey Carmichael AO)*, 21 May 2026, para. 8.33. 65005.001.037.0001.

²²⁸ **[Confidential - Redacted]**.

²²⁹ RAC, *Mozammel Ali (Theorem Consulting) Report for HSF Kramer regarding IAG's proposed acquisition of RAC Insurance*, 26 February 2026, paras. 30(a), 116(b), 148. 65005.001.005.1203; **[Confidential - Redacted]**; **[Confidential - Redacted]**.

²³⁰ **[Confidential - Redacted]**.

²³¹ **[Confidential - Redacted]**.

²³² **[Confidential - Redacted]**; APRA, [Annual general insurance institution-level statistics database March 2005 to June 2023](#), 23 October 2023; **[Confidential - Redacted]**; **[Confidential - Redacted]**.

²³³ **[Confidential - Redacted]**.

²³⁴ **[Confidential - Redacted]**.

²³⁵ **[Confidential - Redacted]**.

²³⁶ **[Confidential - Redacted]**.

²³⁷ **[Confidential - Redacted]**.

²³⁸ **[Confidential - Redacted]**; **[Confidential - Redacted]**.

²³⁹ **[Confidential - Redacted]**.

its highest). The ACCC considers that even if the reinsurance deductible were to increase, then RACI would be in a position to manage that increase, at least in the short to medium term.

Potential inability of reinsurance to meet catastrophic losses

- 9.68. [Confidential - Redacted].²⁴⁰ [Confidential - Redacted].²⁴¹
- 9.69. [Confidential - Redacted].²⁴²
- 9.70. RAC submits [Confidential - Redacted].²⁴³ [Confidential - Redacted].²⁴⁴ [Confidential - Redacted].²⁴⁵
- 9.71. RAC submits that [Confidential - Redacted].²⁴⁶
- 9.72. However, based on the evidence before it, including the expert report from Dr Carmichael, the ACCC considers that RACI is managing its insurance risk appropriately [Confidential - Redacted] and is well placed to manage losses in the event of a catastrophic event.
- 9.73. APRA's role as the national prudential regulator is to maintain the safety and soundness of financial institutions, so that the community can have confidence that they will meet their financial commitments under all reasonable circumstances.²⁴⁷
- 9.74. APRA requires Australian insurers to have reinsurance coverage for a 1-in-200 year event (a requirement that takes an insurer's customer base and concentration into account).²⁴⁸ As noted above, [Confidential - Redacted].²⁴⁹
- 9.75. [Confidential - Redacted].²⁵⁰
- 9.76. In the Carmichael Report, Dr Carmichael describes [Confidential - Redacted].²⁵¹ Dr Carmichael also notes that [Confidential - Redacted].²⁵² [Confidential - Redacted].²⁵³
- 9.77. In the Supplementary Carmichael Report, Dr Carmichael goes further to conclude that insurers should not cover for losses like that from a 1-in-1,000 year event, such

²⁴⁰ RAC, Mozammel Ali (Theorem Consulting) Report for HSF Kramer regarding IAG's proposed acquisition of RAC Insurance, 26 February 2026, paras. 29-71, 235-256, 291-295. 65005.001.005.1203; [Confidential - Redacted].

²⁴¹ [Confidential - Redacted].

²⁴² [Confidential - Redacted]; [Confidential - Redacted].

²⁴³ [Confidential - Redacted].

²⁴⁴ [Confidential - Redacted]. RAC, Mozammel Ali (Theorem Consulting) Report for HSF Kramer regarding IAG's proposed acquisition of RAC Insurance, 26 February 2026, pp. 56-63, para. 8.2. 65005.001.005.1203.

²⁴⁵ [Confidential - Redacted]

²⁴⁶ [Confidential - Redacted]; [Confidential - Redacted]. [Confidential - Redacted].

²⁴⁷ APRA, [About APRA](#), 2026.

²⁴⁸ RAC, Mozammel Ali (Theorem Consulting) Report for HSF Kramer regarding IAG's proposed acquisition of RAC Insurance, 26 February 2026, p. 7, para. 38(b). 65005.001.005.1203.

²⁴⁹ [Confidential - Redacted].

²⁵⁰ ACCC, IAG and RAC Insurance (Report of Dr. Jeffrey Carmichael AO), 21 May 2026, para. 2.2. 65005.001.037.0001.

²⁵¹ ACCC, IAG and RAC Insurance (Report of Dr. Jeffrey Carmichael AO), 21 May 2026, para. 8.29. 65005.001.037.0001.

²⁵² ACCC, IAG and RAC Insurance (Report of Dr. Jeffrey Carmichael AO), 21 May 2026, para. 8.30. 65005.001.037.0001.

²⁵³ [Confidential - Redacted].

as the Christchurch earthquake, on the basis that they have a low probability of occurring.²⁵⁴

...While every insurer can conjure up a scenario that results in ruin (as indeed they are expected to by APRA as part of their ICAAP process), the relevant question is whether such a scenario has an unacceptably high probability of occurring after risk mitigation strategies, including reinsurance, have been taken into consideration. That is the basis on which APRA requires insurers to execute their reinsurance programs, and it is the basis on which RACI executes its reinsurance strategy. While 1-in-1000 year case studies such as the Christchurch earthquakes are interesting, they are not the relevant benchmark for managing insurance risk.

- 9.78. The ACCC recognises that **[Confidential - Redacted]**.²⁵⁵ **[Confidential - Redacted]**.²⁵⁶ **[Confidential - Redacted]**.

Climate-related weather events

- 9.79. The ACCC recognises that insurance is a volatile industry and that climate related weather events are generally increasing across Australia, and that these risks likely are increasing in Western Australia and Perth (where the vast majority of RACI's customer base is located) (**[Confidential - Redacted]**).²⁵⁷
- 9.80. Based on the evidence before it, the ACCC considers that climate related weather risks have been considerably lower in Perth than in the rest of Australia, and that the increase in Perth is unlikely to be materially different to the increases in the rest of Australia.
- 9.81. Historical data shows that there is a meaningful difference between the catastrophic and significant events in Perth compared with the rest of Australia. In particular, between 1967 and July 2026, the ICA historical dataset records 25 declared Catastrophes or Significant Events affecting Western Australia, compared with 92 affecting NSW and 71 affecting Queensland.²⁵⁸ Of the 25 Western Australia events, 12 occurred north of the 26th parallel (and a substantial number of the 12 were cyclones) and 13 south of it. As RACI does not insure properties north of the 26th parallel, almost half of the declared Catastrophes and Significant Events affecting Western Australia over the period occurred outside RAC's geographic underwriting footprint.
- 9.82. While there is recognition that risks are increasing globally from climate change, insurers do not anticipate materially increased weather-related risks (and the associated costs) in Western Australia/Perth compared to the rest of Australia in the foreseeable future. In particular:
- **[Confidential - Redacted]** the Western Australian insurance market has not been impacted by weather events to the same extent that east coast markets have,

²⁵⁴ ACCC, IAG and RAC Insurance (Supplementary Report of Dr. Jeffrey Carmichael AO), 19 August 2026, p. 6. 65005.001.052.0001.

²⁵⁵ **[Confidential - Redacted]**; **[Confidential - Redacted]**.

²⁵⁶ **[Confidential - Redacted]**.

²⁵⁷ **[Confidential - Redacted]**; **[Confidential - Redacted]**.

²⁵⁸ Insurance Council of Australia, [Historical Normalised Catastrophe List](#), July 2026. Analysis includes events recorded in the ICA historical dataset as Catastrophes (CAT) or Significant Events (SE) from 1967 to July 2026. COVID-19 and events not classified as a CAT or SE have been excluded. Where an event affected more than one state or territory, it has been counted in the main affected jurisdiction.

but **[Confidential - Redacted]** that severe weather events are ‘moving further down the coast’ in WA.²⁵⁹ This view around the impact of weather events is supported by **[Confidential - Redacted]**.²⁶⁰ **[Confidential - Redacted]**.²⁶¹ **[Confidential - Redacted]**.²⁶²

- The parties submit that natural perils in Western Australia have not resulted in high claims volumes compared to, for example, Queensland, in recent years. However, IAG submits that extreme weather events are likely to increase in frequency and severity in Western Australia in future.²⁶³
- **[Confidential - Redacted]** outlined that the main climate-related risks in Western Australia are cyclones (north of the 26th parallel) and the standard natural risks like storms and bushfires (south of the 26th parallel). **[Confidential - Redacted]** stated that Perth has less exposure to natural catastrophes than the east coast.²⁶⁴ **[Confidential - Redacted]** noted that the pricing in Western Australia reflects the fact that the risks of natural catastrophe are generally lower in WA than it is elsewhere in Australia, with the exception of earthquake risk.²⁶⁵
- **[Confidential - Redacted]** stated that, while the perils are the same with bushfires, flood and cyclones being the main perils, the peril exposures on the west coast were different to the east coast.²⁶⁶
- **[Confidential - Redacted]** stated that there was cyclone risk in Western Australia but that is presently addressed by the government scheme.²⁶⁷ **[Confidential - Redacted]** stated that Western Australia has been relatively benign recently with not a lot of material weather events. **[Confidential - Redacted]** stated that there is nothing from a market perspective or a climate or risk perspective of concern to **[Confidential - Redacted]** in the foreseeable future.²⁶⁸
- **[Confidential - Redacted]** stated that there was increased bush fire risk in Western Australia and in Perth as a result of climate change. However, **[Confidential - Redacted]** did not identify whether this increase differed to the increase in bush fire risk across the rest of Australia.²⁶⁹

Concentration risk

- 9.83. RAC submits that RACI faces **[Confidential - Redacted]** concentration risk by reason of its limited geographic scope and the **[Confidential - Redacted]** personal lines insurance product range it makes available in Western Australia.²⁷⁰ It submits that **[Confidential - Redacted]**.²⁷¹

²⁵⁹ **[Confidential - Redacted]**; **[Confidential - Redacted]**.

²⁶⁰ **[Confidential - Redacted]**; **[Confidential - Redacted]**.

²⁶¹ **[Confidential - Redacted]**.

²⁶² **[Confidential - Redacted]**.

²⁶³ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 41, para. 126. 65005.001.005.0849.

²⁶⁴ **[Confidential - Redacted]**.

²⁶⁵ **[Confidential - Redacted]**.

²⁶⁶ **[Confidential - Redacted]**.

²⁶⁷ **[Confidential - Redacted]**.

²⁶⁸ **[Confidential - Redacted]**.

²⁶⁹ **[Confidential - Redacted]**.

²⁷⁰ **[Confidential - Redacted]**; **[Confidential - Redacted]**; RAC, Mozammel Ali (Theorem Consulting) Report for HSF Kramer regarding IAG's proposed acquisition of RAC Insurance, 26 February 2026, pp. 22-24, paras. 113-119. 65005.001.005.1203; **[Confidential - Redacted]**.

²⁷¹ **[Confidential - Redacted]**.

- 9.84. RAC submits that **[Confidential - Redacted]**.²⁷²
- 9.85. RAC submits that **[Confidential - Redacted]**.²⁷³
- 9.86. It also submits that the perils in the Perth metropolitan area **[Confidential - Redacted]**, and include storm, bushfire, flood, and most significantly, earthquake.²⁷⁴ **[Confidential - Redacted]**.²⁷⁵ **[Confidential - Redacted]**.²⁷⁶
- 9.87. The ACCC recognises that RACI has a concentrated insurance portfolio compared to national insurers, and that RACI's level of geographic concentration is unique compared to most insurers who have a spread of customers across different geographic regions.²⁷⁷
- 9.88. However, based on the material before it, including Dr Carmichael's expert reports, the ACCC's view is that RACI is well-placed to manage its concentration risk in the short to medium term.
- 9.89. As set out above, the ACCC considers **[Confidential - Redacted]**. RACI's reinsurance, and the ACCC's assessments of the adequacy of its reinsurance, takes into account RACI's concentration risk.
- 9.90. **[Confidential - Redacted]**.²⁷⁸
- 9.91. In addition, the ACCC considers that the Perth metropolitan area is unlikely to face significant natural perils and considers that RACI does not face significant risk from these perils due to its concentration.
- 9.92. As set out above, the ACCC understands that Western Australia, and Perth in particular, have not been as impacted by extreme weather events or other natural perils as other parts of Australia in the past, and that this is likely to continue to be the case, indicating that RACI is unlikely to face significant risk from these perils due to its concentration.

Claims costs

- 9.93. RAC submits that claims are becoming more expensive and complex to resolve,²⁷⁹ **[Confidential - Redacted]**.²⁸⁰
- 9.94. RAC submits that insurance claims are becoming more expensive and complex for a range of reasons, including the increasing frequency and severity of natural disasters and extreme weather events, and for motor vehicle insurance, increased technology in cars and the availability of parts.²⁸¹ Cost inflation is also impacting the

²⁷² **[Confidential - Redacted]**.

²⁷³ **[Confidential - Redacted]**.

²⁷⁴ **[Confidential - Redacted]**.

²⁷⁵ **[Confidential - Redacted]**; **[Confidential - Redacted]**.

²⁷⁶ **[Confidential - Redacted]**; RAC, Mozammel Ali (Theorem Consulting) Report for HSF Kramer regarding IAG's proposed acquisition of RAC Insurance, 26 February 2026, p. 10, para. 60. 65005.001.005.1203; **[Confidential - Redacted]**.

²⁷⁷ **[Confidential - Redacted]**.

²⁷⁸ ACCC, IAG and RAC Insurance (Report of Dr. Jeffrey Carmichael AO), 21 May 2026, p. 4. 65005.001.037.0001.

²⁷⁹ **[Confidential - Redacted]**; RAC, Mozammel Ali (Theorem Consulting) Report for HSF Kramer regarding IAG's proposed acquisition of RAC Insurance, 26 February 2026, p. 28, para. 146. 65005.001.005.1203.

²⁸⁰ **[Confidential - Redacted]**.

²⁸¹ **[Confidential - Redacted]**.

supply chain for both home and motor vehicle repairs, which RACI submits
[Confidential - Redacted].²⁸²

- 9.95. RAC submits that cost inflation can be exacerbated in periods of demand surge for repairs, for example following a large-scale insurance event. It submits that state-based insurers such as RACI are unable to diversify exposure to these events. As a consequence, [Confidential - Redacted].²⁸³
- 9.96. The ACCC considers that claims costs are increasing but that increased claims costs are unlikely to have a material impact on RACI's competitiveness in the future for two reasons.
- 9.97. First, increased claims costs impact all insurers, and RACI having to [Confidential - Redacted] to manage increased costs is unlikely to materially impact its competitiveness as other insurers also have to manage these increased costs. [Confidential - Redacted].²⁸⁴ The ACCC considers this is likely to be the case in the foreseeable future.
- 9.98. [Confidential - Redacted].²⁸⁵ However, the ACCC considers that this is offset by RACI's smaller size, meaning it would be subject to fewer claims than its larger competitors, especially considering the relatively lower natural peril risk in the Perth metropolitan area.
- 9.99. Secondly, claims inflation has slowed recently from its peak for the industry in general [Confidential - Redacted].²⁸⁶ In particular, in Western Australia, comprehensive towing industry reforms, which cap fees for crash towing and storage of light vehicles, [Confidential - Redacted].²⁸⁷

Regulatory costs

- 9.100. RAC submits that insurers have been subject to increased regulation in recent years, and that the impact of increased regulatory oversight on small to medium size insurers, such as RACI, is becoming [Confidential - Redacted].²⁸⁸
- 9.101. RAC submits that [Confidential - Redacted],²⁸⁹ [Confidential - Redacted].²⁹⁰
- 9.102. It submits that the Financial Accountability Regime (FAR) introduces individual accountability obligations for RACI executives, [Confidential - Redacted],²⁹¹ [Confidential - Redacted].²⁹²

²⁸² [Confidential - Redacted].

²⁸³ [Confidential - Redacted]; [Confidential - Redacted].

²⁸⁴ [Confidential - Redacted].

²⁸⁵ [Confidential - Redacted].

²⁸⁶ [Confidential - Redacted]; [Confidential - Redacted].

²⁸⁷ [Confidential - Redacted].

²⁸⁸ [Confidential - Redacted]; [Confidential - Redacted].

²⁸⁹ [Confidential - Redacted].

²⁹⁰ [Confidential - Redacted]; [Confidential - Redacted].

²⁹¹ [Confidential - Redacted]; [Confidential - Redacted].

²⁹² [Confidential - Redacted].

- 9.103. RAC also submits that it is required to comply with AASB17, which is an insurance specific standard, but requires the diversified RAC to produce insurance-focused profit and loss statements,²⁹³ **[Confidential - Redacted]**.²⁹⁴
- 9.104. The ACCC accepts that there has been increasing regulation of insurance companies, and recognises that larger insurers may have a greater ability than RACI to spread and absorb these costs. However, the ACCC considers that increased regulatory costs have not had, and are unlikely to have, a material impact on RACI's competitiveness for the following reasons, with the RAC **[Confidential - Redacted]** noting that RACI is **[Confidential - Redacted]**.²⁹⁵
- 9.105. Increased regulatory requirements apply to all insurers and as such, do not represent a challenge or cost that is unique to RACI (although the ACCC understands the impact of the burden of increased costs can vary between insurers).
- 9.106. In relation to the FAR, **[Confidential - Redacted]**,²⁹⁶ **[Confidential - Redacted]**. The ACCC considers it unlikely that compliance with this regulation will materially impact RACI's competitiveness. Further, while the FAR increases accountability obligations on RACI executives, the regime is designed to improve the risk and governance cultures of Australia's financial institutions,²⁹⁷ which should have a benefit for RACI.
- 9.107. **[Confidential - Redacted]**,²⁹⁸ **[Confidential - Redacted]**.²⁹⁹ The ACCC considers it unlikely that compliance with this regime materially impacts RACI's competitiveness.

[Confidential - Redacted]

- 9.108. **[Confidential - Redacted]**,³⁰⁰ **[Confidential - Redacted]**,³⁰¹ **[Confidential - Redacted]**.³⁰²
- 9.109. **[Confidential - Redacted]**.³⁰³ **[Confidential - Redacted]**³⁰⁴
- 9.110. **[Confidential - Redacted]**³⁰⁵
- 9.111. **[Confidential - Redacted]**.³⁰⁶
- 9.112. **[Confidential - Redacted]**.

²⁹³ **[Confidential - Redacted]**.

²⁹⁴ **[Confidential - Redacted]**.

²⁹⁵ **[Confidential - Redacted]**.

²⁹⁶ **[Confidential - Redacted]**.

²⁹⁷ APRA, [Financial Accountability Regime](#), 2026.

²⁹⁸ **[Confidential - Redacted]**; **[Confidential - Redacted]**.

²⁹⁹ **[Confidential - Redacted]**.

³⁰⁰ **[Confidential - Redacted]**; **[Confidential - Redacted]**.

³⁰¹ **[Confidential - Redacted]**.

³⁰² **[Confidential - Redacted]**.

³⁰³ **[Confidential - Redacted]**.

³⁰⁴ **[Confidential - Redacted]**.

³⁰⁵ **[Confidential - Redacted]**; **[Confidential - Redacted]**.

³⁰⁶ **[Confidential - Redacted]**.

Conclusion on RACI's future position

9.113. Based on the material before it, the ACCC considers that the evidence provided by the Parties including the reports from Mozammel Ali does not establish that RACI **[Confidential - Redacted]**. Instead, the evidence provided by the Parties and the two expert reports of Dr Jeffrey Carmichael show that RACI is likely to continue **[Confidential - Redacted]**.

9.114. In the Supplementary Carmichael Report, Dr Carmichael provides his opinion that RACI **[Confidential - Redacted]**.³⁰⁷ Dr Carmichael states that it is possible to 'conjure up' a scenario that results in ruin to an insurance business, but what is relevant is a consideration of what is likely.³⁰⁸ Dr Carmichael concludes that:³⁰⁹

...It is important to recognise that RACI has been in business for over a quarter of a century (closer to 80 years if its predecessor entity RAC Insurance is included), it survived the 2010 Perth Hailstorm, it is in good standing with its regulator APRA, it has been operating profitably for many years and has grown to serve its members.

*While RACI may lack some of the advantages of larger national or international general insurers, it appears to have a **[Confidential - Redacted]** place in the WA insurance industry.*

9.115. The ACCC considers that a major natural catastrophe in Perth, such as a 1-in-1,000 year earthquake, is not a likely scenario for the purposes of considering the counterfactual. **[Confidential - Redacted]**. **[Confidential - Redacted]**.³¹⁰

9.116. In addition, as set out above, the ACCC also considers that RACI is adequately managing other industry challenges, and is well placed to manage these in the future without the Acquisition.

9.117. On this basis, for the purposes of the counterfactual, in the short to medium term, RACI is likely to continue to compete vigorously in the supply of motor vehicle insurance and home and contents insurance in Western Australia.

[Confidential - Redacted]

9.118. As set out above, RAC submits that it **[Confidential - Redacted]**.³¹¹ **[Confidential - Redacted]**.³¹² **[Confidential - Redacted]**.³¹³ **[Confidential - Redacted]**.³¹⁴

9.119. RAC submits **[Confidential - Redacted]**.³¹⁵

³⁰⁷ ACCC, IAG and RAC Insurance (Supplementary Report of Dr. Jeffrey Carmichael AO), 19 August 2026, p. 6. 65005.001.052.0001.

³⁰⁸ ACCC, IAG and RAC Insurance (Supplementary Report of Dr. Jeffrey Carmichael AO), 19 August 2026, p. 6. 65005.001.052.0001.

³⁰⁹ ACCC, IAG and RAC Insurance (Supplementary Report of Dr. Jeffrey Carmichael AO), 19 August 2026, p. 6. 65005.001.052.0001.

³¹⁰ ACCC, IAG and RAC Insurance (Supplementary Report of Dr. Jeffrey Carmichael AO), 19 August 2026, p. 6. 65005.001.052.0001.

³¹¹ **[Confidential - Redacted]**; **[Confidential - Redacted]**; **[Confidential - Redacted]**; **[Confidential - Redacted]**.

³¹² **[Confidential - Redacted]**.

³¹³ **[Confidential - Redacted]**.

³¹⁴ **[Confidential - Redacted]**.

³¹⁵ **[Confidential - Redacted]**.

9.120. However, [Confidential - Redacted].³¹⁶ [Confidential - Redacted].³¹⁷

9.121. The RAC [Confidential - Redacted] noted that [Confidential - Redacted]:

- [Confidential - Redacted].
- [Confidential - Redacted].
- [Confidential - Redacted].
- [Confidential - Redacted].
- [Confidential - Redacted].
- [Confidential - Redacted].³¹⁸

9.122. The RAC [Confidential - Redacted] considers that, [Confidential - Redacted].³¹⁹

9.123. The ACCC considers that, in the short to medium term, RACI is likely to continue to compete vigorously in the supply of motor vehicle insurance and home and contents insurance in Western Australia. [Confidential - Redacted].³²⁰ [Confidential - Redacted].³²¹

10. Competition assessment in the supply of motor vehicle insurance in Western Australia – horizontal effects

10.1. The ACCC has considered the effects of the Acquisition by comparing the likely future state of competition if the Acquisition proceeds against the likely future state of competition if the Acquisition does not proceed.

10.2. This section sets out the ACCC's consideration of the competition effects in motor vehicle insurance. It considers the concentration levels, IAG's position in the market now and in the future, RACI's position now and in the future, the market position and strength of other suppliers of motor vehicle insurance now and in the future, empirical analysis and barriers to entry/expansion.

10.3. On the evidence before it, the ACCC concludes that there would be a substantial increase in market concentration, that IAG and RACI are likely to continue to be effective competitors and have a strong ability and incentive to compete if the Acquisition does not proceed, and that there are high barriers to entry/expansion to the supply of motor vehicle insurance in Western Australia. The ACCC is satisfied that the Acquisition, if put into effect, would, in all the circumstances, have the effect or be likely to have the effect, of substantially lessening competition in the market for the supply of motor vehicle insurance in Western Australia.

³¹⁶ [Confidential - Redacted].

³¹⁷ [Confidential - Redacted].

³¹⁸ [Confidential - Redacted]; [Confidential - Redacted].

³¹⁹ [Confidential - Redacted].

³²⁰ [Confidential - Redacted].

³²¹ [Confidential - Redacted].

Market shares and concentration

- 10.4. Market structure, including the number of competitors and the degree of concentration, is a key determinant of the strength of competition in a market.³²² The acquisition of a competitor in a concentrated market can raise serious competition concerns,³²³ particularly where the acquisition removes an effective competitor.
- 10.5. The Acquisition would result in a significant increase in IAG's market share in the motor vehicle insurance market in Western Australia, with IAG's share of volumes increasing from **[Confidential - Redacted]** to **[Confidential - Redacted]** (for the 6 months ending December 2025)³²⁴ and its **[Confidential - Redacted]** (see Table 2 below).³²⁵

Table 2: Share of supply in motor vehicle insurance in Western Australia

Insurer	RFI Global Data (3 months to December 2025) ³²⁶	RFI Global Data (6 months to December 2025) ³²⁷	[Confidential - Redacted] ³²⁸
IAG	[Confidential - Redacted]	[Confidential - Redacted]	[Confidential - Redacted]
RACI	[Confidential - Redacted]	[Confidential - Redacted]	[Confidential - Redacted]
Merged entity	[Confidential - Redacted]	[Confidential - Redacted]	[Confidential - Redacted]
[Confidential - Redacted]	[Confidential - Redacted]	[Confidential - Redacted]	
[Confidential - Redacted]	[Confidential - Redacted]	[Confidential - Redacted]	
[Confidential - Redacted]	[Confidential - Redacted]	[Confidential - Redacted]	
[Confidential - Redacted]	[Confidential - Redacted]	[Confidential - Redacted]	
[Confidential - Redacted]	[Confidential - Redacted]	[Confidential - Redacted]	
[Confidential - Redacted]	[Confidential - Redacted]	[Confidential - Redacted]	
[Confidential - Redacted]	[Confidential - Redacted]	[Confidential - Redacted]	

³²² See, for example, *Re Queensland Co-Op Milling Association Limited and Defiance Holdings Limited* (1976) 8 ALR 481 (QCMA), 512.

³²³ ACCC, [Merger assessment guidelines](#), 20 June 2025, pp. 4, 13.

³²⁴ RFI Global monthly survey result table (weighted); **[Confidential - Redacted]**.

³²⁵ RFI Global monthly survey result table (weighted); **[Confidential - Redacted]**.

³²⁶ The figures are market shares using RFIs monthly data shown in the source, pooled for 3 months to December 2025. **[Confidential - Redacted]**.

³²⁷ RFI Global monthly survey result table (weighted). **[Confidential - Redacted]**.

³²⁸ **[Confidential - Redacted]**.

- 10.6. As shown in Table 2 above, the ACCC has considered APRA market share data during its assessment. The APRA shares were provided to the ACCC as ‘protected information’ under the *APRA Act 1988* (Cth), and the ACCC is unable to disclose that data to the Parties and is unable to publish that data in this Statement of Reasons.
- 10.7. The APRA shares are more reliable than the survey-based data presented by IAG. As the Parties have access to their own APRA market shares, the Parties will be aware of the differences between the APRA data and the RFI Global data.
- 10.8. As shown in Table 2, RACI is the largest supplier of motor vehicle insurance in Western Australia and has a significantly larger market share compared to any other insurer. IAG is the third largest supplier of motor insurance.³²⁹
- 10.9. Other suppliers in Western Australia include established insurer, Suncorp, which has a market share of around **[Confidential - Redacted]**. The majority of Suncorp’s share is through supply under its AAMI brand (AAMI **[Confidential - Redacted]** and Shannons³³⁰ **[Confidential - Redacted]**). Allianz, another established insurer, has a market share of around **[Confidential - Redacted]**, while QBE has around **[Confidential - Redacted]**. The three main challenger brands – Auto & General, Youi and Hollard – together have approximately **[Confidential - Redacted]**.

Figure 2: Market share of supply of motor vehicle insurance in Western Australia – 6-month combined rolling sample June 2017 to December 2025 (RFI Global)

[Confidential - Redacted]

- 10.10. The ACCC has calculated the HHI as a measure of market concentration. The ACCC considers that markets with an HHI greater than 2,000 are highly concentrated, and a change in HHI of more than 100 points is a significant increase in concentration.³³¹ Based on the RFI Global data, the ACCC estimates that the post-acquisition HHI would be **[Confidential - Redacted]** and a delta of **[Confidential - Redacted]**.³³²
- 10.11. The Parties submit that concentration measures are not indicative of actual competition as “concentration levels in Western Australia are inflated by the market share of RACI in circumstances where RACI’s market share gains have been driven by behaviour that cannot and will not be sustained in the future”.³³³
- 10.12. The Parties submit that, in circumstances where RACI has gained a high market share by reducing prices, “high levels of market concentration are not necessarily reflective of a non-competitive market”.³³⁴
- 10.13. In the First Ockerby Report, Mr. Ockerby outlines that “point-in-time measures of concentration should be interpreted with caution, and assessed in conjunction with

³²⁹ Based on market share calculated using 6 months of RFI Global monthly survey data (**[Confidential - Redacted]**). See Table 2.

³³⁰ **[Confidential - Redacted]**; **[Confidential - Redacted]**.

³³¹ ACCC, [Merger assessment guidelines](#), 20 June 2025, para. 1.24.

³³² **[Confidential - Redacted]**.

³³³ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 81, para. 235. 65005.001.005.0849.

³³⁴ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 81, para. 234. 65005.001.005.0849.

evidence on substitution, entry, and competitive behaviour when evaluating competitive effects.”³³⁵

- 10.14. The ACCC’s view is that the market shares and concentration measures before and after a merger are important determinants of the effect of an acquisition on competition. Further, as set out above, the ACCC’s assessment is that RACI will continue to be a strong and effective competitor in the absence of the Acquisition and therefore its future approach to pricing is unlikely to differ materially from its recent approach to pricing. **[Confidential - Redacted]**.³³⁶

Competition from IAG

- 10.15. IAG submits that it has a limited presence in Western Australia³³⁷ and the strength of the NRMA brand in Western Australia is overstated in the NOCC.³³⁸
- 10.16. Evidence provided by IAG in support of its submission includes IAG’s declining market share (between June 2021 and April 2025, the number of active IAG policies in motor vehicle insurance **[Confidential - Redacted]** from **[Confidential - Redacted]** to **[Confidential - Redacted]** and the **[Confidential - Redacted]** compared to other states (survey data on brand awareness from September 2025 showed that NRMA ranked **[Confidential - Redacted]** behind other insurers, with RACI being number **[Confidential - Redacted]**).³³⁹ IAG submits that the Acquisition combines RACI with a comparatively modest IAG position **[Confidential - Redacted]**.³⁴⁰
- 10.17. The ACCC’s assessment, based on the evidence before it, is that IAG is an effective competitor in Western Australia. The ACCC also considers that IAG is likely to be a stronger competitor than it is presently in the absence of the Acquisition.
- 10.18. IAG has a strong presence in Western Australia, where it is the **[Confidential - Redacted]** motor vehicle insurer (see Table 2 above). More broadly, it is one of the two largest personal lines general insurers in Australia.³⁴¹
- 10.19. IAG’s **[Confidential - Redacted]** pricing is reasonably competitive compared to RACI and most insurers in Western Australia.³⁴² **[Confidential - Redacted]**.³⁴³
- 10.20. While the ACCC accepts that the number of active IAG policies in motor vehicle insurance has been **[Confidential - Redacted]** and that NRMA brand recognition in Western Australia **[Confidential - Redacted]** based on the survey data, the ACCC has considered other data provided by IAG that shows that IAG’s share across all of its brands **[Confidential - Redacted]** at approximately **[Confidential - Redacted]** from 2022 to 2026 (see Figure 2 above). **[Confidential - Redacted]** also shows that NRMA

³³⁵ IAG, Jason Ockerby (CEG) Report for Allens regarding IAG’s proposed acquisition of RAC Insurance, 3 March 2026, [79]. 65005.001.005.1024.

³³⁶ **[Confidential - Redacted]**.

³³⁷ IAG, Notification of Acquisition – Accompanying Submission to Notification, 3 March 2026, p. 80, para. 232. 65005.001.005.0849; **[Confidential - Redacted]**.

³³⁸ **[Confidential - Redacted]**.

³³⁹ IAG, Notification of Acquisition – Accompanying Submission to Notification, 3 March 2026, pp. 80-81, paras. 232-233. 65005.001.005.0849; **[Confidential - Redacted]**.

³⁴⁰ IAG, Notification of Acquisition – Accompanying Submission to Notification, 3 March 2026, pp. 80-81, paras. 232-233. 65005.001.005.0849; **[Confidential - Redacted]**.

³⁴¹ CHOICE, [Allianz, NRMA, OBE, AAMI, GIO and Suncorp insurance compared](#), 13 December 2024; **[Confidential - Redacted]**.

³⁴² **[Confidential - Redacted]**; **[Confidential - Redacted]**; **[Confidential - Redacted]**.

³⁴³ **[Confidential - Redacted]**; **[Confidential - Redacted]**; **[Confidential - Redacted]**.

had a higher share of voice in Western Australia relative to its market share in 2025, which suggests it is looking to grow its customer awareness and customer share.³⁴⁴

10.21. The ACCC understands that recently, in Western Australia, IAG has been focused on **[Confidential - Redacted]**.³⁴⁵ IAG's internal documents suggest that, **[Confidential - Redacted]**.³⁴⁶ **[Confidential - Redacted]**.³⁴⁷ **[Confidential - Redacted]**,³⁴⁸ **[Confidential - Redacted]**.³⁴⁹ The ACCC considers that the issues of **[Confidential - Redacted]** and **[Confidential - Redacted]** may be due to IAG **[Confidential - Redacted]**, the relatively short time that NRMA has been in the Western Australian market, **[Confidential - Redacted]**.³⁵⁰

10.22. The ACCC considers that IAG is likely to compete even more effectively in the future absent the Acquisition by continuing to use its competitive advantages and by increasing its marketing, media spend and brand awareness in Western Australia.³⁵¹

10.23. The sections below address the evidence before the ACCC which indicates that:

- NRMA is a trusted brand, including in Western Australia
- IAG's digital capabilities³⁵² provide it with a competitive advantage that enables it to compete strongly in Western Australia
- IAG has access to, and expertise in, reinsurance.

NRMA brand

10.24. The ACCC considers that although the NRMA brand is relatively new in Western Australia (having been introduced by IAG in 2021),³⁵³ the NRMA brand is a strong brand nationally **[Confidential - Redacted]**.³⁵⁴ This is supported by IAG internal **[Confidential - Redacted]** documents, which provide that:

- **[Confidential - Redacted]**.³⁵⁵ **[Confidential - Redacted]**³⁵⁶ **[Confidential - Redacted]**.³⁵⁷
- **[Confidential - Redacted]**.³⁵⁸

10.25. The fact that NRMA is a strong brand and is growing in strength is also supported by evidence from RACI including:

- **[Confidential - Redacted]**³⁵⁹ **[Confidential - Redacted]**.³⁶⁰

³⁴⁴ **[Confidential - Redacted]**.

³⁴⁵ **[Confidential - Redacted]**.

³⁴⁶ **[Confidential - Redacted]**.

³⁴⁷ **[Confidential - Redacted]**.

³⁴⁸ **[Confidential - Redacted]**.

³⁴⁹ **[Confidential - Redacted]**.

³⁵⁰ **[Confidential - Redacted]**.

³⁵¹ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, pp. 66-67. 65005.001.005.0849.

³⁵² **[Confidential - Redacted]**. IAG, [IAG Appendix 4E Annual Report FY26](#), 13 August 2026, p. 17.

³⁵³ IAG, [NRMA Insurance expands into Western Australia](#), 1 November 2021.

³⁵⁴ **[Confidential - Redacted]**.

³⁵⁵ **[Confidential - Redacted]**.

³⁵⁶ **[Confidential - Redacted]**.

³⁵⁷ **[Confidential - Redacted]**.

³⁵⁸ **[Confidential - Redacted]**.

³⁵⁹ **[Confidential - Redacted]**.

³⁶⁰ **[Confidential - Redacted]**.

- **[Confidential - Redacted]**.³⁶¹ **[Confidential - Redacted]**.³⁶²
- **[Confidential - Redacted]**.³⁶³

10.26. Evidence from other insurers also shows that the NRMA brand is strong in Western Australia. For example:

- **[Confidential - Redacted]** gave evidence that NRMA's strengths in Western Australia are that perceptions of service are high and it has strong service delivery. NRMA has strong "brand health metrics" including familiarity, awareness, consideration and preference. NRMA also has a trust element due to its history.³⁶⁴
- **[Confidential - Redacted]**.³⁶⁵ **[Confidential - Redacted]**.³⁶⁶
- CHOICE's 2025 customer satisfaction survey, which shows solid performance by the NRMA brand, evidencing its strength nationally. In the survey, 72% of NRMA customers rated their experience with NRMA as above average or excellent.³⁶⁷ The survey also highlighted that 78% of NRMA customers rated their claims experience with NRMA as above average or excellent.³⁶⁸

IAG's technology offering

10.27. The ACCC considers that IAG has a strong technology offering which assists with its competitive position. This view is supported by evidence from both IAG and RAC:

- **[Confidential - Redacted]** IAG has strong digital capabilities, with recently upgraded back-end IT infrastructure that has increased operational stability and efficiency and which enables IAG to price risk quickly and appropriately.³⁶⁹ **[Confidential - Redacted]** "from 2018, IAG has invested over \$1 billion in its own technology uplift, and that investment in technology is continuing".³⁷⁰ This has led to the modernisation of "almost every part of the underlying retail platform" and has enabled IAG to achieve greater simplicity and stability in those backend systems.³⁷¹
- **[Confidential - Redacted]**.³⁷² **[Confidential - Redacted]**.³⁷³

IAG's relationships with reinsurers

10.28. IAG has strong relationships with reinsurers and has long-dated significant reinsurance arrangements that provide it with "access to long term stable capital,"

³⁶¹ **[Confidential - Redacted]**.

³⁶² **[Confidential - Redacted]**.

³⁶³ **[Confidential - Redacted]**; **[Confidential - Redacted]**.

³⁶⁴ **[Confidential - Redacted]**.

³⁶⁵ **[Confidential - Redacted]**; **[Confidential - Redacted]**.

³⁶⁶ **[Confidential - Redacted]**.

³⁶⁷ CHOICE, [CHOICE car insurance survey: RAA car insurance takes out top spot again](#), 12 May 2025.

³⁶⁸ CHOICE, [CHOICE car insurance survey: RAA car insurance takes out top spot again](#), 12 May 2025.

³⁶⁹ **[Confidential - Redacted]**.

³⁷⁰ **[Confidential - Redacted]**.

³⁷¹ **[Confidential - Redacted]**.

³⁷² **[Confidential - Redacted]**.

³⁷³ **[Confidential - Redacted]**.

which protects it against natural perils volatility.³⁷⁴ This provides IAG with a strong financial foundation on which to compete.

Competition from RACI

10.29. The ACCC's assessment, based on the evidence before it, is that RACI is the dominant provider of motor vehicle insurance in Western Australia. Other insurers and customers consider it has high-quality offerings in terms of product aspects and service (most relevantly, claims experience), competitive pricing, and strong brand reputation.

RACI's market position

10.30. Evidence before the ACCC shows that RACI is consistently viewed as the leading provider on all aspects of its product and service offering in the Western Australian motor vehicle insurance market. In particular:

- RACI's internal documents acknowledge that **[Confidential - Redacted]**³⁷⁵ **[Confidential - Redacted]**³⁷⁶
- IAG's internal documents also note that **[Confidential - Redacted]**³⁷⁷ **[Confidential - Redacted]**³⁷⁸ **[Confidential - Redacted]**.
- Rival insurers acknowledge RACI's strength in the Western Australia market. **[Confidential - Redacted]** provided that RACI is by far the biggest player in the market in Western Australia.³⁷⁹ **[Confidential - Redacted]** provided that RACI has grown quite strongly,³⁸⁰ and that it appears RACI has a loyal customer base.³⁸¹ **[Confidential - Redacted]** also considers that "the Car Insurance and Home Insurance marketplace in Western Australia is unique to any other state with RACI holding a dominant market position, and brand performance, not seen in any other brand, in any other state."³⁸² The **[Confidential - Redacted]** stated that the strongest brand in the Western Australia market is RACI.³⁸³ **[Confidential - Redacted]** stated that RACI is a strong competitor and it is difficult to poach customers from RACI because they can be competitive on service and price simultaneously and when they do succeed in winning customers off RACI, it is difficult to keep them from going back.³⁸⁴

³⁷⁴ **[Confidential - Redacted]**.

³⁷⁵ **[Confidential - Redacted]**.

³⁷⁶ **[Confidential - Redacted]**.

³⁷⁷ **[Confidential - Redacted]**.

³⁷⁸ **[Confidential - Redacted]**.

³⁷⁹ **[Confidential - Redacted]**.

³⁸⁰ **[Confidential - Redacted]**.

³⁸¹ **[Confidential - Redacted]**.

³⁸² **[Confidential - Redacted]**.

³⁸³ **[Confidential - Redacted]**.

³⁸⁴ **[Confidential - Redacted]**.

- 10.31. In relation to market share, the ACCC understands that RACI's dominance does not just reflect a historical or legacy position:
- Data shows that RACI has experienced significant market share growth in motor vehicles since 2017 – growing from **[Confidential - Redacted]** to around **[Confidential - Redacted]** in late 2023.³⁸⁵
 - **[Confidential - Redacted]**.³⁸⁶
 - **[Confidential - Redacted]**, RACI's market share did not decrease significantly, with its share decreasing around **[Confidential - Redacted]** from 2024 to December 2025 (see Figure 2 above).

RACI's pricing

- 10.32. The Parties submit that, **[Confidential - Redacted]**³⁸⁷
- 10.33. The ACCC accepts that RACI is not currently one of the lowest priced insurers in the market. However, the ACCC considers that RACI has been competitive on price over a long period of time. The ACCC considers that the evidence before it suggests that RACI will likely return to being one of the lower-cost insurers in the market in the short to medium term. **[Confidential - Redacted]**.³⁸⁸ **[Confidential - Redacted]**.³⁸⁹
- 10.34. RACI has a history of low prices:
- According to RACI **[Confidential - Redacted]**, it has a "member focus on pricing",³⁹⁰ **[Confidential - Redacted]**. For example, **[Confidential - Redacted]**.³⁹¹
 - **[Confidential - Redacted]**³⁹² **[Confidential - Redacted]**³⁹³ **[Confidential - Redacted]**.³⁹⁴
 - **[Confidential - Redacted]** provided that RACI is historically competitive on price and is currently competitive,³⁹⁵ **[Confidential - Redacted]** noted that RACI has a competitive price.³⁹⁶
- 10.35. This approach to pricing is consistent with RAC (and RACI) not necessarily having profit as a primary focus and having the aim of providing benefits to members.³⁹⁷ The ACCC also notes that RACI's insurance customers are members of the RAC WA, a not-for-profit organisation. The not-for-profit status of RAC WA may have contributed to RACI's record of being competitive on price over a long period of time. Consistent with this, RACI's market share in motor vehicles increased strongly, from **[Confidential - Redacted]** in 2017 to around **[Confidential - Redacted]** in late

³⁸⁵ **[Confidential - Redacted]**; IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, Annexure 6, p. 125. 65005.001.005.0849.

³⁸⁶ **[Confidential - Redacted]**.

³⁸⁷ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 35. 65005.001.005.0849.

³⁸⁸ **[Confidential - Redacted]**.

³⁸⁹ **[Confidential - Redacted]**; **[Confidential - Redacted]**; **[Confidential - Redacted]**; **[Confidential - Redacted]**.

³⁹⁰ **[Confidential - Redacted]**.

³⁹¹ **[Confidential - Redacted]**.

³⁹² **[Confidential - Redacted]**.

³⁹³ **[Confidential - Redacted]**.

³⁹⁴ **[Confidential - Redacted]**.

³⁹⁵ **[Confidential - Redacted]**.

³⁹⁶ **[Confidential - Redacted]**.

³⁹⁷ **[Confidential - Redacted]**.

2023 (see Figure 2 above). Such rapid growth in established markets is relatively uncommon among (listed) public companies with diverse ownership, which tend to focus on profit maximisation.

- 10.36. [Confidential - Redacted]³⁹⁸ [Confidential - Redacted]³⁹⁹ As a result, RACI's volume market share flattened and then slightly declined by [Confidential - Redacted].⁴⁰⁰
- 10.37. [Confidential - Redacted], RACI has not maintained its position as the lowest or one of the lowest priced insurers in relation to the price of new policies:
- [Confidential - Redacted],⁴⁰¹ [Confidential - Redacted].⁴⁰²
 - [Confidential - Redacted].⁴⁰³
- 10.38. [Confidential - Redacted], as seen in Figure 2 showing RACI's share over time, RACI's share has not decreased significantly. It has retained a large portion of its customer base. [Confidential - Redacted] internal analysis makes clear that RACI has retained most of its customers as they value the pricing of RACI's policies together with all the other elements of the proposition, including local presence and claims experience.⁴⁰⁴
- 10.39. [Confidential - Redacted].⁴⁰⁵ [Confidential - Redacted]:
- [Confidential - Redacted].⁴⁰⁶
 - [Confidential - Redacted].⁴⁰⁷ and
 - [Confidential - Redacted].⁴⁰⁸

RACI's service quality

- 10.40. The ACCC considers that RACI competes strongly on service quality, including customer service and claims handling, which provides it with a key competitive advantage over rival insurers. The ACCC considers that, as a member-owned organisation, RACI has a focus on member satisfaction that translates to high service quality.
- 10.41. Based on the evidence before it, the ACCC understands that:
- This commitment to service quality includes claims management and claims assessment, [Confidential - Redacted]⁴⁰⁹ [Confidential - Redacted]⁴¹⁰

³⁹⁸ [Confidential - Redacted].

³⁹⁹ [Confidential - Redacted].

⁴⁰⁰ [Confidential - Redacted]; IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, Annexure 6, p. 125. 65005.001.005.0849.

⁴⁰¹ [Confidential - Redacted]; [Confidential - Redacted]; [Confidential - Redacted].

⁴⁰² [Confidential - Redacted].

⁴⁰³ [Confidential - Redacted].

⁴⁰⁴ [Confidential - Redacted].

⁴⁰⁵ [Confidential - Redacted]; [Confidential - Redacted]; [Confidential - Redacted].

⁴⁰⁶ [Confidential - Redacted].

⁴⁰⁷ [Confidential - Redacted].

⁴⁰⁸ [Confidential - Redacted].

⁴⁰⁹ [Confidential - Redacted].

⁴¹⁰ [Confidential - Redacted].

[Confidential - Redacted].⁴¹¹ **[Confidential - Redacted]**.⁴¹² Third party evidence also supports this; with an **[Confidential - Redacted]** document stating that **[Confidential - Redacted]**.⁴¹³

- RACI prides itself on, and is strong in relation to customer service, and that this is what the organisation is built on.⁴¹⁴
- A strength of RACI's service quality is its local presence in Western Australia, for example being able to respond promptly in an event,⁴¹⁵ and having the ability to obtain feedback and communicate with the membership through the local call centre.⁴¹⁶ Third party evidence also supports this; with an **[Confidential - Redacted]** document stating that "RAC sets the benchmark for immediacy, understanding and responsiveness" and that Western Australians strongly value "fast access to a real person who 'gets WA'."⁴¹⁷
- **[Confidential - Redacted]** demonstrate its strong commitment to service quality, noting that **[Confidential - Redacted]**.⁴¹⁸
- **[Confidential - Redacted]**.⁴¹⁹ **[Confidential - Redacted]**.⁴²⁰
- **[Confidential - Redacted]**.⁴²¹
- **[Confidential - Redacted]**,⁴²² **[Confidential - Redacted]**.⁴²³ **[Confidential - Redacted]**.

10.42. RACI's service quality is recognised by rival insurers:

- **[Confidential - Redacted]** provided that a strength of RACI is the perception customers have around service quality and the general fairness, price competitiveness of their offering.⁴²⁴ **[Confidential - Redacted]** also highlighted that "RAC sets the benchmark for immediacy, understanding and responsiveness. **[Confidential - Redacted]**"⁴²⁵
- Similarly, the **[Confidential - Redacted]** noted that the loss of customers to RACI was due to the fact that RACI had a superior combination of price, service and trust compared with **[Confidential - Redacted]** such that when it is renewal time or following a claim, customers return to RACI.⁴²⁶
- **[Confidential - Redacted]** gave evidence that RACI has strong perceptions around quality and service.⁴²⁷

⁴¹¹ **[Confidential - Redacted]**.

⁴¹² **[Confidential - Redacted]**.

⁴¹³ **[Confidential - Redacted]**.

⁴¹⁴ **[Confidential - Redacted]**; **[Confidential - Redacted]**.

⁴¹⁵ **[Confidential - Redacted]**.

⁴¹⁶ **[Confidential - Redacted]**.

⁴¹⁷ **[Confidential - Redacted]**.

⁴¹⁸ **[Confidential - Redacted]**.

⁴¹⁹ **[Confidential - Redacted]**; **[Confidential - Redacted]**.

⁴²⁰ **[Confidential - Redacted]**; **[Confidential - Redacted]**.

⁴²¹ **[Confidential - Redacted]**.

⁴²² **[Confidential - Redacted]**.

⁴²³ **[Confidential - Redacted]**.

⁴²⁴ **[Confidential - Redacted]**.

⁴²⁵ **[Confidential - Redacted]**.

⁴²⁶ **[Confidential - Redacted]**.

⁴²⁷ **[Confidential - Redacted]**.

10.43. RACI's service quality is reflected in a number of different measures and surveys. In particular:

- **[Confidential - Redacted]**.⁴²⁸
- In 2023, 2024, and 2025, RAC won the major general insurer category in the annual national Roy Morgan customer service awards.⁴²⁹
- RACI's strong performance in CHOICE's 2025 customer satisfaction survey. In the survey, 77% of RACI customers rated their experience with RACI as above average or excellent.⁴³⁰ The survey also highlighted that 80% of RACI customers rated their claims experience with RACI as above average or excellent.⁴³¹

10.44. ACCC analysis of CHOICE's 2025 customer satisfaction survey data⁴³² shows that RACI's performance in relation to customer experience (Figure 3) and claims experience (Figure 4) is on par or better than most rival insurers available in the Western Australia market.

Figure 3: CHOICE 2025 Customer Satisfaction Survey - Overall Experience (Motor)

[Confidential - Redacted]

Figure 4: CHOICE 2025 Customer Satisfaction Survey - Claims Experience (Motor)

[Confidential - Redacted]

10.45. RACI's service quality is also reflected in complaint data from the Australian Financial Complaints Authority (**AFCA**).

10.46. The ACCC combined AFCA complaint data with risks insured data from APRA to create an AFCA complaints per 100,000 risks insured metric. In motor vehicle insurance, **[Confidential - Redacted]** **[Confidential - Redacted]**.⁴³³

10.47. AFCA complaint data on motor vehicle insurance confined to Western Australia was compared to market share in Western Australia and shows that RACI had a significantly smaller proportion of total complaints at **[Confidential - Redacted]** compared to market share of **[Confidential - Redacted]**⁴³⁴ - **[Confidential - Redacted]**⁴³⁵ over the FY21-FY25 period. IAG's complaints were **[Confidential - Redacted]**. In contrast, **[Confidential - Redacted]**.

RACI's brand

10.48. The ACCC considers that RACI has a strong, trusted and resilient brand in Western Australia.

⁴²⁸ See, for example, **[Confidential - Redacted]**.

⁴²⁹ Roy Morgan, [Roy Morgan Annual Customer Satisfaction Awards 2023](#), 22 September 2023; Roy Morgan, [Roy Morgan Annual Customer Satisfaction Awards 2024](#), 10 April 2025; Roy Morgan, [Roy Morgan Annual Customer Satisfaction Awards 2025](#), 30 April 2026.

⁴³⁰ CHOICE, [CHOICE car insurance survey: RAA car insurance takes out top spot again](#), 12 May 2025.

⁴³¹ CHOICE, [CHOICE car insurance survey: RAA car insurance takes out top spot again](#), 12 May 2025.

⁴³² **[Confidential - Redacted]**.

⁴³³ **[Confidential - Redacted]**.

⁴³⁴ **[Confidential - Redacted]**.

⁴³⁵ **[Confidential - Redacted]**.

- 10.49. RACI's internal documents and commentary from executives from RAC and RACI support the finding that RACI has a strong, trusted and resilient brand **[Confidential - Redacted]**:
- internal documents note that its brand strength **[Confidential - Redacted]**⁴³⁶ **[Confidential - Redacted]**⁴³⁷
 - **[Confidential - Redacted]**⁴³⁸ **[Confidential - Redacted]**⁴³⁹ **[Confidential - Redacted]**⁴⁴⁰
 - **[Confidential - Redacted]**⁴⁴¹
 - **[Confidential - Redacted]**⁴⁴²
- 10.50. **[Confidential - Redacted]**⁴⁴³ **[Confidential - Redacted]**⁴⁴⁴
- 10.51. ACCC analysis of CHOICE's 2025 customer satisfaction survey data demonstrates that RACI customers are relatively more likely to renew their car insurance with RACI than customers of other insurers (Figure 5).

Figure 5: CHOICE 2025 Customer Satisfaction Survey – Customer renewals (Motor)

[Confidential - Redacted]

- 10.52. Product holdings data for FY26 provided by the Parties also supports that RACI has a strong brand with **[Confidential - Redacted]**⁴⁴⁵ By contrast, IAG has **[Confidential - Redacted]**⁴⁴⁶
- 10.53. Rival insurers also consider that RACI has a strong brand, with **[Confidential - Redacted]** noting that RAC has managed to take its very high levels of unpromoted awareness and turned that brand power into a dominant market share position.⁴⁴⁷ Similarly, **[Confidential - Redacted]** considers that RACI has "strong emotional connection and brand trust in WA" and "strong customer loyalty and satisfaction."⁴⁴⁸ **[Confidential - Redacted]** stated that "RAC is one that has an incredibly strong brand in Western Australia, that is then also reflected in the perceptions that customers have around service quality and the general fairness and price competitiveness of their offering."⁴⁴⁹ **[Confidential - Redacted]** noted that its brand continued to be strong **[Confidential - Redacted]**⁴⁵⁰ **[Confidential - Redacted]** also outlines how strong the brand is by stating that customers perceive it as a "WA institution, a household name in WA."⁴⁵¹ The **[Confidential - Redacted]** stated that RACI's brand is

⁴³⁶ **[Confidential - Redacted]**.

⁴³⁷ **[Confidential - Redacted]**.

⁴³⁸ **[Confidential - Redacted]**.

⁴³⁹ **[Confidential - Redacted]**.

⁴⁴⁰ **[Confidential - Redacted]**.

⁴⁴¹ **[Confidential - Redacted]**.

⁴⁴² **[Confidential - Redacted]**.

⁴⁴³ **[Confidential - Redacted]**.

⁴⁴⁴ **[Confidential - Redacted]**.

⁴⁴⁵ **[Confidential - Redacted]**.

⁴⁴⁶ **[Confidential - Redacted]**.

⁴⁴⁷ **[Confidential - Redacted]**.

⁴⁴⁸ **[Confidential - Redacted]**.

⁴⁴⁹ **[Confidential - Redacted]**.

⁴⁵⁰ **[Confidential - Redacted]**.

⁴⁵¹ **[Confidential - Redacted]**.

so much stronger relative to the **[Confidential - Redacted]** brand.⁴⁵² **[Confidential - Redacted]** also noted that RACI competes strongly on brand reputation.⁴⁵³

Competition between IAG and RACI

- 10.54. IAG submits that it has a limited presence in Western Australia and that IAG and RACI are not particularly close competitors.⁴⁵⁴ IAG submits that it provides no materially stronger constraint on RACI than the other insurers active in Western Australia.⁴⁵⁵
- 10.55. IAG submits that the analysis in the NOCC of IAG and RACI average and median premiums is unsound as the analysis:
- does not adjust for insured values and does not therefore compare like for like,
 - shows that there are **[Confidential - Redacted]**, and
 - does not include other insurers' prices in the analysis.⁴⁵⁶
- 10.56. IAG also submits that a particular data point in the ACCC's assessment of closeness of competition between the Parties rests on a flawed analysis of the switching data and diversion ratios.⁴⁵⁷ Instead, these data and ratios show that **[Confidential - Redacted]**, not that they compete closely. IAG also submits that the ACCC's analysis was on older data, rather than more recent data, and is materially affected by internal inconsistencies which undermine its assessment.⁴⁵⁸
- 10.57. Based on the evidence before it, the ACCC considers that RACI and IAG compete closely in Western Australia as two of the three largest suppliers of motor vehicle insurance in the state. The Parties **[Confidential - Redacted]** compete with each other on pricing, customer service and claims handling and both have strong brands in the market. Analysis of switching data also shows that the Parties win and lose customers to each other **[Confidential - Redacted]**.

Product offering, quality and brand

- 10.58. IAG and RACI both provide comprehensive and third-party motor vehicle insurance in Western Australia. As noted in the two subsections above on competition from IAG and competition from RACI, both Parties provide a quality product offering and have strong brands.
- 10.59. **[Confidential - Redacted]**. For example, **[Confidential - Redacted]**.⁴⁵⁹ **[Confidential - Redacted]**.⁴⁶⁰

⁴⁵² **[Confidential - Redacted]**.

⁴⁵³ **[Confidential - Redacted]**.

⁴⁵⁴ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, pp. 80-81, paras. 232-233. 65005.001.005.0849; **[Confidential - Redacted]**.

⁴⁵⁵ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, pp. 80-81, paras. 232-233. 65005.001.005.0849; **[Confidential - Redacted]**.

⁴⁵⁶ **[Confidential - Redacted]**.

⁴⁵⁷ **[Confidential - Redacted]**.

⁴⁵⁸ **[Confidential - Redacted]**.

⁴⁵⁹ **[Confidential - Redacted]**; **[Confidential - Redacted]**; **[Confidential - Redacted]**.

⁴⁶⁰ **[Confidential - Redacted]**; **[Confidential - Redacted]**; **[Confidential - Redacted]**.

- 10.60. Third party materials indicate that both brands are highly regarded in Western Australia. While RACI has particularly strong brand awareness, reputation and loyalty, third party insurers consider that NRMA has strengths in Western Australia including that perceptions of its brand are high, it has strong service delivery and can leverage its national set up in terms of for example claims management.⁴⁶¹
- 10.61. The ACCC also considered publicly available information from comparison site Canstar. Canstar provides a car insurance star rating (out of five) that compares both price and features across comprehensive car insurance policies.⁴⁶²
- 10.62. The ACCC conducted a comparison search for a car insurance policy for a male aged between 30–39 in Western Australia.⁴⁶³ For this search, the Canstar methodology provides that the price score is given a weight of 70% in the final star rating (with features weighted at 30%).⁴⁶⁴ For insurers that got a star rating, the comparison search provided:

Star rating ⁴⁶⁵	Insurers / Products
5 Stars	BankSA Comprehensive (Allianz), Commonwealth Bank Comprehensive (Hollard), AAMI Comprehensive (Suncorp), St.George Bank Comprehensive (Allianz), Westpac Comprehensive (Allianz), NRMA Insurance Comprehensive (IAG) , Bank of Melbourne Comprehensive (Allianz), Kogan Insurance Comprehensive (Allianz)
4 Stars	GMCU Comprehensive (Allianz), ROLLiN' Insurance (IAG) , NAB Comprehensive (Allianz), RAC Comprehensive (RACI) , Aust Seniors Insurance Agency Comprehensive (Hollard), Real Insurance Comprehensive (Hollard), QBE Comprehensive (QBE), BUPA Insurance Ultimate (Hollard), TrueCover Seniors Car Insurance (Virginia Surety Company), People First Bank Comprehensive (IAG) , Huddle Insurance Black Comprehensive (Hollard), Stella Insurance Comprehensive (Virginia Surety Company)
3 Stars	GIO Comprehensive (Suncorp), Ozicare Comprehensive (Auto & General), Allianz Australia Comprehensive (Allianz), Bingle Comprehensive (Suncorp), NRMA Insurance Comprehensive Plus (IAG) , Everyday Insurance Comprehensive (Hollard), National Seniors Comprehensive (Allianz), AHM Comprehensive (Hollard), ING Comprehensive (Auto & General), Coles Insurance Comprehensive (Auto & General), Budget Direct Gold Comprehensive (Auto & General), Qantas Comprehensive (Auto & General), BUPA Insurance Comprehensive (Hollard), Huddle Insurance Comprehensive (Hollard), YOUI Comprehensive (YOUI)
2 Stars	GIO Platinum (Suncorp), Suncorp Insurance Comprehensive Extras (Suncorp), Suncorp Insurance Comprehensive (Suncorp), Suncorp Insurance Comprehensive Advantages (Suncorp), People First Bank Comprehensive Plus (IAG) , ANZ Comprehensive (IAG)
1 Star	No products displayed with a 1-star rating

Note: Canstar provides that the star rating involves awarding points for each eligible car insurance policy, aggregating a price score which takes into consideration annual and monthly insurance premiums as well as the policy excess for new policies; and a feature score which takes into account a number of features across six different categories (application, payment, cover, service, claims and cancellation).⁴⁶⁶

⁴⁶¹ [Confidential - Redacted]; [Confidential - Redacted]; [Confidential - Redacted].

⁴⁶² Canstar, [Star Ratings & Award Methodology – Car Insurance](#), June 2026.

⁴⁶³ ACCC, Canstar Car Insurance Comparison search results for Western Australia (30-39 years, male), 9 September 2026. 65005.001.072.0031.

⁴⁶⁴ Canstar, [Star Ratings & Award Methodology – Car Insurance](#), June 2026.

⁴⁶⁵ ACCC, Canstar Car Insurance Comparison search results for Western Australia (30-39 years, male), 9 September 2026. 65005.001.072.0031.

⁴⁶⁶ Canstar, [Star Ratings & Award Methodology – Car Insurance](#), June 2026.

- 10.63. The comparison search highlights that IAG and RACI's insurance products are largely comparable with five and four stars. The Parties' products are rated as two of the highest rated products, along with Suncorp and Allianz and QBE.

Premiums and pricing

- 10.64. In its response to the NOCC, IAG submits that a comparison of the Parties' average and median premiums does not constitute evidence of the closeness of competition due to the premium values lacking an adjustment for the sum insured. IAG submits that, after controlling for the insured value, **[Confidential - Redacted]**.⁴⁶⁷
- 10.65. The ACCC's view is that an analysis of premiums adjusted for the sum insured may provide only some insight into pricing behaviour of the Parties. Insured value is just one of many differences between insurer policies. Controlling for only one difference may still result in an uninformative comparison. However, the tight relationship of the price level of the Parties' premiums may still be indicative of close competition between the parties.
- 10.66. In the First Ockerby Report, Mr Ockerby submits that using average premium divided by average sum insured is a better measure of price comparison than the Finity price series.⁴⁶⁸ Figure 6 analysed the Parties' average motor premiums for new risks, controlling for the insured values of those policies.⁴⁶⁹ The results show that IAG and RACI have historically priced their policies at relatively similar levels.

Figure 6: Average motor insurance premium per \$1000 insured for new policies

[Confidential - Redacted]

- 10.67. A measure that shows closeness of price competition without these issues is the correlation of annual price changes for new and existing customers. Figure 7 shows that annual price changes for new customers track closely over time for NRMA and RACI, showing close competition.⁴⁷⁰

Figure 7: Motor insurance - annual change in median premium of new risks insured

[Confidential - Redacted]

- 10.68. **[Confidential - Redacted]**.⁴⁷¹

Figure 8: Median motor insurance premiums in Western Australia by insurer

[Confidential - Redacted]

- 10.69. **[Confidential - Redacted]**.
- 10.70. Given the limitations, the ACCC is not placing significant weight on measured pricing comparisons between the Parties from scraped insurance quote data. Prices are only one way in which insurers compete, and the prices customers pay for insurance

⁴⁶⁷ **[Confidential - Redacted]**.

⁴⁶⁸ IAG, Jason Ockerby (CEG) Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 3 March 2026, para. 227. 65005.001.005.1024.

⁴⁶⁹ **[Confidential - Redacted]**; **[Confidential - Redacted]**.

⁴⁷⁰ **[Confidential - Redacted]**; **[Confidential - Redacted]**.

⁴⁷¹ **[Confidential - Redacted]**.

policies are determined by many factors beyond the value of the insured asset. Other determinants of the premiums paid that may differ between policies include, but are not limited to, coverage of accident types, excess, extras offered (e.g. rental car hire, choice of repairer), the quality of the product (e.g. insurers' claims handling) and customer perceptions of the brand.

Switching data and diversion ratios

- 10.71. The ACCC considers diversion ratios are a key metric to assess the closeness of competition between two firms. Firms that supply products that are close substitutes will typically have high diversion ratios, and the higher the diversion ratios between firms, the more closely they compete.⁴⁷²
- 10.72. The First Smith Report notes that it is beneficial to calculate multiple sources of diversion ratios when using them for competition analysis. Diversion ratios are measured with a level of uncertainty and are reflective of a point in time. Therefore, to limit the dependence on one set of estimates, Mr Smith suggests the use of a range of estimates, particularly if the diversion ratios are used to calculate incentive-based price effects.⁴⁷³
- 10.73. The ACCC has calculated switching rates and diversion ratios using CommBank iQ data⁴⁷⁴ as the source of customer switching and RFI Global volume data to allocate switching across the motor vehicle insurance and home and contents insurance policies. This analysis is set out below.

Switching between insurers

- 10.74. The Parties submit that CommBank iQ data provides a more reliable source for calculating diversion ratios given that the data only captures switches between insurers and is based on more observations of switching.⁴⁷⁵ Similarly, in the Second Ockerby Report, Mr Ockerby notes that the CommBank iQ data is the most appropriate starting point because the data records actual customer switching between insurers.⁴⁷⁶
- 10.75. The ACCC notes that, while CommBank iQ switching data is useful, it has three limitations.⁴⁷⁷ **[Confidential - Redacted]**.⁴⁷⁸ **[Confidential - Redacted]**.⁴⁷⁹ **[Confidential - Redacted]**.

⁴⁷² ACCC, [Merger assessment guidelines](#), 20 June 2025, para. 2.5.

⁴⁷³ ACCC, *IAG and RAC Insurance (Report of Patrick Smith, RBB Economics)*, 22 May 2026, para. 72. 65005.001.051.0001.

⁴⁷⁴ **[Confidential - Redacted]**.

⁴⁷⁵ **[Confidential - Redacted]**.

⁴⁷⁶ IAG, Jason Ockerby (CEG) *Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance*, 1 July 2026, para. [32]. 65005.001.022.0044.

⁴⁷⁷ Switching data for the purposes of calculating pure diversion ratios has the general limitation that the reason for switching is unknown. Diversion ratios should ideally be based on customers switching following a price increase. Any switch is likely caused by multiple factors at renewal time, but renewal price is generally a main consideration given the relatively low probability the customer had claims handling experience or received poor customer service in the preceding period.

⁴⁷⁸ **[Confidential - Redacted]**.

⁴⁷⁹ **[Confidential - Redacted]**.

- 10.76. Despite the limitations in the data, the ACCC considers the CommBank iQ data can be used to help examine switching pattern rates between insurers. The switching data shows that:
- Over the period September 2023 to August 2024, **[Confidential - Redacted]** of lapsed IAG customers (across motor vehicle and home and contents insurance) switched to RACI, while **[Confidential - Redacted]** of lapsed RACI customers switched to IAG.⁴⁸⁰ This compares to market share implied switches of **[Confidential - Redacted]** and **[Confidential - Redacted]** using RFI Global data.⁴⁸¹
 - In the period September 2023 to August 2024, IAG received **[Confidential - Redacted]** lapsed customers from Suncorp, Auto & General, and Allianz compared to **[Confidential - Redacted]**. The reverse was true for RACI, as it received a **[Confidential - Redacted]** share of customers from those insurers **[Confidential - Redacted]**. Together the switching rate from other insurers towards IAG and RACI combined was between **[Confidential - Redacted]** and **[Confidential - Redacted]** depending on the other insurer.⁴⁸²
 - Over the 12 months from September 2024 to August 2025, **[Confidential - Redacted]** of lapsed IAG customers (across motor vehicle and home and contents insurance) switched to RACI, while **[Confidential - Redacted]** of lapsed RACI customers switched to IAG. This compares to switching levels of **[Confidential - Redacted]** and **[Confidential - Redacted]** which would be expected from their market shares, using RFI Global data.⁴⁸³
 - In contrast, in the period September 2024 to August 2025, IAG obtained an approximately **[Confidential - Redacted]** of lapsed customers from Suncorp, Auto & General and Allianz to that which would be expected given its market share. **[Confidential - Redacted]**. **[Confidential - Redacted]**.⁴⁸⁴
- 10.77. The data shows that switches from other insurers to IAG and RACI compared to that which would be expected from their market shares depends in part on the relative competitiveness of IAG and RACI at that time.⁴⁸⁵
- 10.78. The ACCC also found switching from other insurers to RACI and IAG over both periods largely appears **[Confidential - Redacted]**. The exception was **[Confidential - Redacted]** in the September 2024 to August 2025 period, where the percentage of lapsed customers from all insurers, including RACI, that switched to **[Confidential - Redacted]** was around **[Confidential - Redacted]**. This is a high diversion rate relative to **[Confidential - Redacted]** market share.

Diversion ratios for motor vehicle insurance

- 10.79. Aggregated switching data can be converted to motor vehicle insurance diversion ratios through the use of market-share implied diversion ratios for insurer pairs for each of motor vehicle and home and contents (described in footnote 486). This was

⁴⁸⁰ **[Confidential - Redacted]**.

⁴⁸¹ **[Confidential - Redacted]**.

⁴⁸² **[Confidential - Redacted]**.

⁴⁸³ **[Confidential - Redacted]**.

⁴⁸⁴ **[Confidential - Redacted]**.

⁴⁸⁵ **[Confidential - Redacted]**.

the approach used in the First Ockerby Report.⁴⁸⁶ Consistent with the assumptions (see footnote 486), and using CommBank iQ combined switching data for the period September 2023 to August 2024, the ACCC estimated that **[Confidential - Redacted]** of lapsed IAG motor vehicle insurance customers diverted to RACI, and **[Confidential - Redacted]** of lapsed RACI customers diverted to IAG. The **[Confidential - Redacted]** diversion ratio of lapsed IAG motor vehicle customers diverting to RACI (**[Confidential - Redacted]**) compared to the combined motor vehicle and home and contents policy diversion ratio (**[Confidential - Redacted]**) reflects a **[Confidential - Redacted]** market share-derived diversion ratio for IAG to RACI of motor vehicle (**[Confidential - Redacted]**) compared to home and contents (**[Confidential - Redacted]**) over that same period.

- 10.80. The ACCC has also converted the CommBank iQ combined switching data for the period September 2024 to August 2025 to a diversion ratio for motor vehicle policies. The ACCC calculates **[Confidential - Redacted]** of lapsed IAG motor vehicle insurance customers diverted to RACI, and **[Confidential - Redacted]** of lapsed RACI customers diverted to IAG.
- 10.81. The Second Ockerby Report submits diversion ratios for motor vehicle insurance policies across all insurers in Western Australia based on 2024-25 CommBank iQ data (see Table 9-3, Second Ockerby Report).⁴⁸⁷ These ratios largely mirror those calculated by the ACCC based on this data, given that the same market share assumption has been used to split combined diversion ratios into ratios for motor vehicle insurance and home and contents insurance.
- 10.82. The diversion ratios based on the CommBank iQ 2024-25 data, and submitted by Mr Ockerby, show that lapsed motor vehicle insurance customers **[Confidential - Redacted]**. RACI is the **[Confidential - Redacted]** of lapsed customers from all other insurers **[Confidential - Redacted]**. Of the customers that leave RACI, IAG was the **[Confidential - Redacted]** recipient, with a diversion ratio **[Confidential - Redacted]** than that of Suncorp. Diversion ratios from lapsed RACI and IAG customers may be slightly underestimated, **[Confidential - Redacted]** in the CommBank iQ data.
- 10.83. In addition, Mr Ockerby submits market share implied diversion ratios for motor vehicle insurance policies based on market share data from RFI Global (see Table 9-5, Second Ockerby Report).⁴⁸⁸ Comparison of the market share implied diversion ratios, and the CommBank iQ 2024-25 based diversion ratios shows:
- for switches from RACI to IAG, the market share implied diversion ratio (**[Confidential - Redacted]**) is **[Confidential - Redacted]** than the diversion ratio calculated using the CommBank iQ data (**[Confidential - Redacted]**)

⁴⁸⁶ The diversion ratio for motor[home] is calculated as: market share-based diversion ratio for motor[home] multiplied by CommBank iQ combined diversion ratio divided by the volume weighted market share-based diversion ratio of the lapsed customer's firm. For example, consider diversion ratio of motor insurance from firm A to firm B. If market share diversion ratio for motor is 50%, market share diversion for home is 35%, CommBank iQ combined diversion is 40% and volume weights of policies of firm A is 60% motor and 40% home, then the combined market share diversion ratio is $0.6 \times 50\% + 0.4 \times 35\% = 44\%$. This is higher than the CommBank iQ combined diversion ratio of 40%. The motor diversion ratio from market shares is then decreased by $0.4/0.44$. The calculated motor diversion ratio from firm A to B is 45.5%. Market shares are RFI Global volume shares (**[Confidential - Redacted]**). This is a similar method to that adopted by Mr Jason Ockerby who divided by a revenue weighted average diversion ratio for motor and home from volume share data (IAG, Jason Ockerby (CEG) Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 3 March 2026, p. 45. 65005.001.005.1024).

⁴⁸⁷ IAG, Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026, p. 80 Table 9-3. 65005.001.022.0044.

⁴⁸⁸ IAG, Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026, p. 81 Table 9-5. 65005.001.022.0044.

- for switches from IAG to RACI, the market share implied diversion ratio **([Confidential - Redacted])** is **[Confidential - Redacted]** than the diversion ratio calculated using the CommBank iQ data **([Confidential - Redacted])**.⁴⁸⁹

Diversion ratios based on RFI Global switching data

- 10.84. The ACCC also calculated a diversion ratio from NRMA and SGIO brands to RACI using national RFI Global switching data for combined home and motor policies over the period June 2022 to June 2024.⁴⁹⁰ Nationally, of the customers leaving NRMA/SGIO in the period, **[Confidential - Redacted]** switched to RACI. Since RACI is only located in Western Australia, the ACCC converted the **[Confidential - Redacted]** national rate to a diversion ratio within Western Australia. The calculated Western Australia diversion ratio was **[Confidential - Redacted]** from NRMA/SGIO to RACI.⁴⁹¹
- 10.85. In their response to the NOCC, the Parties submit that the diversion ratio of **[Confidential - Redacted]** is unreliable because it uses national data with a small sample size, the data includes lost policies whereby customers have foregone insurance altogether, the data aggregates motor and home and contents policies, and that the diversion ratio does not use the most recent RFI Global data.⁴⁹²
- 10.86. In relation to this use of national RFI Global switching data, in the Second Ockerby Report, Mr Ockerby notes that he does not 'consider that such an extrapolation forms an appropriate basis to estimate a diversion ratio' particularly given the availability of more recent data from the same source that is specific to Western Australia and separates motor vehicle insurance from home and contents insurance.⁴⁹³
- 10.87. The ACCC accepts that there are limitations to using the RFI Global switching data. However, this is only one source of data that the ACCC has used to calculate diversion ratios, noting that the First Smith Report highlighted the benefit of considering multiple sources of data in this analysis.
- 10.88. Regarding concerns with the reliability of the calculation given potential differences in the proportion of lost customers exiting the insurance market nationally and in Western Australia, the ACCC considers that any differences will not result in a meaningful change of the diversion ratio estimate. The whole-of-market demand elasticity for motor vehicle insurance is expected to be very low given the importance many motorists place on insuring against the high replacement value of their vehicles. Only around **[Confidential - Redacted]** of NRMA/SGIO lost customers could be expected to leave the motor insurance market in response to a 10% price increase.⁴⁹⁴ Additionally, confidence intervals associated with this diversion ratio estimate have been calculated and considered in the analysis.
- 10.89. The ACCC has also estimated the diversion ratio from IAG to RACI using the alternative RFI Global volume data referenced in the Second Ockerby Report. This

⁴⁸⁹ IAG, Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026, p. 80 Table 9-3 and p. 81, Table 9-5. 65005.001.022.0044.

⁴⁹⁰ **[Confidential - Redacted]**.

⁴⁹¹ **[Confidential - Redacted]**. **[Confidential - Redacted]**.

⁴⁹² **[Confidential - Redacted]**.

⁴⁹³ IAG, Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026, para. 204. 65005.001.022.0044.

⁴⁹⁴ Assuming an average own-price elasticity of insurers of -5 and a market-wide elasticity of -0.5, the outside option is **[Confidential - Redacted]**. Lower gross margins or lower market-wide elasticity would lower the calculated outside option. Since the outside option is bounded by 0 for both national and WA, the likelihood of the bias suggested is small.

market share data contains volume data in Western Australia for the period June 2022 to June 2024. Using this data produces a combined diversion ratio of **[Confidential - Redacted]**.⁴⁹⁵ A caveat to this estimate of diversion ratios is that it reflects the relative insurer market shares of both motor vehicle and home and contents insurance. Given that **[Confidential - Redacted]**, this suggests relatively close competition between RACI and IAG insurance products over this period.⁴⁹⁶

- 10.90. Given that estimates of the diversion ratios are broadly consistent with respective market shares (which are significant), the ACCC considers that the ratios show the parties are strong competitors and there is close competition between them.

Distribution Agreement between IAG and RACI

- 10.91. As set out in paragraph 3.2, the Parties propose to enter into a Distribution Agreement upon completion of the Acquisition. The Distribution Agreement would operate for a 20 year term. Following the 20 year term, the Distribution Agreement would be contestable.⁴⁹⁷
- 10.92. Under the Distribution Agreement, the IAG-owned RACI (the **Insurer**) would appoint RACWA Holdings Pty Ltd (**RACWAH** or the **Distributor**) to offer, distribute and promote insurance products to RAC's members.⁴⁹⁸
- 10.93. At a high level, the Distribution Agreement establishes:
- member experience standards, service levels and product pricing and design principles;⁴⁹⁹
 - a governance framework;⁵⁰⁰ and
 - rights and obligations so that RACWAH is able to promote and market the insurance products through the RAC distribution channels with minimal restrictions.⁵⁰¹
- 10.94. IAG submits that in addition to the high degree of competitive rivalry that exists in both Western Australia and on a national basis, the Distribution Agreement will ensure that there is no reduction in the level of service received by RACI policyholders as a result of the Acquisition.⁵⁰² It also submits that through the member experience standards, product pricing and design principles and overarching governance framework, RAC would remain involved in the RAC-branded insurance product offering, and that the framework would ensure RAC branded insurance products remain of high standard.⁵⁰³

⁴⁹⁵ **[Confidential - Redacted]**.

⁴⁹⁶ When diversion ratios are consistent with market shares across competitor firms it may indicate firms are equally close or equally distant in terms of substitutability. When this occurs, the relative closeness of substitution may be inconclusive without more information. Establishing close competition requires confirming insurers compete for the same customer types in the same areas. Market share diversion may then indicate consumers have brand preferencing consistent with market share. If so, popular, high profile, and trusted brands are more readily included in the consumer's choice set leading to win rates of lapsed customers in market share proportions.

⁴⁹⁷ **[Confidential - Redacted]**.

⁴⁹⁸ **[Confidential - Redacted]**.

⁴⁹⁹ **[Confidential - Redacted]**.

⁵⁰⁰ **[Confidential - Redacted]**.

⁵⁰¹ **[Confidential - Redacted]**.

⁵⁰² IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 75. 65005.001.005.0849.

⁵⁰³ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 76. 65005.001.005.0849.

- 10.95. More specifically, IAG submits that, while it will have ultimate discretion on product pricing and design, the Distribution Agreement contains the following safeguards for the RAC brand:
- requirements for IAG to ensure that the insurance products marketed under the RAC brands are not less favourable to members of any comparable products it issues⁵⁰⁴
 - obligations to notify RAC of matters that have a potential adverse impact on the RAC brands, including a price competitiveness consultation obligation⁵⁰⁵
 - a competitiveness framework requiring that the RACI insurance products are competitive with competitor products in Western Australia⁵⁰⁶
 - a process for product competitiveness monitoring⁵⁰⁷
 - a competitiveness benchmarking process⁵⁰⁸
 - indemnities for breach of agreement, **[Confidential - Redacted]**⁵⁰⁹
 - a framework which sets out the principles by which IAG will design and price products, with additional provisions that support product diversification and innovation⁵¹⁰ customer service remaining the primary responsibility of RAC, not RACI.⁵¹¹
- 10.96. IAG also submits that the Distribution Agreement contains dispute resolution and termination rights that give RAC a mechanism to exit the relationship and distribute insurance products through an alternative insurer if IAG fails to deliver competitive products or adequate service levels.⁵¹² In that respect, the Distribution Agreement materially enhances RAC's ability to discipline IAG's conduct and ensure the ongoing delivery of competitive pricing, products and service standards.⁵¹³
- 10.97. The ACCC considers that the Distribution Agreement is unlikely to provide an adequate constraint on IAG's conduct in relation to the supply and pricing of RAC branded motor vehicle insurance products post-Acquisition.
- 10.98. In particular, the Distribution Agreement is limited in term and scope and would not replace the competitive rivalry between IAG and RACI in the supply of motor vehicle insurance in Western Australia. Rather, the Distribution Agreement seeks to constrain IAG's conduct to a limited extent. The ACCC considers that the benchmark underpinning that constraint is flawed, in that the Distribution Agreement seeks to constrain IAG in relation to product pricing and design as well as service by reference to competition in the factual, as opposed to competition in the counterfactual. Due to the direct competitive effects of the Acquisition, what pricing, design and service levels are regarded as 'competitive' in an ordinary business sense will be higher than in the future without the Acquisition.

⁵⁰⁴ **[Confidential - Redacted].**

⁵⁰⁵ **[Confidential - Redacted].**

⁵⁰⁶ **[Confidential - Redacted].**

⁵⁰⁷ **[Confidential - Redacted].**

⁵⁰⁸ **[Confidential - Redacted].**

⁵⁰⁹ **[Confidential - Redacted].**

⁵¹⁰ **[Confidential - Redacted].**

⁵¹¹ **[Confidential - Redacted]; [Confidential - Redacted].**

⁵¹² **[Confidential - Redacted].**

⁵¹³ **[Confidential - Redacted].**

10.99. The Distribution Agreement provides that the Insurer remains at all times responsible for, and will retain ultimate discretion on decisions with respect to, the pricing of products, the design of products and insured benefits provided under products.⁵¹⁴ The ACCC acknowledges that the Distribution Agreement contains some features that seek to limit this discretion. For example, the competitiveness obligations, the benchmarking framework and the termination and exclusivity carve-out rights. However, the ACCC considers that those features are unlikely to provide an adequate constraint on IAG's discretion. **[Confidential - Redacted]**:

- **[Confidential - Redacted]**.⁵¹⁵ **[Confidential - Redacted]**.
- **[Confidential - Redacted]**:
 - **[Confidential - Redacted]**.⁵¹⁶
 - **[Confidential - Redacted]**.⁵¹⁷
- **[Confidential - Redacted]**:
 - **[Confidential - Redacted]**.⁵¹⁸ **[Confidential - Redacted]**.⁵¹⁹ **[Confidential - Redacted]**.⁵²⁰ **[Confidential - Redacted]**.
- **[Confidential - Redacted]**.⁵²¹ **[Confidential - Redacted]**.
- **[Confidential - Redacted]**.⁵²² **[Confidential - Redacted]**.
- **[Confidential - Redacted]**.⁵²³

10.100. The ACCC considers that although RACWAH will be responsible for aspects of customer service and sales under the Distribution Agreement, IAG will have ultimate control over key aspects including claims handling. To expand:

- **[Confidential - Redacted]**.⁵²⁴ **[Confidential - Redacted]**.⁵²⁵
- **[Confidential - Redacted]**.⁵²⁶ **[Confidential - Redacted]**.⁵²⁷
- **[Confidential - Redacted]**.⁵²⁸ **[Confidential - Redacted]**:
 - **[Confidential - Redacted]**.⁵²⁹ **[Confidential - Redacted]**.⁵³⁰ **[Confidential - Redacted]**.⁵³¹ **[Confidential - Redacted]**.⁵³² **[Confidential - Redacted]**.

⁵¹⁴ **[Confidential - Redacted]**

⁵¹⁵ **[Confidential - Redacted]**.

⁵¹⁶ **[Confidential - Redacted]**.

⁵¹⁷ **[Confidential - Redacted]**.

⁵¹⁸ **[Confidential - Redacted]**.

⁵¹⁹ **[Confidential - Redacted]**.

⁵²⁰ **[Confidential - Redacted]**.

⁵²¹ **[Confidential - Redacted]**.

⁵²² **[Confidential - Redacted]**.

⁵²³ **[Confidential - Redacted]**.

⁵²⁴ **[Confidential - Redacted]**.

⁵²⁵ **[Confidential - Redacted]**.

⁵²⁶ **[Confidential - Redacted]**.

⁵²⁷ **[Confidential - Redacted]**.

⁵²⁸ **[Confidential - Redacted]**.

⁵²⁹ **[Confidential - Redacted]**.

⁵³⁰ **[Confidential - Redacted]**.

⁵³¹ **[Confidential - Redacted]**.

⁵³² **[Confidential - Redacted]**.

- **[Confidential - Redacted].**⁵³³ **[Confidential - Redacted].**

10.101. The ACCC does not consider that the termination rights and exclusivity carve outs available under the Distribution Agreement materially enhance RAC's ability to constrain IAG's conduct in relation to product pricing and design or services.

10.102. In relation to termination rights, the ACCC acknowledges that the Distribution Agreement provides a mechanism for the parties to exit the relationship in certain circumstances. However, the ACCC considers that the ability and incentive of the parties (in particular, the Distributor, i.e. RAC) to exit the relationship is limited by the following:

- **[Confidential - Redacted].**⁵³⁴ **[Confidential - Redacted].**
- **[Confidential - Redacted].**⁵³⁵ **[Confidential - Redacted].**
- **[Confidential - Redacted].**⁵³⁶ **[Confidential - Redacted].**⁵³⁷ **[Confidential - Redacted].**

10.103. **[Confidential - Redacted].**⁵³⁸ **[Confidential - Redacted].**

10.104. The ACCC does not consider that the limited constraints on IAG's conduct offered by the Distribution Agreement remedy the permanent nature of the structural change from the Acquisition. The ACCC also considers that the Distribution Agreement is limited in term and scope, is able to be amended by the parties (although some of the terms are part of the remedy offer which includes an undertaking to not amend certain terms) and that aspects are still in draft and subject to negotiation between the parties. The ACCC considers that these factors further contribute to the conclusion that the Distribution Agreement is subject to change and does not offer a permanent solution to the competition concerns arising from the Acquisition.

Competition from remaining suppliers

10.105. Post-Acquisition, there will remain a number of other suppliers of motor vehicle insurance in Western Australia. The ACCC has considered whether these remaining suppliers are likely to provide a sufficient constraint on the merged entity such that it cannot meaningfully raise prices and/or decrease service levels post-Acquisition.

10.106. IAG submits that:

- Suncorp, Allianz, QBE, Hollard, Auto & General and Youi are six strong rivals which would continue to impose substantial competitive constraint on IAG post-Acquisition⁵³⁹
- The ACCC, in reaching its decision in relation to informal clearance in 2025, overstated the competitiveness of RACI and IAG and understated the strength and competitiveness of constraint from these other insurers⁵⁴⁰

⁵³³ **[Confidential - Redacted].**

⁵³⁴ **[Confidential - Redacted].**

⁵³⁵ **[Confidential - Redacted].**

⁵³⁶ **[Confidential - Redacted].**

⁵³⁷ **[Confidential - Redacted].**

⁵³⁸ **[Confidential - Redacted].**

⁵³⁹ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 4. 65005.001.005.0849.

⁵⁴⁰ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 4. 65005.001.005.0849.

- The ACCC's preliminary analysis in the NOCC does not give sufficient weight to the effective competitive constraint imposed by existing and potential insurers in Western Australia.⁵⁴¹

10.107. The ACCC considers that alternative insurers operating in Western Australia would continue to provide a degree of competition in the supply of motor vehicle insurance following the Acquisition. However, the ACCC has found based on the evidence before it, that alternative insurers are unlikely to pose a sufficient constraint on the merged entity such that the merged entity will not be able to raise prices and/or decrease service levels post-Acquisition.

10.108. This section sets out the ACCC's findings on the level of constraint from established insurers (Suncorp, Allianz, QBE) and mid-tier insurers (Auto & General, Youi, Hollard), with reference to other insurers' market shares, level of brand awareness and marketing and media spend, and market position.

Market shares

10.109. **[Confidential - Redacted]**.⁵⁴² In its NOCC response, IAG notes that these are well-resourced national insurers with an established West Australian presence, strong brand recognition and the scale to expand.⁵⁴³

10.110. IAG considers that the ACCC should not require evidence of other competitors gaining market share in order to be satisfied that they will effectively constrain the merged entity.⁵⁴⁴ Mr. Ockerby, in the Second Ockerby Report, submits that the ACCC places too much weight on market shares, which do not directly measure the competitive constraint that other firms impose on its pricing: "This distinction is important in a differentiated product market. A smaller insurer may be a material constraint on RACI even if it has not achieved a large share in WA".⁵⁴⁵

10.111. The ACCC accepts that an insurer with a relatively small market share may nevertheless impose a material competitive constraint in a market. However, in the absence of evidence that the insurer is a close competitor with RACI for its customers, is winning a meaningful proportion of switching customers, or materially influences RACI's pricing or other competitive decisions, the ACCC considers that a small market share likely represents a limited constraint on RACI.

10.112. The ACCC considers that most of the established and mid-tier insurers have struggled to build and maintain market share in the supply of motor vehicle insurance in Western Australia. This contrasts with the position of established insurers in other Australian states, as well as the overall growth mid-tier insurers have achieved in other states. The relatively low market shares and growth in Western Australia appear to be due, at least in part, to the strong competitive position of RACI, including its high levels of brand awareness and customer loyalty.

⁵⁴¹ **[Confidential - Redacted]**.

⁵⁴² IAG, Jason Ockerby (CEG) Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 3 March 2026, p. 17, paras. [60], [62]. 65005.001.005.1024.

⁵⁴³ **[Confidential - Redacted]**.

⁵⁴⁴ **[Confidential - Redacted]**.

⁵⁴⁵ IAG, Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026, p. 26, paras. 128-132. 65005.001.022.0044.

Established insurers

- 10.113. IAG observes that there are large differences between the national and Western Australia shares of the established insurance companies.⁵⁴⁶ In the First Ockerby Report, Mr Ockerby submits that this difference indicates there is an ability for these insurers to expand in Western Australia but does not provide any evidence in support of that point, or address why their shares are so low.⁵⁴⁷
- 10.114. The ACCC understands that established insurers in Western Australia have, overall, seen either erosion or lack of growth in their market share over time, and that their shares in Western Australia are lower than their national shares.
- 10.115. Market share data provided by IAG shows that most national established insurers (including IAG itself) have considerably lower market shares in Western Australia than they do nationally. For example, Suncorp has **[Confidential - Redacted]** market share in motor vehicle insurance nationally and **[Confidential - Redacted]** share in Western Australia; Allianz has **[Confidential - Redacted]** nationally and **[Confidential - Redacted]** in Western Australia.⁵⁴⁸ The data also shows that in the period from 2017 to 2025, the market shares of the established insurers in Western Australia **[Confidential - Redacted]**. In June 2017, Suncorp, Allianz, and QBE together had a combined market share in motor vehicle insurance in Western Australia of **[Confidential - Redacted]**.⁵⁴⁹ As at December 2025, this reduced to approximately **[Confidential - Redacted]** in Western Australia, compared to approximately **[Confidential - Redacted]** nationwide. The most marked change was to QBE's market share which **[Confidential - Redacted]** from **[Confidential - Redacted]** to **[Confidential - Redacted]**.⁵⁵⁰
- 10.116. As part of its assessment, the ACCC has considered evidence of the differences in the commercial operating conditions between Western Australia and the rest of Australia. The ACCC considers that the evidence shows that it is more challenging for an insurer to grow its market share in Western Australia than other states (see paragraphs 10.117 to 10.122 below).⁵⁵¹

Suncorp

- 10.117. The ACCC considers Suncorp an established insurer that has a sizeable presence in the Western Australia market. **[Confidential - Redacted]**.⁵⁵² **[Confidential - Redacted]**.⁵⁵³ **[Confidential - Redacted]**.⁵⁵⁴

⁵⁴⁶ IAG, Jason Ockerby (CEG) Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 3 March 2026, p. 16, para. 64. 65005.001.005.1024.

⁵⁴⁷ IAG, Jason Ockerby (CEG) Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 3 March 2026, p. 17, para. 64. 65005.001.005.1024.

⁵⁴⁸ **[Confidential - Redacted]**; IAG, Notification of Acquisition – Accompanying Submission to Notification, 3 March 2026, Annexure 6, p. 127. 65005.001.005.0849.

⁵⁴⁹ **[Confidential - Redacted]**; IAG, Notification of Acquisition – Accompanying Submission to Notification, 3 March 2026, Annexure 6, p. 125. 65005.001.005.0849.

⁵⁵⁰ **[Confidential - Redacted]**; IAG, Notification of Acquisition – Accompanying Submission to Notification, 3 March 2026, Annexure 6, p. 127. 65005.001.005.0849.

⁵⁵¹ **[Confidential - Redacted]**; **[Confidential - Redacted]**; **[Confidential - Redacted]**.

⁵⁵² **[Confidential - Redacted]**.

⁵⁵³ **[Confidential - Redacted]**.

⁵⁵⁴ **[Confidential - Redacted]**.

10.118. However, the ACCC has seen other evidence that contradicts the above. The data shows that Suncorp's market share has been **[Confidential - Redacted]**.⁵⁵⁵ Suncorp's market share in Western Australia is also **[Confidential - Redacted]** compared to its national share (as stated above at paragraph 10.115, Suncorp has **[Confidential - Redacted]** market share in motor vehicle insurance nationally and **[Confidential - Redacted]** share in Western Australia). **[Confidential - Redacted]**.⁵⁵⁶

Allianz

10.119. The ACCC considers Allianz has a relatively small presence in Western Australia. **[Confidential - Redacted]**. In particular, Allianz highlighted that:

- a) **[Confidential - Redacted]**⁵⁵⁷
- b) **[Confidential - Redacted]**⁵⁵⁸
- c) **[Confidential - Redacted]**⁵⁵⁹

The mid-tier and challenger insurers

10.120. IAG submits that challenger brands Youi and Auto & General have successfully grown their market share in Western Australia.⁵⁶⁰

10.121. The ACCC considers that although these challenger brands have grown over the period from June 2017 to December 2025, Auto & General is the only challenger brand to have lifted its market share materially above **[Confidential - Redacted]**. Youi's market share in motor vehicle insurance in Western Australia is **[Confidential - Redacted]** and has **[Confidential - Redacted]**.⁵⁶¹ Market shares are **[Confidential - Redacted]** at the state level compared to the national level, with the three challenger brands collectively having **[Confidential - Redacted]** market share in motor vehicle insurance in Western Australia as at December 2025, compared to **[Confidential - Redacted]** nationwide.⁵⁶² This is based on the RFI Global data submitted by IAG.

10.122. The ACCC considers that evidence from the mid-tier insurers (including **[Confidential - Redacted]**) indicates that they have had difficulty making headway in the Western Australia market and have had to spend more on marketing and employ more strategies (compared to in other parts of Australia) to acquire customers. The ACCC understands this is in part due to the nature of the Western Australia market, which further entrenches RACI's established position.⁵⁶³ In particular:

- a) The **[Confidential - Redacted]** gave evidence that **[Confidential - Redacted]** has had difficulty growing in the Western Australia market.⁵⁶⁴ **[Confidential -**

⁵⁵⁵ **[Confidential - Redacted]**; IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, Annexure 6, p. 127. 65005.001.005.0849.

⁵⁵⁶ **[Confidential - Redacted]**.

⁵⁵⁷ **[Confidential - Redacted]**.

⁵⁵⁸ **[Confidential - Redacted]**.

⁵⁵⁹ **[Confidential - Redacted]**.

⁵⁶⁰ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, pp. 51-52, paras. 145-149. 65005.001.005.0849.

⁵⁶¹ **[Confidential - Redacted]**; IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, Annexure 5, p. 125. 65005.001.005.0849.

⁵⁶² **[Confidential - Redacted]**; IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, Annexure 5, p. 125. 65005.001.005.0849.

⁵⁶³ **[Confidential - Redacted]**; **[Confidential - Redacted]**; **[Confidential - Redacted]**; **[Confidential - Redacted]**; **[Confidential - Redacted]**; **[Confidential - Redacted]**; **[Confidential - Redacted]**; **[Confidential - Redacted]**.

⁵⁶⁴ **[Confidential - Redacted]**.

Redacted.⁵⁶⁵ The “[Western Australian] community is a bit more parochial ... and a little bit tougher to break into”.⁵⁶⁶

- b) **[Confidential - Redacted]** gave evidence that **[Confidential - Redacted]** has to “work harder” to acquire customers in Western Australia because it is a “very strong parochial market”. **[Confidential - Redacted]**.⁵⁶⁷
- c) **[Confidential - Redacted]** also gave evidence that RAC and AAMI are “very highly understood” by consumers in the Western Australia market in terms of their brand, and RAC has done a much better job of transitioning into sales than AAMI. **[Confidential - Redacted]** repeatedly emphasised the difficulties of attracting “parochial” customers in the Western Australian market. In explaining what he meant when he said “parochial”, **[Confidential - Redacted]** explained “Western Australians love Western Australian businesses”.⁵⁶⁸
- d) **[Confidential - Redacted]** also stated that given Western Australia's unique supply chain characteristics, with restricted resource and repair/builders networks due to competing trade industries, **[Confidential - Redacted]** focus remains on sustaining competitive supply chain access and cost outcomes in both portfolios.⁵⁶⁹ **[Confidential - Redacted]**.⁵⁷⁰

Brand awareness and marketing and media spend

10.123. IAG submits that market shares understate the competitiveness of the other insurers in Western Australia.⁵⁷¹ IAG notes that alternative providers have been increasing their presence and raising their brand awareness in Western Australia through for example:

- a) Suncorp’s announcement that its AAMI brand had secured naming rights for the AAMI WA Football State Talent Program, and is also a premier partner of the WAFL, WAFLW and WAFL Colts competitions and junior football;⁵⁷²
- b) Auto & General’s sponsorship of the Perth Bears NRL team;⁵⁷³ and
- c) Allianz’s partnership with the West Coast Eagles to support its AFL, AFLW and Wheelchair football teams for the next four years.⁵⁷⁴

10.124. IAG submits that brands such as AAMI and Budget Direct (Auto & General) have strong brand recognition.⁵⁷⁵

10.125. IAG submits that mid-tier insurers are continuing to compete strongly to win market share in Western Australia, with Youi and Budget Direct having the highest levels of media spending in Western Australia in FY25, and a higher brand awareness than

⁵⁶⁵ **[Confidential - Redacted]**.

⁵⁶⁶ **[Confidential - Redacted]**.

⁵⁶⁷ **[Confidential - Redacted]**.

⁵⁶⁸ **[Confidential - Redacted]**.

⁵⁶⁹ **[Confidential - Redacted]**.

⁵⁷⁰ **[Confidential - Redacted]**.

⁵⁷¹ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 8, para. [15]. 65005.001.005.0849.

⁵⁷² Suncorp, [AAMI announces major WA Football partnership to support players from grassroots to state league](#), Media Release, 17 February 2026.

⁵⁷³ NRL, [Perth Bears announce record breaking partnership deal](#), Media Release, 24 September 2025.

⁵⁷⁴ Allianz, [West Coast Eagles team up with Allianz Australia](#), Media Release, 10 November 2025.

⁵⁷⁵ **[Confidential - Redacted]**.

NRMA in Western Australia.⁵⁷⁶ IAG notes that it has observed additional investment in search engine marketing and media spend by insurers including Youi and Budget Direct, which it submits follows national trends.⁵⁷⁷

10.126. Evidence from third party insurers shows that they have focused – to varying degrees – on marketing and media spend in Western Australia:

- **[Confidential - Redacted]**.⁵⁷⁸
- **[Confidential - Redacted]**.⁵⁷⁹
- **[Confidential - Redacted]**.⁵⁸⁰
- **[Confidential - Redacted]**.⁵⁸¹

10.127. The ACCC considers that the remaining suppliers are active (to varying degrees) in marketing and attempting to win customers in Western Australia. The ACCC also considers that national brands such as AAMI and Budget Direct have strong brand recognition.⁵⁸² However, market feedback from third party insurers indicates that insurers have generally experienced difficulties making headway in Western Australia, and that it is difficult to increase market share due to RACI's strong brand awareness, customer loyalty, and large repair network.⁵⁸³ These insurers incur high "acquisition costs" (i.e. costs incurred to win a customer) which depresses their margins in Western Australia.⁵⁸⁴ As set out in the market share section commencing at paragraph 10.109 above, several third-party insurers have observed that Western Australians tend to support Western Australian businesses.⁵⁸⁵

10.128. The ACCC considers that some third parties have a particular focus which may lessen the competition they provide on more established providers such as IAG, Suncorp and RACI. In particular, the ACCC considers Youi and Auto & General (Budget Direct) compete for price-conscious and value-conscious customers who are willing to shop around or switch insurers. Both of these mid-tier brands operate predominantly direct-to-consumer models, offer broadly comparable home and motor insurance products and use risk-based pricing to compete for customers they consider attractive risks. While their propositions are differentiated – Youi places greater emphasis on personalised underwriting and service, while Budget Direct places greater emphasis on price and value⁵⁸⁶ – both seek to attract customers actively comparing insurance offerings and appear more closely positioned to each other than RACI, Suncorp and IAG whose propositions rely more heavily on established customer relationships, membership or brand presence.⁵⁸⁷ This was

⁵⁷⁶ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, pp. 62 – 63, paras. [172] – [174]. 65005.001.005.0849.

⁵⁷⁷ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, pp. 62 – 63, para. [174]. 65005.001.005.0849.

⁵⁷⁸ **[Confidential - Redacted]**.

⁵⁷⁹ **[Confidential - Redacted]**.

⁵⁸⁰ **[Confidential - Redacted]**.

⁵⁸¹ **[Confidential - Redacted]**.

⁵⁸² **[Confidential - Redacted]**.

⁵⁸³ See for example: **[Confidential - Redacted]**; **[Confidential - Redacted]**; **[Confidential - Redacted]**.

⁵⁸⁴ **[Confidential - Redacted]**; **[Confidential - Redacted]**.

⁵⁸⁵ **[Confidential - Redacted]**; **[Confidential - Redacted]**; **[Confidential - Redacted]**.

⁵⁸⁶ Youi, [Car Insurance](#), accessed 13 September 2026; Budget Direct, [Compare Car Insurance](#), accessed 13 September 2026.

⁵⁸⁷ **[Confidential - Redacted]**.

confirmed by the evidence of the [Confidential - Redacted] who noted that [Confidential - Redacted] is [Confidential - Redacted]⁵⁸⁸

10.129. As part of its assessment, the ACCC has considered evidence from third party insurers which indicates that increased marketing spend, brand awareness, and sponsorship does not necessarily translate into increased market share and that RACI's brand awareness and loyalty is unrivalled; in spite of efforts by third party insurers to improve their position, the return on marketing and sponsorship in Western Australia is not comparable to other states.⁵⁸⁹

Market position of insurers

10.130. [Confidential - Redacted].⁵⁹⁰ In its NOCC response, the Parties also submit that there are 6 well-resourced national insurers with an established West Australian presence, strong brand recognition and the scale to expand.⁵⁹¹

10.131. The ACCC considered evidence of how insurers view the rest of the insurers in the market.

10.132. In terms of who the Parties monitor, IAG submits that [Confidential - Redacted].⁵⁹² [Confidential - Redacted].⁵⁹³

10.133. RACI submits it does not view IAG as its closest competitor, and regards AAMI, Budget Direct and Youi as closer rivals.⁵⁹⁴ RACI also submits that [Confidential - Redacted].^{595,596}

10.134. However, the Parties' internal documents show that the competitive dynamics in the supply of motor vehicle insurance in Western Australia are more nuanced:

- [Confidential - Redacted]⁵⁹⁷ [Confidential - Redacted]⁵⁹⁸ [Confidential - Redacted],⁵⁹⁹ [Confidential - Redacted].⁶⁰⁰
- While RACI has noticed [Confidential - Redacted]⁶⁰¹

⁵⁸⁸ [Confidential - Redacted]; [Confidential - Redacted].

⁵⁸⁹ [Confidential - Redacted]; [Confidential - Redacted]; [Confidential - Redacted]; [Confidential - Redacted].

⁵⁹⁰ IAG, Jason Ockerby (CEG) Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 3 March 2026, p. 17, paras. [60], [62]. 65005.001.005.1024.

⁵⁹¹ [Confidential - Redacted].

⁵⁹² IAG, Notification of Acquisition – Accompanying Submission to Notification, 3 March 2026, p. 10, para [16]. 65005.001.005.0849.

⁵⁹³ IAG, Notification of Acquisition – Accompanying Submission to Notification, 3 March 2026, p. 10, para [16]. 65005.001.005.0849.

⁵⁹⁴ IAG, Notification of Acquisition – Accompanying Submission to Notification, 3 March 2026, p. 10, para [16]. 65005.001.005.0849.

⁵⁹⁵ [Confidential - Redacted].

⁵⁹⁶ [Confidential - Redacted]; [Confidential - Redacted].

⁵⁹⁷ [Confidential - Redacted].

⁵⁹⁸ [Confidential - Redacted].

⁵⁹⁹ [Confidential - Redacted].

⁶⁰⁰ [Confidential - Redacted].

⁶⁰¹ [Confidential - Redacted].

10.135. The Parties' documents are consistent with documents and evidence from third party insurers. In particular:

- **[Confidential - Redacted]** gave evidence that **[Confidential - Redacted]** considers RACI, Suncorp (through its AAMI brand) and IAG to be the three biggest competitors in Western Australia.⁶⁰²
- **[Confidential - Redacted]** gave evidence that, as a challenger brand, they mainly consider **[Confidential - Redacted]**.⁶⁰³ **[Confidential - Redacted]** also considers that RACI is a big player but broader competitive discussions also include IAG (through NRMA) and Suncorp (through AAMI).⁶⁰⁴
- The **[Confidential - Redacted]** gave evidence that its main competitors were **[Confidential - Redacted]**.⁶⁰⁵

10.136. **[Confidential - Redacted]**.⁶⁰⁶ **[Confidential - Redacted]**.⁶⁰⁷ **[Confidential - Redacted]**.

10.137. Evidence from third parties reinforces the perception of RACI as a strong and effective competitor in Western Australia and highlights the difficulties other insurers would face competing against the merged entity. Some third parties indicated it would be difficult to grow if the Acquisition proceeds due to the sheer size of a combined IAG/RACI (with one insurer observing that the Acquisition **[Confidential - Redacted]**,⁶⁰⁸ and the flow on effects the consolidation would have in terms of buying power and costs,⁶⁰⁹ which the ACCC considers may cause other insurers to reconsider their business case for participating in the Western Australian market.⁶¹⁰ In particular:

- **[Confidential - Redacted]**.⁶¹¹
- **[Confidential - Redacted]**.⁶¹²
- **[Confidential - Redacted]**.⁶¹³

Conclusion on competition from remaining suppliers

10.138. The ACCC has considered the level of competition alternative insurers would be likely to provide post-Acquisition. In particular, the ACCC has considered competitive dynamics in Western Australia, including how alternative providers have performed, how their performance differs from that in other states and territories, and the challenges they face to competing effectively in Western Australia.

10.139. The ACCC considers that while third party insurers are active in Western Australia, they have been less successful than elsewhere in Australia. While the ACCC accepts Suncorp and Auto & General are sizeable competitors, the other alternative suppliers

⁶⁰² **[Confidential - Redacted]**.

⁶⁰³ **[Confidential - Redacted]**.

⁶⁰⁴ **[Confidential - Redacted]**.

⁶⁰⁵ **[Confidential - Redacted]**.

⁶⁰⁶ **[Confidential - Redacted]**.

⁶⁰⁷ **[Confidential - Redacted]**.

⁶⁰⁸ **[Confidential - Redacted]**.

⁶⁰⁹ **[Confidential - Redacted]**.

⁶¹⁰ **[Confidential - Redacted]**; **[Confidential - Redacted]**.

⁶¹¹ **[Confidential - Redacted]**.

⁶¹² **[Confidential - Redacted]**.

⁶¹³ **[Confidential - Redacted]**.

of motor vehicle insurance in Western Australia have a comparatively small market presence. The evidence indicates that **[Confidential - Redacted]**,⁶¹⁴ despite investing in marketing,⁶¹⁵ with several stating the difficulties of growing due to RACI's brand strength and scale and the fact that Western Australian customers tend to prefer Western Australian businesses.

10.140. **[Confidential - Redacted]**.

10.141. In making its finding that the competitive challenges posed by alternative insurers will be unlikely to be sufficient to constrain the merged entity, the ACCC has given weight to the evidence from third parties on their experiences and the Parties' internal documents.

Likelihood of entry or expansion

10.142. Entry and expansion by rivals can provide an important source of competitive constraint on incumbents and, in certain circumstances, may mean that a substantial lessening of competition is unlikely to arise from a significant horizontal merger in a highly concentrated market. However, the ACCC will require robust evidence, typically including previous recent examples, to conclude that entry or expansion is sufficient to offset the initial loss of competition.⁶¹⁶

10.143. Importantly, the ACCC considers the prospect of entry or expansion must be likely, timely and sufficient to provide an effective constraint on the merged firm in order to remedy short term competition concerns.⁶¹⁷

10.144. The Parties submit that barriers to entry may exist but are not so high as to foreclose new entry.⁶¹⁸ In the Second Ockerby Report, Mr Ockerby states that **[Confidential - Redacted]**.⁶¹⁹

10.145. Based on the evidence, the ACCC considers that barriers to entry and expansion are high but are not insurmountable. While new entry is possible, the ACCC considers that it is unlikely in the foreseeable future. A new entrant would require a period of time, at least 2 to 3 years, and would require a significant amount of resources on building a brand, establishing networks (both assessor and repairer networks) and getting data to price risk, and even then it is unlikely that the new entrant would gain a meaningful foothold in the Western Australian market such that it would constrain the merged entity. Expansion by an existing insurer currently operating in Western Australia is also possible but they would face similar challenges in expanding.

Requirements for entry

10.146. The Parties submit that the nature and magnitude of barriers to entry vary materially depending on the entry model adopted, for example, entering as a retail brand

⁶¹⁴ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, Annexure 6, p. 127. 65005.001.005.0849; **[Confidential - Redacted]**; **[Confidential - Redacted]**.

⁶¹⁵ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, pp. 62 – 63, paras. 172-174. 65005.001.005.0849.

⁶¹⁶ ACCC, [Merger assessment guidelines](#), 20 June 2025, p. 41, [6.2].

⁶¹⁷ ACCC, [Merger assessment guidelines](#), 20 June 2025, p. 42, [6.3].

⁶¹⁸ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 82, para 238. 65005.001.005.0849.

⁶¹⁹ IAG, *Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance*, 1 July 2026, p. 26, para. 132. 65005.001.022.0044.

distributor, underwriting agency or overseas insurers expanding their operations in Australia. In particular, the Parties submit that establishment sunk costs and timeframes are highly variable and depend on factors such as whether entry occurs as a distributor (for example, by a known retail brand via a partnership with an established insurance underwriter), underwriting agency, or as a licensed underwriting insurer (including whether the underwriter is commencing a new operation or expanding existing overseas operations in Australia), as well as the entrant's geographic scope, product mix, scale, distribution strategy, use of third-party providers, growth ambitions and speed of expansion.⁶²⁰

- 10.147. Given the focus of the assessment, the ACCC considers it appropriate to consider the requirements for entry at the underwriter level.
- 10.148. As noted above in paragraphs 4.4 and 4.5, insurers face significant regulatory requirements including ASIC and APRA licensing, capital and reinsurance requirements. The upfront capital and reinsurance requirements are significant but also need to grow in line with risks being written. In addition, new entrants incur the cost of obtaining or developing the data required to accurately price risk in relevant areas. While third party services are becoming more available, these are unlikely to be as accurate as an insurer's own data set. Other barriers to entry include the need to establish repair/replacement networks, developing sales channels and claims processes, and the marketing costs to establish brand awareness.⁶²¹
- 10.149. Furthermore, whether entrants achieve profitability is uncertain and dependent on achieving sufficient scale over time. Industry experience indicates that several years of operation may be required before sustainable returns are realised.

Recent entry examples

- 10.150. The most recent successful new entrant in the Western Australian motor vehicle insurance market was Youi. Youi entered in 2008 and has a **[Confidential - Redacted]** share in motor vehicle insurance in Western Australia as at December 2025 (and this was **[Confidential - Redacted]** in June 2025).⁶²² By way of contrast, it has an **[Confidential - Redacted]**⁶²³ share of motor vehicle insurance in Queensland and **[Confidential - Redacted]** share of motor vehicle insurance in South Australia.⁶²⁴
- 10.151. Youi's experience in Australia shows that it has been challenging to enter and grow in personal lines insurance in Australia but that Western Australia has been even more difficult:
- Youi highlighted the difficulties in getting a return on capital noting that with insurance you were tasked with "selling a promise through a strong brand". Youi noted it takes a long time to see through the initial period of decline to get some economic return. **[Confidential - Redacted]**.⁶²⁵
 - Youi advised that the Western Australian market has been "a tougher nut to crack". Youi highlighted that Western Australia is more challenging than other

⁶²⁰ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, pp. 82-83. 65005.001.005.0849.

⁶²¹ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, pp. 82-83. 65005.001.005.0849.

⁶²² **[Confidential - Redacted]**.

⁶²³ **[Confidential - Redacted]**.

⁶²⁴ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 5, footnote 9. 65005.001.005.0849.

⁶²⁵ **[Confidential - Redacted]**.

states because “RACI have a phenomenally strong brand and loyal customer base, as reflected in the data we have provided from market research” and that customers in Western Australia “back the local insurance brand”.⁶²⁶

- In addition to the RACI brand, Youi stated that the Western Australian market “is relatively consolidated in nature and establishing a supply chain presents challenges.” Further, Youi noted that it was challenging to establish and then expand its smash repairer network **[Confidential - Redacted]**.⁶²⁷

10.152. In respect of Youi’s entry into Western Australia, **[Confidential - Redacted]** RACI **[Confidential - Redacted]** noted that Youi took five years “bombarding the market with advertisements before they penetrated” with a good price offer and being able to deliver on the service offer.⁶²⁸

10.153. The ACCC notes the recent entry through acquisition by Zurich Financial Services Australia into personal home and contents insurance via Honey Insurance⁶²⁹ and separately its entry into a partnership with Mercedes-Benz Financial Services Australia.⁶³⁰ Apart from these two examples, the Parties were unable to identify any other brands or underwriters which have commenced offering personal lines general insurance in Australia since July 2022 (and did not point to an example of successful new entry since Youi in 2008).⁶³¹

Key barriers to entry or expansion in Western Australia

10.154. Evidence before the ACCC suggests that there are a number of key barriers that are particularly challenging to overcome in the Western Australian motor vehicle insurance market. These are establishing a brand and marketing to, and winning, customers, and accessing inputs (including data, labour and repair networks).

Brand development and marketing

10.155. The ACCC considers that an insurer faces significant challenges in developing and marketing a brand. Based on the evidence, the ACCC considers this is particularly challenging in Western Australia given the strength of the established insurers’ brands and the customer loyalty to those brands.

10.156. The experience of a number of insurers in the market has been that developing brand awareness is more costly and challenging in Western Australia, with lower returns on marketing spend compared to the rest of Australia.

- The **[Confidential - Redacted]** noted that **[Confidential - Redacted]** brand performance in Western Australia in terms of brand preference and consideration is weaker than elsewhere in Australia,⁶³² that it has been difficult for **[Confidential - Redacted]** to compete on brand,⁶³³ despite **[Confidential - Redacted]** trying to gain traction with its brand in Western Australia.⁶³⁴ The

⁶²⁶ **[Confidential - Redacted]**.

⁶²⁷ **[Confidential - Redacted]**.

⁶²⁸ **[Confidential - Redacted]**.

⁶²⁹ D Wood, [Zurich enters home insurance market through Honey partnership](#), Insurance Business, 3 July 2026.

⁶³⁰ Insurance News, [Zurich tech to power Mercedes-Benz motor cover](#), 1 July 2026.

⁶³¹ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 83. 65005.001.005.0849.

⁶³² **[Confidential - Redacted]**.

⁶³³ **[Confidential - Redacted]**.

⁶³⁴ **[Confidential - Redacted]**.

[Confidential - Redacted] noted that **[Confidential - Redacted]** return on marketing and sponsorship spend in Western Australia is lower compared to elsewhere in Australia due to lower customer response rates, conversion rates and retention rates in Western Australia.⁶³⁵

- **[Confidential - Redacted]** provided that it costs more to acquire customers in Western Australia compared to other states.⁶³⁶ **[Confidential - Redacted]** considers that the differences in Western Australia are that the RACI and AAMI brands are well understood and have been able to leverage unprompted awareness into sales (although RACI has done a better job transitioning into sales than AAMI),⁶³⁷ and that Western Australian customers love Western Australian businesses.⁶³⁸
- **[Confidential - Redacted]**.⁶³⁹

10.157. The more established national insurers have historically focused their marketing spend in other states of Australia, acknowledging that they have had some challenges achieving market share growth as a result of increased marketing spend in Western Australia:

- **[Confidential - Redacted]**.⁶⁴⁰ **[Confidential - Redacted]**.⁶⁴¹ **[Confidential - Redacted]**.⁶⁴²
- **[Confidential - Redacted]**.⁶⁴³

10.158. Evidence before the ACCC suggests that it is difficult to attract customers in Western Australia:

- Several market participants have highlighted that Western Australians tend to preference Western Australian-made products and businesses over national businesses.⁶⁴⁴
- Market participants indicate winning customers and building trust in Western Australia is more difficult due to the established brand and trust in RACI.⁶⁴⁵
- **[Confidential - Redacted]** stated that the **[Confidential - Redacted]** brand has been lagging in Western Australia with reference to brand consideration, customer conversion and pricing competitiveness, noting that it has been more difficult to compete on price and brand in the Western Australia Market.⁶⁴⁶
- **[Confidential - Redacted]** stated that it is difficult to poach customers from RACI because they can be competitive on service and price simultaneously.⁶⁴⁷

⁶³⁵ **[Confidential - Redacted]**.

⁶³⁶ **[Confidential - Redacted]**.

⁶³⁷ **[Confidential - Redacted]**.

⁶³⁸ **[Confidential - Redacted]**.

⁶³⁹ **[Confidential - Redacted]**.

⁶⁴⁰ **[Confidential - Redacted]**.

⁶⁴¹ **[Confidential - Redacted]**.

⁶⁴² **[Confidential - Redacted]**.

⁶⁴³ **[Confidential - Redacted]**.

⁶⁴⁴ **[Confidential - Redacted]**; **[Confidential - Redacted]**; **[Confidential - Redacted]**; **[Confidential - Redacted]**.

⁶⁴⁵ RACI's brand strength is discussed in more detail in paragraph 10.53 above. See, for example, **[Confidential - Redacted]**; **[Confidential - Redacted]**; **[Confidential - Redacted]**.

⁶⁴⁶ **[Confidential - Redacted]**.

⁶⁴⁷ **[Confidential - Redacted]**.

10.159. Evidence before the ACCC also suggests that retaining customers is difficult. In particular, **[Confidential - Redacted]** stated that even when customers are “poached away”, it is difficult to keep them from going back to RACI.⁶⁴⁸ **[Confidential - Redacted]** also stated that customers consistently switch to other providers then return to RACI following a claim event.⁶⁴⁹

Establishing and expanding smash repair networks

10.160. Establishing and expanding smash repairer networks across Western Australia is a key barrier to entry and expansion.

10.161. Establishing such a network may involve identifying a pool of smash repairers, negotiating commercially viable terms, integrating smash repairers into the relevant claims-management and assessment systems, monitoring performance and quality, and developing sufficient claims volumes to support ongoing commercial relationships.

10.162. The requirements to establish and expand a network are particularly challenging in Western Australia because of the current operating conditions. The ACCC understands that in Western Australia, there are fewer repairers available and the repair capacity is limited.⁶⁵⁰ Of the repair capacity available, it is often prioritised towards insurers with larger volumes (such as RACI).⁶⁵¹ Smaller insurers are less likely to get access and when they do get access, it is on unfavourable terms as they tend to need to match (or better) the terms set by RACI.⁶⁵²

10.163. In particular:

- **[Confidential - Redacted]** submitted that “WA, compared to other key states in Australia, has fewer repair service providers, with mining competing with the repair service providers for the services of the skilled tradespersons. In addition, the size of WA, remoteness of certain areas within state, and the travel distances between customers and repair service providers mean that it can be more costly to fulfil claims. Additionally, material and parts supply fulfilment are impacted by higher freight costs and longer transport lead times...” and that “RACI is able to influence market rates in respect of acquisition of repair services, with smaller insurers like **[Confidential - Redacted]** needing to match (or better) the terms set by RACI...”⁶⁵³
- Similarly, **[Confidential - Redacted]** stated that when there is a mining boom, it’s very hard to get labour in the smash repairs market. This also means the cost of labour is higher in Western Australia compared to other states. The cost of parts is also a bit higher in Western Australia compared to other states.⁶⁵⁴
- **[Confidential - Redacted]**⁶⁵⁵ **[Confidential - Redacted]**⁶⁵⁶

⁶⁴⁸ **[Confidential - Redacted]**.

⁶⁴⁹ **[Confidential - Redacted]**.

⁶⁵⁰ **[Confidential - Redacted]**; **[Confidential - Redacted]**.

⁶⁵¹ **[Confidential - Redacted]**; **[Confidential - Redacted]**.

⁶⁵² **[Confidential - Redacted]**; **[Confidential - Redacted]**.

⁶⁵³ **[Confidential - Redacted]**.

⁶⁵⁴ **[Confidential - Redacted]**.

⁶⁵⁵ **[Confidential - Redacted]**.

⁶⁵⁶ **[Confidential - Redacted]**.

10.164. This position was reinforced by **[Confidential - Redacted]**⁶⁵⁷

Access to data

10.165. The ACCC considers that insurers face challenges entering or expanding in Western Australia without access to sufficient data regarding the relevant risks for various segments of the market.

10.166. The ACCC understands that access to data is important for an insurer's ability to assess the likelihood and expected cost of claims. Having access to sufficient data sets (for example regarding age, vehicle type, location, claims experience) allows insurers to differentiate between risk profiles, reduce uncertainty in pricing and tailor the risk profile of the policies they insure. In particular:

- **[Confidential - Redacted]**.⁶⁵⁸
- **[Confidential - Redacted]**.⁶⁵⁹ **[Confidential - Redacted]**.⁶⁶⁰

10.167. **[Confidential - Redacted]**.⁶⁶¹

Conclusion regarding likelihood of entry or expansion

10.168. The ACCC considers that new entry on a scale and in a timeframe sufficient to constrain the merged entity in the supply of motor vehicle insurance in Western Australia is unlikely. In addition to regulatory requirements and building brand awareness, access to a smash repair network and data sets to enable insurers to appropriately differentiate between risk profiles, reduce uncertainty in pricing and tailor the risk profile of the policies they insure, are critical and are unlikely to be developed to an extent and within a timeframe sufficient to constrain the merged firm.

10.169. Further, based on the feedback provided by rival insurers, meaningful expansion in Western Australia, to a level that would constrain the merged entity appears particularly challenging and unlikely within the foreseeable future given the difficulty in attracting and retaining Western Australian customers. These challenges arise from the established brand and trust in RACI as well as the operating conditions detailed above which make it particularly difficult to establish and expand a smash repair network in Western Australia.

Empirical price effect analysis

Overview

10.170. IAG submitted that its empirical price effects analysis demonstrates that the Acquisition is unlikely to substantially lessen competition in the supply of motor vehicle insurance in Western Australia.⁶⁶² IAG's submitted empirical analysis

⁶⁵⁷ **[Confidential - Redacted]**.

⁶⁵⁸ **[Confidential - Redacted]**.

⁶⁵⁹ **[Confidential - Redacted]**.

⁶⁶⁰ **[Confidential - Redacted]**.

⁶⁶¹ **[Confidential - Redacted]**. See also **[Confidential - Redacted]**.

⁶⁶² IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 74, 65005.001.005.0849. **[Confidential - Redacted]**.

includes estimates of gross upward pricing pressure indexes (**GUPPIs**), indicative price rises (**IPRs**), and merger simulation in relation to both motor vehicle and home insurance in Western Australia.

- 10.171. In general, the ACCC considers that there are significant limitations to empirical price effects analysis and that such analysis is neither determinative of the likely price effects of an acquisition nor the question of whether an acquisition is likely to lead to a substantial lessening of competition.
- 10.172. More specifically, based on the expert reports received (detailed below), and its own analysis, the ACCC considers that the Parties' empirical analysis suffers from some weaknesses due to the assumptions made. Given this, the ACCC considers that there are reliability issues with the Parties' analysis.
- 10.173. While the measures that the ACCC has calculated are higher than Mr Ockerby's measures, the ACCC considers that these quantitative measures are indicative and not determinative and therefore has not given significant weight to these measures in its single evaluative judgment. In this context, the ACCC does not agree with the submission of Mr Ockerby⁶⁶³ and the Parties⁶⁶⁴ that a price effect threshold of 5% is an appropriate basis for determining whether the Acquisition would substantially lessen competition. As noted by Mr Ockerby, a 5% price increase is commonly applied with the HMT for market definition purposes.⁶⁶⁵ However, the ACCC does not consider that a test to assist market definition has direct implications for establishing a likely substantial lessening of competition. In support of a 5% price effect threshold, the First Ockerby Report referred to the UK Competition Commission's 2005 decision in *Somerfield and Wm Morrison Supermarkets* and the US DC District Court's 1997 decision in *FTC v Staples*.⁶⁶⁶ By contrast, the ACCC notes that the CMA in its 2019 decision on the Sainsbury and Asda supermarket merger adopted a GUPPI threshold for groceries of 1.5% net of efficiencies (2.75% inclusive of expected efficiencies of 1.25%) for a substantial lessening of competition in local markets.⁶⁶⁷
- 10.174. Finally, the ACCC considers that the estimated price effects provided in both this section and section 13 and discussed in detail in Annexure A are likely to be amplified by a shift in the governance and objectives used to set the price and quality of RAC-branded products arising from the Acquisition, away from one incorporating not-for-profit elements to one more focussed on profitability. This amplification arises because all the modelling of quantitative effects – both by Mr Ockerby on behalf of IAG and by the ACCC – is based on firms behaving in a profit-maximising manner before and (in the case of IPRs and merger simulation) after the Acquisition. In light of its above assessment of RACI's competitive strengths, the ACCC considers that RACI has in the past and is likely in the future to supply a higher level of quality-adjusted output – having regard to its combined price, service quality and brand offering – for both motor vehicle insurance and home and contents insurance than would be profit-maximising in the short to medium term.

⁶⁶³ IAG, Jason Ockerby (CEG) Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 3 March 2026, pp. 61-62, paras. 256-259. 65005.001.005.1024.

⁶⁶⁴ IAG, Notification of Acquisition – Accompanying Submission to Notification, 3 March 2026, p. 74, para. 207. 65005.001.005.0849.

⁶⁶⁵ IAG, Jason Ockerby (CEG) Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 3 March 2026, pp. 61-62. 65005.001.005.1024.

⁶⁶⁶ IAG, Jason Ockerby (CEG) Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 3 March 2026, p. 62, paras. 257-258. 65005.001.005.1024.

⁶⁶⁷ Competition and Markets Authority (UK), [Anticipated merger between J Sainsbury PLC and Asda Group Ltd – Final Report](#), 25 April 2019, pp. 196-197, para. 8.296.

Therefore, given that the Acquisition brings about a change in the factors influencing the setting of price and quality of RAC-branded products, the ACCC considers that its price effect estimates will tend to understate the magnitude of the likely price effects of the Acquisition.

GUPPIs, IPRs and merger simulation

10.175. GUPPIs, IPRs and merger simulation techniques measure the incentive for the merged entity to raise prices post-Acquisition, due to the loss of competition between the merging parties and the ability of the merged entity to recapture sales lost by each party to the other after a price increase. The measures are formulaic and are derived from firm profit maximisation in monopolistically competitive product markets.⁶⁶⁸ Merger simulation model price effects also allow for all competitors' prices in the market to change and are accordingly sometimes used to provide empirical estimates of market-wide price effects, which can show the degree of weakening of competition in a market.⁶⁶⁹

10.176. The limitations of GUPPIs, and IPRs are well recognised. First, it is often challenging to obtain suitable inputs to perform the calculations.⁶⁷⁰ Second, if industry features depart materially from the stylised models upon which these techniques are based, there is a risk of false precision being attached to the estimates.⁶⁷¹ Third, the estimates are static measures, not dynamic. In this respect, Dr Jill Walker has noted that:⁶⁷²

Neither UPPs nor IPRs take account of the likely competitive response from actual and potential rivals. For this reason, they cannot provide a complete analysis as to the likelihood of competitive harm arising from a merger. Rather they provide an alternative and more focussed way of filtering mergers for potential unilateral effects compared to calculating market shares.

10.177. For these reasons, GUPPIs and IPRs are commonly used as a screening tool by competition agencies to approximate the post-acquisition price increases of products of the merged entities in mergers involving differentiated products.⁶⁷³

⁶⁶⁸ A monopolistic market describes markets where products are differentiated in a wide range of aspects. For example, a brand's perceived quality, customer experience, or trust. The result is a firm's products is unique with their market demand reflecting the degree of substitutability of the product with other firms' differentiated products.

⁶⁶⁹ T Valletti and H Zenger, 'Mergers with Differentiated Products: Where Do We Stand?' (2021) 58 *Review of Industrial Organization* 179-212, p. 192: "...merger simulation also incorporate feedback effects between the merger parties FOC and those of outsiders. As a result, predicted price effects are larger than IPR's for any given demand system."; Price effect results for IPRs and merger simulation depend on the assumed demand specification in the market. Since merger simulation model how all firms compete with each other, this requires information on diversion patterns among all competitor firms in the market. In comparison, GUPPIs do not make an assumption on the form of demand which can avoid false precision when the form of the demand system is unknown. The price effect of a GUPPI may overestimate or underestimate price changes for different reasons. If there is more convexity in demand, then the GUPPI underestimates the price effect. If there is low convexity (for instance linear demand), the GUPPI may overestimate the price effect if feedback effects are low but may not overestimate if feedback effects are sufficient. Hence GUPPIs have been found to be a sensible price effect measure in practice. T Valletti and H Zenger, 'Mergers with Differentiated Products: Where Do We Stand?' (2021) 58 *Review of Industrial Organization* 179-212, p. 192.

⁶⁷⁰ See, for example, J Walker, [Economic analysis in merger investigations – Background note by Dr Jill Walker](#), 2020 *OECD Global Forum on Competition*, 29 October 2020, p. 31, para. 128.

⁶⁷¹ ACCC, IAG and RAC Insurance (Report of Patrick Smith, RBB Economics), 22 May 2026, p. 4, para. 16, and p. 16 paras 70-71. 65005.001.051.0001.

⁶⁷² J Walker, [Economic analysis in merger investigations – Background note by Dr Jill Walker](#), 2020 *OECD Global Forum on Competition*, 29 October 2020, p. 31, para. 127. Upward pricing pressure (UPP) is a similar measure to a GUPPI and Walker's (2020) comment is equally applicable to GUPPIs. See: S Farrell and C Shapiro, 'Antitrust Evaluation of Horizontal Mergers: An Economic Alternative to Market Definition' (2010) 10(1) *The B.E. Journal of Theoretical Economics* 1-41.

⁶⁷³ T Valletti and H Zenger, 'Mergers with Differentiated Products: Where Do We Stand?' (2021) 58 *Review of Industrial Organization* 179-212.

These measures are rarely used as a primary support for a conclusion that a merger substantially lessens competition. Nevertheless, the ACCC considers that the results of these tools, can, where used appropriately and considered alongside other factors, form part of a holistic assessment of the likely competitive effects of an acquisition.

Reports received and analysis undertaken

10.178. The Parties provided estimates of GUPPIs and IPRs, and sensitivity analysis as well as merger simulation price effects and sensitivity analysis of the merger simulation results. These are contained in First Ockerby Report and Second Ockerby Report.⁶⁷⁴

10.179. The ACCC was assisted by Mr Smith in considering this material and Mr Smith produced the Smith Report and the Supplementary Smith Report.⁶⁷⁵

10.180. In addition, the ACCC conducted its own analysis of GUPPIs, IPRs, and merger simulation to understand, compare and test the price analysis undertaken by Mr Ockerby. All of these estimates are best reviewed together.

10.181. The structure of the empirical price analysis section is to first report the main estimates submitted by Mr Ockerby and the main findings of a review of those estimates contained in the Smith Report and the Supplementary Smith Report. The ACCC presents its range of estimates, highlighting the uncertainty and sensitivity of inputs used in the price effect models. Annexure A contains a more thorough comparison of modelling assumptions that were used in generating the ACCC estimates and comparison tables to the estimates in the two Ockerby Reports.

Estimates provided by the Parties

10.182. The Ockerby Reports⁶⁷⁶ provided the following estimates for GUPPIs and linear and isoelastic IPRs:⁶⁷⁷

- **[Confidential - Redacted].**
- **[Confidential - Redacted].**

10.183. The GUPPI is as set out in the First Ockerby Report with an adjustment for the gross margin.⁶⁷⁸ The IPR low estimate is from the linear IPR model in the Second Ockerby Report⁶⁷⁹ and the high estimate is the isoelastic IPR estimate provided in the First

⁶⁷⁴ IAG, Jason Ockerby (CEG) Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 3 March 2026. 65005.001.005.1024; IAG, Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026. 65005.001.022.0044.

⁶⁷⁵ ACCC, IAG and RAC Insurance (Report of Patrick Smith, RBB Economics), 22 May 2026. 65005.001.051.0001; ACCC, IAG and RAC Insurance (Supplementary Report of Patrick Smith, RBB Economics), 19 August 2026. 65005.001.050.0001.

⁶⁷⁶ The Second Ockerby report changed GUPPI and IPR estimates from the first report by changing the methodology for calculating gross margins, allowing for a step 1 effect and limiting the use of a suppression of diversion from RACI to IAG. Mr Ockerby also included more sensitivity analysis than in The First Ockerby Report (see Annexure A for details): IAG, Jason Ockerby (CEG) Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 3 March 2026. 65005.001.005.1024; IAG, Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026. 65005.001.022.0044.

⁶⁷⁷ The Isoelastic demand model has constant demand elasticity on the demand curve, while a linear demand model has increasing elasticity at higher prices and lower quantities on the demand curve.

⁶⁷⁸ IAG, Jason Ockerby (CEG) Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 3 March 2026, p. 60, Table 5-9. **[Confidential - Redacted].**

⁶⁷⁹ IAG, Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026, p. 72, Table 8-8. 65005.001.022.0044.

Ockerby Report.⁶⁸⁰ The above estimates assume a **[Confidential - Redacted]**, gross margins using gross premium, and a **[Confidential - Redacted]** of RACI's ability to raise prices.

10.184. The Second Ockerby Report also presented sensitivities to the IPR estimates, using different diversion ratios, allowing for a percentage of customers not purchasing insurance following a price rise, gross margins, and relative prices of insurance policies. These are discussed in Annexure A.

10.185. The Second Ockerby Report also included the results of merger simulation modelling derived from a publicly available model developed by Charles Taragin. The report used a linear demand specification with differentiated Bertrand competition to estimate market-wide price effects. The report modelled a whole-of-market elasticity of -1 for motor vehicle insurance to reflect the availability of an outside option (i.e. to not purchase insurance). The central estimated price effects from the Acquisition were:⁶⁸¹

- **[Confidential - Redacted]**.⁶⁸²

10.186. The Second Ockerby Report also performed merger simulations with different demand specifications (assuming demand elasticity of -1). This is a good sensitivity check as the linear demand specification has the smallest price responses of merger simulations, since elasticity is assumed to increase as price rises, providing more limited price responses between firms. The submitted results indicated that the degree to which demand curvature matters depends on the inputs. Under Mr Ockerby's calibration, the almost ideal demand system (**AIDS**) and linear results **[Confidential - Redacted]**, with AIDS demand increasing the IAG price effect by **[Confidential - Redacted]** to **[Confidential - Redacted]** and the RACI price effect increasing by **[Confidential - Redacted]** (see Table 10.16, The Second Ockerby Report).⁶⁸³

10.187. However, when the comparison is made using ACCC inputs (gross margin and diversion ratios) the price effects and sensitivity to demand structure are much higher. **[Confidential - Redacted]**.⁶⁸⁴

10.188. The Second Ockerby Report provided estimates of the effect of pricing from the Distribution Agreement. A post-merger price effect on RACI motor insurance occurs because the Distribution Agreement includes a margin to RAC for distributing their branded insurance in excess of the distribution costs.⁶⁸⁵ The estimated price effect of the margin, for linear demand only, were:

- **[Confidential - Redacted]**.⁶⁸⁶

⁶⁸⁰ IAG, Jason Ockerby (CEG) Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 3 March 2026, pp. 35, 61, Table 5-10 and p. 36, para. 135. 65005.001.005.1024.

⁶⁸¹ IAG, Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026, p. 69, Table 8-5. 65005.001.022.0044.

⁶⁸² IAG, Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026, p. 103, Table 10-12. 65005.001.022.0044.

⁶⁸³ IAG, Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026, p. 107, Table 10-16. 65005.001.022.0044.

⁶⁸⁴ IAG, Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026, p. 108, Table 10-17. 65005.001.022.0044.

⁶⁸⁵ **[Confidential - Redacted]** **[Confidential - Redacted]** (the ACCC calculates historical distribution costs are **[Confidential - Redacted]** of GWP – 3-year average). IAG, Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026, pp. 65, 69. 65005.001.022.0044.

⁶⁸⁶ IAG, Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026, p. 69, Table 8-5. 65005.001.022.0044.

10.189. Mr Ockerby and the Parties submit that an estimated quality-adjusted price effect **[Confidential - Redacted]** would be unlikely to give rise to a substantial lessening of competition.⁶⁸⁷ On this basis, the Parties submit that Mr Ockerby's analysis demonstrates that the Acquisition is unlikely to substantially lessen competition in the supply of motor vehicle insurance in Western Australia.

Review of the Parties' estimates

10.190. The ACCC requested that Mr Patrick Smith at RBB Economics, review Mr Ockerby's approach to calculating the GUPPIs and IPRs in the First Ockerby Report.⁶⁸⁸ Mr Smith's review of the First and Second Ockerby Reports is set out in Annexure A. Below are high levels findings of the Smith Reports.

10.191. Mr Smith advises that the simplified nature of GUPPI, IPR and merger simulation models, which rely on mathematical equilibrium equations with only a few parameters mean that, "...They are at best potential screens, capable of identifying mergers (or particular segments of a merging party's activities) that warrant further assessment in the same way that observing high post-merger market shares could be used to flag a merger for closer scrutiny".⁶⁸⁹

10.192. As set out in the Smith Report, Mr Smith advised that when considering Mr Ockerby's central estimates, several inappropriate assumptions were made:

- Diversion ratios only relied on a single period of switching data or market share and in some cases the diversion ratio was arbitrarily halved.⁶⁹⁰
- There were inconsistent periods for expenses used to calculate variable cost and therefore gross margins.⁶⁹¹
- The direct post-Acquisition (Step 1) effect of increased marginal cost (which decreased gross margins) on the price of RAC-branded products was not included in the post-merger price effect estimates.⁶⁹²

10.193. In addition, Mr Smith noted that throughout the report, assumptions on inputs to GUPPI and IPR models were made with significant uncertainty and subjectivity depending on the data source. Since inputs were measured with uncertainty, Mr Smith favoured using a range of estimates for the inputs.

10.194. Mr Smith concludes that the GUPPI and IPR calculations in the First Ockerby Report do not meet the standards of a reasonable approach to calculating these measures.⁶⁹³ As a result, Mr Smith considers that these measures should not be

⁶⁸⁷ **[Confidential - Redacted]**; IAG, Jason Ockerby (CEG) Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 3 March 2026, p. 61, Table 5-10 (linear demand). 65005.001.005.1024.

⁶⁸⁸ ACCC, IAG and RAC Insurance (Report of Patrick Smith, RBB Economics), 22 May 2026, Annexure B – Letter of Instructions and section 3 (Comments on Section 5 of the Ockerby report), pp. 26-42. 65005.001.051.0001.

⁶⁸⁹ Mr Smith explains in relation to GUPPI and IPR estimates that: "...these specific metrics are very parsimonious in regard to the necessary inputs that are required to perform each calculation: these metrics typically rely on assumptions that each firm only supplies a single product, to all customers at a single price, and a single gross margin over marginal costs that reflects perfect short term profit". ACCC, IAG and RAC Insurance (Report of Patrick Smith, RBB Economics), 22 May 2026, pp. 9-10, paras. 40, 45. 65005.001.051.0001.

⁶⁹⁰ ACCC, IAG and RAC Insurance (Report of Patrick Smith, RBB Economics), 22 May 2026, p. 6, para 28. 65005.001.051.0001.

⁶⁹¹ ACCC, IAG and RAC Insurance (Report of Patrick Smith, RBB Economics), 22 May 2026, p. 6, para 28. 65005.001.051.0001.

⁶⁹² ACCC, IAG and RAC Insurance (Report of Patrick Smith, RBB Economics), 22 May 2026, p. 6, para 29. 65005.001.051.0001.

⁶⁹³ ACCC, IAG and RAC Insurance (Report of Patrick Smith, RBB Economics), 22 May 2026, p. 5, para 25. 65005.001.051.0001.

relied upon as a basis to conclude that the Acquisition would not substantially lessen competition.⁶⁹⁴

10.195. In the Supplementary Smith Report, Mr Smith noted that Mr Ockerby partially corrected ignoring the post-Acquisition price effect from the Distribution Agreement.⁶⁹⁵ Further, Mr Ockerby **[Confidential - Redacted]**.

10.196. In relation to Mr Ockerby's merger simulation estimates, Mr Smith commented that he believes the simulations provide little new information, as the same data is used in the IPR calculations. In particular, Mr Smith was concerned that the errors made in the modelling of the IPRs – by not accounting for the changed incentives of RACI no longer underwriting insurance – were also made in the merger simulation.⁶⁹⁶ Mr Smith notes that the merger simulation estimates showed increased price effects of the merging parties, but this is averaged against smaller price rises by non-merging insurers, resulting in the arithmetic result of lower "market-wide" price effects.^{697,698}

ACCC estimates

10.197. The ACCC carried out its own independent analysis of pricing pressure arising from the Acquisition using its own estimates of gross margins for each party. The ACCC's estimates provide a counterbalancing check as to the possible ranges of price effect estimates the simple GUPPI, IPR, and merger simulation models can produce. Full details of the estimates are provided in Annexure A.

10.198. The ACCC's range of empirical estimates for the pricing pressure measures are:⁶⁹⁹

- GUPPIs: IAG motor insurance **[Confidential - Redacted]**, RACI motor insurance **[Confidential - Redacted]**. The range represents the low and high estimates from different sources of diversion ratios and gross margins (+/- 3%) around a central estimate.
- Linear IPRs: IAG motor insurance **[Confidential - Redacted]**, RACI motor insurance **[Confidential - Redacted]**. The Linear IPR for RACI excludes the price effect from the Distribution Agreement.

10.199. The IPR range represents the maximum range from single sensitivity comparison to the central estimate. Sensitivities include different sources of diversion ratios, a range of gross margins (+/- 3%), a range of market demand elasticities and a lower diversion ratio.⁷⁰⁰ The estimation tables are contained in full in Annexure A. The

⁶⁹⁴ ACCC, *IAG and RAC Insurance (Report of Patrick Smith, RBB Economics)*, 22 May 2026, p. 5, para 25. 65005.001.051.0001.

⁶⁹⁵ ACCC, *IAG and RAC Insurance (Supplementary Report of Patrick Smith, RBB Economics)*, 19 August 2026, p. 5, para. 16. 65005.001.050.0001.

⁶⁹⁶ The ACCC agrees with this observation as that modelled incentives would not be the same before and after the structural separation of underwriting and distribution divisions of RAC. The merger simulation without direct modelling intervention cannot adjust the sensitivity to a change in price. Mr Ockerby used the off-the-shelf R-program to model all the merger simulations. ACCC, *IAG and RAC Insurance (Supplementary Report of Patrick Smith, RBB Economics)*, 19 August 2026. 65005.001.050.0001.

⁶⁹⁷ ACCC, *IAG and RAC Insurance (Supplementary Report of Patrick Smith, RBB Economics)*, 19 August 2026, p. 5, para. 17. 65005.001.050.0001.

⁶⁹⁸ Price competition merger simulation have a common feature of higher prices for the merger parties than the IPRs. This is because the best response to the merger parties increase in price is for rivals increase in price, leading to a best response for the merger parties to further increase price. This is because in price competition rival firms' products are strategic complements.

⁶⁹⁹ This analysis does not include any impact that may or may not occur from the change in control from a member-owned organisation to a for-profit entity post-Acquisition.

⁷⁰⁰ J Hausman et al, 'Unilateral effects of mergers with general linear demands' (2011) 111(2) *Economics Letters* 119-121.

range demonstrates the uncertainty around the assumptions necessary for GUPPIs and IPRs.

- 10.200. In addition, the ACCC ran merger simulations to examine Mr Ockerby's findings using ACCC estimates of gross margins and diversion ratios based on the CommBank iQ switching data. The ACCC found that the results differ due to Mr Ockerby's assumption regarding the elasticity of market demand.
- 10.201. The ACCC considers that an elasticity of market demand for motor insurance in the range of -0.25 to -0.75 is appropriate, whereas the Second Ockerby report uses a central assumption of **[Confidential - Redacted]**. The ACCC considers that to the extent a higher market elasticity serves to mitigate the estimated price effects of the Acquisition, it will tend to increase the output effects. Below are results of a merger simulation examining differences in market demand elasticities.⁷⁰¹
- Market-wide elasticity -0.25: Linear demand specification estimated a weighted average price rise for RACI and IAG of **[Confidential - Redacted]**, while the AIDS specification estimated a weighted average price rise of **[Confidential - Redacted]** (See Annexure A, Table 14).
 - Market-wide elasticity -0.50: Linear demand specification estimated a weighted average price rise for RACI and IAG of **[Confidential - Redacted]**, while the AIDS specification estimated a weighted average price rise of **[Confidential - Redacted]** (See Annexure A, Table 13).
 - Market-wide elasticity -1: Linear demand specification estimated a weighted average price rise for RACI and IAG of **[Confidential - Redacted]**, while the AIDS specification estimated a weighted average price rise of **[Confidential - Redacted]** (See Annexure A, Table 12).
- 10.202. While the measures that the ACCC has calculated are **[Confidential - Redacted]** than Mr Ockerby's measures, the ACCC considers that these quantitative measures are indicative and not determinative and therefore has not given significant weight to these measures in its single evaluative assessment.
- 10.203. The ACCC also calculated the effect on RACI motor insurance pricing from the Distribution Agreement. The estimated effect assuming linear and isoelastic demand functions were:⁷⁰²
- Linear demand: RACI motor insurance **[Confidential - Redacted]**.
 - Isoelastic demand: RACI motor insurance **[Confidential - Redacted]**.
- 10.204. The ACCC calculated the effect of the distribution commission using a simple monopolistic model. When linear demand is assumed, the passthrough of the commission to price is one half while the isoelastic demand passthrough is greater than one and depends on the assumed own-price elasticity for RAC-branded insurance. The ACCC considers the estimate calculated assuming a linear demand to be a very unlikely lower bound, since this assumption is inconsistent with insurer pricing. The First Ockerby Report noted differences in cost pass-through, where

⁷⁰¹ The ACCC gross margins are contained in Annexure A Table 1. Diversion ratios used are CBAiQ September 2024 to August 2025 (IAG, Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026, p. 80, Table 9-3. 65005.001.022.0044).

⁷⁰² **[Confidential - Redacted]**. **[Confidential - Redacted]**.

linear demand cost pass-through approaches one when the number of symmetric firms increase.⁷⁰³ This is discussed more in Annexure A.

Evaluation of two sets of estimates

10.205. The main reasons for differences in estimates in the Second Ockerby Report and the ACCC estimates are discussed in Annexure A.

Conclusion

10.206. The ACCC has considered the effects of the Acquisition by comparing the likely future state of competition if the Acquisition proceeds against the likely future state of competition if the Acquisition does not proceed.

10.207. On the evidence before it, the ACCC is satisfied that the Acquisition, if put into effect, would, in all the circumstances, have the effect or be likely to have the effect, of substantially lessening competition in the market for the supply of motor vehicle insurance in Western Australia.

10.208. The ACCC's view is based on the following findings:

- The Acquisition would result in a substantial increase in IAG's market share and a significant increase in market concentration, combining the leading supplier (RACI) with the third largest insurer (IAG).
- IAG and RACI both have strengths which make them effective competitors in the supply of motor vehicle insurance in Western Australia, with RACI holding a particularly dominant competitive position in Western Australia.
- IAG and RACI are likely to continue to be effective competitors and have a strong ability and incentive to compete if the Acquisition does not proceed. In the short to medium term, RACI is likely to continue to compete vigorously. **[Confidential - Redacted]**.⁷⁰⁴ **[Confidential - Redacted]**.
- The Acquisition would eliminate the competitive pressure that RACI and IAG impose on each other.
- The loss of competition between IAG and RACI is likely to have a meaningful effect on the process of competition in the supply of motor vehicle insurance in Western Australia and on outcomes for customers, as other actual and potential insurers in the market are unlikely to provide a sufficient competitive constraint.

10.209. In reaching these findings, the ACCC has had regard to information and documents from the Parties, as well as a range of third party materials.

⁷⁰³ IAG, Jason Ockerby (CEG) Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 3 March 2026, pp. 75-76, paras. 299-311. 65005.001.005.1024.

⁷⁰⁴ **[Confidential - Redacted]**.

11. Competition assessment in the supply of motor vehicle insurance in Western Australia – vertical effects

- 11.1. The ACCC considered the competitive effects of the Acquisition in the supply of motor vehicle insurance arising from the merged entity's increased ability and incentive to foreclose its rival insurers' access to vehicle repair services. In particular, the ACCC has examined whether the Acquisition would enable the merged entity to require exclusivity or preferential terms of supply from smash repairers, or otherwise raise its insurer rivals' costs, with the consequence of lessening competitive constraints on the merged entity in the supply of motor vehicle insurance to consumers – above and beyond the lessening resulting from the horizontal effects of the Acquisition discussed in Section 10 above.
- 11.2. The ACCC considers that the key factors in determining whether vertical effects could arise are as follows:
- Whether insurers engage smash repairers on a bilateral basis such that there is bargaining over terms and conditions;
 - Whether the merged entity would have the ability and incentive to exercise its increased bargaining power with respect to smash repairers by seeking exclusivity or 'reserving' repair capacity surplus to its current needs;
 - Whether any reduction in spare repair capacity available (potentially creating a shortfall to other insurers' needs) and any reduction in the number of repairers rival insurers can seek repairs from, the cost of repairs for rival insurers would increase and, in some cases, lead to rivals exiting the supply of insurance; and
 - Whether, as a consequence, the merged entity would be able to profitably raise premiums or worsen terms to motor vehicle insurance customers in Western Australia above and beyond the horizontal effects in the supply of motor vehicle insurance.
- 11.3. IAG submits that the Acquisition would not materially increase the merged entity's bargaining power in negotiations with smash repairers, because the increase in its share of insurer-directed repair acquisitions would be modest both nationally and in Western Australia.⁷⁰⁵ IAG submits that repairers would therefore not face a materially more powerful buyer or any qualitative change in bargaining dynamics, particularly given a repairers' ability to source work from multiple providers.⁷⁰⁶
- 11.4. The ACCC's assessment is that the merged entity is likely to have the ability to foreclose or partially foreclose competing insurers' access to repair services in certain regions in Western Australia, based on the following findings:
- Insurers engage repairers in various geographic regions in Western Australia on the basis of bilateral bargaining over terms and conditions. Because customers value having motor vehicle repairs undertaken close to where they live or work, repairers in one region are typically not a suitable alternative to repairers located in other regions.

⁷⁰⁵ [Confidential - Redacted]; IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, pp. 93-94, para 295-298. 65005.001.005.0849.

⁷⁰⁶ [Confidential - Redacted]; IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, pp. 93-94, para 295-298. 65005.001.005.0849.

- The composition of smash repairers in different geographical markets in Western Australia vary in size and scale. Analysis of insurer data obtained by the ACCC from all insurers in Perth and its surrounding areas indicated that there is a wide variety of repairers, both in types of repairs undertaken (all types, rapid and specialised), and the size of repairers. Data for selected regional markets indicates that repairers are heterogeneous in size as the scale of repairer operations tends to vary, with large repairers existing in each market. Variation in repairer size was particularly pronounced in Mandurah, Bunbury, Busselton, Albany and Port Hedland, all regions where the largest repairer undertook significantly more repairs than the second largest repairer in FY25.
 - The Acquisition would result in the merged entity having increased bargaining power to negotiate lower cost, high-quality, exclusive or priority repairs in certain regions in Western Australia. The ACCC considers that, post-Acquisition, the merged entity would be in a strong position to negotiate with key repairers on priority, exclusivity and/or cost in certain regions, particularly in concentrated markets where there is a limited number of repairers. These more concentrated markets are Karratha, Kalgoorlie, Margaret River, Busselton, Geraldton, Esperance, Broome, and Port Hedland.
- 11.5. The ACCC considers that the merged entity would likely have the ability to fully or partially foreclose rivals from the supply of repairs in these concentrated regions by reserving repair capacity in excess of its current needs. Such a strategy could have the effect of reducing the number of repairers rival insurers can seek repairs from in these concentrated markets, thereby increasing the cost of repairs for rival insurers and degrading the quality of competing insurers' insurance products. In Karratha, Kalgoorlie and Margaret River, the ACCC considers that post-Acquisition, the merged entity would be well-positioned to obtain virtual exclusivity with all the repairers in the region. In the remaining concentrated markets (Busselton, Geraldton, Esperance, Broome, and Port Hedland), the merged entity would be able to use similar strategies to leave rival insurers with insufficient repair capacity to meet their needs, which could significantly raise its rivals' costs.
- 11.6. Conversely, on the evidence before it, the ACCC does not consider that the merged entity would have the ability to partially or fully foreclose competing insurers' access to repair services in Perth and surrounding areas. This is due to the availability of a large number of alternative repairers for competing insurers to use.
- 11.7. However, while the ACCC was able to reach an affirmative view on the merged entity's ability to fully or partially foreclose competing insurers' access to repairer services in these areas post-Acquisition, the ACCC was not able to reach such a view on the merged entity's incentive to engage in such conduct in any of the relevant markets based on the material before it. The ACCC considered that the increased profits from raising rivals' costs in certain regional areas would be unlikely to be more significant than the increased costs of implementing such a strategy. Accordingly, the ACCC is not satisfied that the Acquisition would give rise to vertical effects to the point of substantially lessening competition in the supply of motor vehicle insurance in Western Australia.

12. Competition assessment in the acquisition of smash repair services in certain regions in Western Australia

- 12.1. The ACCC considered the competitive effects of the Acquisition in markets for the acquisition of smash repair services in certain regions of Western Australia.
- 12.2. The ACCC considers that the key factors in determining whether upstream horizontal effects could arise are as follows:
- Whether insurers are the main source of smash repairer business (i.e. smash repairers do not have many outside options for performing repair work);
 - Whether there is a single market clearing price for a repair (no significant variation across insurers reflecting their relative bargaining power);
 - Whether the aggregate supply curve of repairs is upward sloping (meaning, as the aggregate volume of repairs required increases, the cost of additional repairs is at a higher cost to previous repair volumes); and
 - Whether the acquisition would enable the merged entity to profitably reduce its repair costs by reducing the quality of repair services acquired and subsequently, the quality-adjusted volume of repairs acquired below competitive levels.
- 12.3. As noted in Section 11 on vertical effects, the Parties submit that the Acquisition would not materially increase the merged entity's buyer power in negotiations with smash repairers, because the increase in its share of insurer-directed repair acquisitions would be modest both nationally and in Western Australia.⁷⁰⁷ The Parties submit that, post-Acquisition, repairers in Western Australia will not be confronted with a materially more powerful buyer than they already face in their negotiations with RACI.⁷⁰⁸ The Parties submit that the merged entity does not have the ability or incentive to reduce market demand by writing fewer policies or degrading policy terms in a way that could lead to repairer exit.⁷⁰⁹
- 12.4. The ACCC considers that:
- in some repair markets, there is a single market clearing price for a repair, meaning there is limited variation in repair prices across insurers. The ACCC's analysis of insurer repair data shows that, in most cases, insurers pay similar amounts for repairs in these regional markets;⁷¹⁰
 - in these markets, the buyer share of the merged entity is consistent with having substantial monopsony power. In particular, in the 12 regional markets analysed, RACI and IAG cumulatively purchased between **[Confidential - Redacted]** to **[Confidential - Redacted]** of submitted insurer smash repairs in FY25, and in each of these markets, the merged entity would have a share that is at least **[Confidential - Redacted]** higher than RACI's current share;

⁷⁰⁷ **[Confidential - Redacted]**; IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, pp. 93-94, paras. 295-298. 65005.001.005.0849.

⁷⁰⁸ **[Confidential - Redacted]**; IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, pp. 93-94, paras. 296-298. 65005.001.005.0849.

⁷⁰⁹ **[Confidential - Redacted]**; IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, pp. 93-94, paras. 295. 65005.001.005.0849.

⁷¹⁰ In addition to Greater Perth, the 12 regional areas analysed were Albany, Broome, Mandurah, Busselton, Bunbury, Margaret River, Karratha, Port Hedland, Kalgoorlie, Geraldton, Esperance, and Exmouth.

- smash repairers do not have sufficient alternative insurer repair volumes available to them to constrain the merged entity. Information before the ACCC shows that 80% of smash repair jobs are funded by insurers which represents around 90% of total volumes of smash repairs.
- 12.5. While the ACCC understands that there is some variation in size and scale of repairers in different regional markets in Western Australia, there is also some uniformity across repairers. Given this, the ACCC was unable to conclude that the aggregate supply curve for repairs is upwards sloping.
- 12.6. While the ACCC found that some of the indicators for a potential competition issue arising from the exercise of monopsony power are present, the ACCC was unable to conclude that the merged entity would have both the ability and incentive to exercise monopsony power to enable the merged entity to reduce its repair costs by reducing the quality of repair services acquired and subsequently, the quality-adjusted volume of repairs acquired below competitive levels.
- 12.7. Given the analysis and based on the material before it, the ACCC is not satisfied that the Acquisition, if put into effect, would, in all the circumstances, have the effect or be likely to have the effect, of substantially lessening competition in these markets.

13. Competition assessment in the supply of home and contents insurance in Western Australia – horizontal effects

- 13.1. The ACCC has considered the effects of the Acquisition by comparing the likely future state of competition if the Acquisition proceeds against the likely future state of competition if the Acquisition does not proceed.
- 13.2. This section sets out the ACCC's consideration of the competition effects in home and contents insurance. It considers the concentration levels, IAG's position in the market now and in the future, RACI's position now and in the future, the market position and strength of other suppliers of home and contents insurance now and in the future, empirical analysis and barriers to entry/expansion.
- 13.3. On the evidence before it, the ACCC concludes that there is a substantial increase in concentration in the supply of home and contents insurance in Western Australia as a result of the Acquisition, high barriers to entry and expansion, and that IAG and RACI are likely to continue to be effective competitors if the Acquisition does not proceed. The ACCC is satisfied that the Acquisition, if put into effect, would, in all the circumstances, have the effect or be likely to have the effect, of substantially lessening competition in the market for the supply of home and contents insurance in Western Australia.

Market shares and concentration

- 13.4. The supply of home and contents insurance in Western Australia is highly concentrated, and the Acquisition would result in a significant increase in IAG's market share. As a result of the Acquisition, IAG's share of volumes increases from

[Confidential - Redacted] to [Confidential - Redacted] (for the 6 months ending December 2025)⁷¹¹ [Confidential - Redacted] (see Table 3 below).⁷¹²

Table 3: Share of supply of home and contents insurance in Western Australia⁷¹³

Insurer	RFI Global (3 months to December 2025) ⁷¹⁴	RFI Global (6 months to December 2025) ⁷¹⁵	[Confidential - Redacted] ⁷¹⁶
IAG	[Confidential - Redacted]	[Confidential - Redacted]	[Confidential - Redacted]
RACI	[Confidential - Redacted]	[Confidential - Redacted]	[Confidential - Redacted]
Merged entity	[Confidential - Redacted]	[Confidential - Redacted]	[Confidential - Redacted]
[Confidential - Redacted]	[Confidential - Redacted]	[Confidential - Redacted]	
[Confidential - Redacted]	[Confidential - Redacted]	[Confidential - Redacted]	
[Confidential - Redacted]	[Confidential - Redacted]	[Confidential - Redacted]	
[Confidential - Redacted]	[Confidential - Redacted]	[Confidential - Redacted]	
[Confidential - Redacted]	[Confidential - Redacted]	[Confidential - Redacted]	
[Confidential - Redacted]	[Confidential - Redacted]	[Confidential - Redacted]	
[Confidential - Redacted]	[Confidential - Redacted]	[Confidential - Redacted]	

13.5. As shown in Table 3 above, the ACCC has considered APRA market share data during its assessment. The APRA shares were provided to the ACCC as ‘protected information’ under the *APRA Act 1988* (Cth), and the ACCC is unable to disclose that data to the Parties and is unable to publish that data in this Statement of Reasons.

13.6. As noted above in the motor vehicle insurance section, the ACCC considers that figures reported to APRA from each insurer are likely to be more reliable than the survey-based data presented by IAG.

⁷¹¹ [Confidential - Redacted].

⁷¹² [Confidential - Redacted]; IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, Annexure 6, p. 127. 65005.001.005.0849.

⁷¹³ [Confidential - Redacted]; RFI Global conducts monthly surveys of its panel of consumers to understand the count of policies attributed to each insurer in that month. The market shares were calculated using this data on a 3 month and 6 month basis.

⁷¹⁴ The figures in the table are market shares using RFIs monthly data shown in the source, pooled for 3 months to December 2025; [Confidential - Redacted].

⁷¹⁵ [Confidential - Redacted].

⁷¹⁶ [Confidential - Redacted].

- 13.7. As shown in Table 3, RACI is the **[Confidential - Redacted]** supplier of home and contents insurance in Western Australia and has a **[Confidential - Redacted]** share than any other insurer. IAG is the **[Confidential - Redacted]** of home and contents insurance.⁷¹⁷
- 13.8. Other suppliers in Western Australia include established insurer, Suncorp, which has a market share of **[Confidential - Redacted]**.⁷¹⁸ The majority of Suncorp's share is through supply under its AAMI brand. Allianz, another established insurer, has a market share of just under **[Confidential - Redacted]**, while QBE has just under **[Confidential - Redacted]**.⁷¹⁹ The three main challenger brands – Auto & General, Youi and Hollard– have shares of **[Confidential - Redacted]**, **[Confidential - Redacted]** and **[Confidential - Redacted]** respectively.⁷²⁰
- 13.9. Figure 9 shows the market shares of home and contents insurers in Western Australia from 2017 to 2025.

Figure 9: Market share of supply of home and contents insurance in Western Australia - 6-month combined rolling sample June 2017 to December 2025 (RFI Global)⁷²¹

[Confidential - Redacted]

- 13.10. The Acquisition would consolidate an already concentrated market, and result in IAG being considerably larger than other insurers, with a market share of around 50%.
- 13.11. The ACCC estimates that the post-acquisition HHI for home and contents insurance in Western Australia would be **[Confidential - Redacted]** with a delta of **[Confidential - Redacted]**.⁷²²
- 13.12. As set out above, the Parties submit that concentration measures are not indicative of actual competition as "concentration levels in Western Australia are inflated by the market share of RACI in circumstances where RACI's market share gains have been driven by behaviour over a number of years that cannot and will not be sustained in the future."⁷²³
- 13.13. In effect, the Parties consider the ACCC should not place too much weight on historical market shares as they do not think RACI will sustain its leading position in the counterfactual.
- 13.14. As noted above in the motor vehicle insurance section, the ACCC's view is that market shares and concentration measures before and after an acquisition are important determinants of the effect of an acquisition on competition. Further, the ACCC's finding in respect of the counterfactual is that RACI will continue to be a strong and effective competitor in the absence of the Acquisition and its future pricing and approach is unlikely to materially differ from its previous pricing approach.

⁷¹⁷ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, Annexure 7, p. 129. 65005.001.005.0849.

⁷¹⁸ **[Confidential - Redacted]**.

⁷¹⁹ **[Confidential - Redacted]**.

⁷²⁰ **[Confidential - Redacted]**.

⁷²¹ **[Confidential - Redacted]**.

⁷²² **[Confidential - Redacted]**.

⁷²³ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 81, para. 235. 65005.001.005.0849.

Competition from IAG

- 13.15. IAG submits that it has a limited presence in the supply of home and contents insurance in Western Australia⁷²⁴ and the strength of the NRMA brand in Western Australia is overstated in the NOCC.⁷²⁵
- 13.16. Evidence provided by IAG in support of its submission includes IAG's **[Confidential - Redacted]** (between June 2021 and April 2025, the number of active IAG policies in home and contents insurance **[Confidential - Redacted]** by **[Confidential - Redacted]** from **[Confidential - Redacted]** to **[Confidential - Redacted]** and the **[Confidential - Redacted]** (survey data on brand awareness from September 2025 showed that NRMA ranked **[Confidential - Redacted]** behind other insurers, with RACI being number **[Confidential - Redacted]**).⁷²⁶ IAG submits that the Acquisition combines RACI with a comparatively modest IAG position **[Confidential - Redacted]**.⁷²⁷
- 13.17. The ACCC's assessment, based on the evidence before it, is that IAG is an effective competitor in the supply of home and contents insurance in Western Australia. The ACCC also considers that IAG is likely to be a stronger competitor than it is presently in the absence of the Acquisition.
- 13.18. IAG has a strong presence in Western Australia, where it is the third largest home and contents insurer (see Table 3 above). More broadly, it is one of the two largest personal lines general insurers in Australia.⁷²⁸
- 13.19. A discussion of IAG as a competitor, including the NRMA brand, IAG's technology offering and IAG's relationship with reinsurers, is set out in the motor vehicle insurance section commencing at paragraph 10.15 above. That discussion is also relevant to home and contents insurance.
- 13.20. Similarly to motor vehicle insurance, IAG's **[Confidential - Redacted]** pricing is reasonably competitive compared to RACI and most insurers in Western Australia.⁷²⁹ **[Confidential - Redacted]**.⁷³⁰ **[Confidential - Redacted]**.⁷³¹

NRMA brand

- 13.21. Evidence of NRMA's brand strength is discussed at paragraph 10.24 and applies to home and contents insurance as well. Further evidence in relation to home and contents insurance specifically is set out below.
- evidence from RACI includes **[Confidential - Redacted]**;⁷³² **[Confidential - Redacted]**.⁷³³

⁷²⁴ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 80, para. 232. 65005.001.005.0849; **[Confidential - Redacted]**.

⁷²⁵ **[Confidential - Redacted]**.

⁷²⁶ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, pp. 80-81. 65005.001.005.0849; **[Confidential - Redacted]**.

⁷²⁷ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, pp. 80-81, paras. 232-233. 65005.001.005.0849; **[Confidential - Redacted]**.

⁷²⁸ CHOICE, [Allianz, NRMA, QBE, AAMI, GIO and Suncorp insurance compared](#), 13 December 2024; **[Confidential - Redacted]**.

⁷²⁹ **[Confidential - Redacted]**; **[Confidential - Redacted]**; **[Confidential - Redacted]**; **[Confidential - Redacted]**.

⁷³⁰ **[Confidential - Redacted]**; **[Confidential - Redacted]**.

⁷³¹ **[Confidential - Redacted]**.

⁷³² **[Confidential - Redacted]**.

⁷³³ **[Confidential - Redacted]**.

- evidence from other insurers and third parties regarding the NRMA brand includes:
 - **[Confidential - Redacted]**.⁷³⁴
 - **[Confidential - Redacted]**.⁷³⁵
 - **[Confidential - Redacted]**.⁷³⁶
 - CHOICE’s 2025 customer satisfaction survey shows a solid performance by the NRMA brand, evidencing its strength nationally. In the survey 61% of NRMA customers rated their experience with NRMA as above average or excellent.⁷³⁷ The survey also highlighted that 69% of NRMA customers rated their claims experience with NRMA as above average or excellent.⁷³⁸
- 13.22. The ACCC considers that IAG has a strong technology offering which assists with its competitive position. See discussion at paragraph 10.27 above.
- 13.23. The ACCC also considers that IAG has strong relationships with reinsurers and has long-dated significant reinsurance arrangements that provide it with “access to long term stable capital,” which protects it against natural perils volatility.⁷³⁹ This provides IAG with a strong financial foundation on which to compete.
- 13.24. While the ACCC accepts that the number of active IAG policies in home and contents insurance has **[Confidential - Redacted]** and that NRMA brand recognition in Western Australia **[Confidential - Redacted]** based on the survey data, the ACCC has considered other data provided by IAG that shows that IAG’s share across all of its brands has remained fairly stable at approximately **[Confidential - Redacted]** from 2024 to 2026 (see Figure 9 above).⁷⁴⁰ **[Confidential - Redacted]** also shows that NRMA had a higher share of voice in Western Australia relative to its market share in 2025, which means it is looking to grow its customer awareness and customer share.⁷⁴¹
- 13.25. As with motor vehicle insurance, the ACCC considers that IAG is likely to compete even more effectively in the future absent the Acquisition by continuing to use its competitive advantages and by increasing its marketing, media spend and brand awareness in Western Australia.

Competition from RACI

- 13.26. The ACCC’s assessment is that RACI is a strong and effective competitor in Western Australia in the supply of home and contents insurance. Evidence before the ACCC demonstrates that RACI is the dominant supplier of home and contents insurance in Western Australia, with high-quality offerings, competitive pricing, and strong brand reputation.

⁷³⁴ **[Confidential - Redacted]**.

⁷³⁵ **[Confidential - Redacted]**.

⁷³⁶ **[Confidential - Redacted]**.

⁷³⁷ CHOICE, [CHOICE home insurance survey: RACQ in top spot for customer experience again](#), 12 May 2025.

⁷³⁸ CHOICE, [CHOICE home insurance survey: RACQ in top spot for customer experience again](#), 12 May 2025.

⁷³⁹ **[Confidential - Redacted]**.

⁷⁴⁰ **[Confidential - Redacted]**.

⁷⁴¹ **[Confidential - Redacted]**.

RACI's market position

- 13.27. Evidence before the ACCC shows that RACI is consistently viewed as the leading provider on all aspects of its product and service offering in the Western Australian home and contents insurance market. In particular:
- **[Confidential - Redacted]**⁷⁴² **[Confidential - Redacted]**⁷⁴³
 - **[Confidential - Redacted]**⁷⁴⁴ **[Confidential - Redacted]**,⁷⁴⁵ **[Confidential - Redacted]**⁷⁴⁶ **[Confidential - Redacted]**.
 - As with motor vehicle insurance, rival insurers acknowledge RACI's strength in the Western Australia market. **[Confidential - Redacted]** provided that RACI is by far the biggest player in the market in Western Australia.⁷⁴⁷ **[Confidential - Redacted]** provided that RACI has grown quite strongly,⁷⁴⁸ and that it appears RACI has a loyal customer base.⁷⁴⁹ **[Confidential - Redacted]** also considers that "the Car Insurance and Home Insurance marketplace in Western Australia is unique to any other state with RACI holding a dominant market position, and brand performance, not seen in any other brand, in any other state."⁷⁵⁰ **[Confidential - Redacted]** stated that the strongest brand in the Western Australia market is RACI.⁷⁵¹ **[Confidential - Redacted]** stated that RACI is a strong competitor and it is difficult to poach customers from RACI because they can be competitive on service and price simultaneously and when they are poached away, it is difficult to keep them from going back to RACI.⁷⁵²
- 13.28. In relation to market share, the ACCC understands that RACI's dominance does not just reflect a historical or legacy position:
- Data shows that RACI has experienced **[Confidential - Redacted]** in home and contents insurance since 2017 – **[Confidential - Redacted]** from **[Confidential - Redacted]** to **[Confidential - Redacted]** in late 2023.⁷⁵³
 - **[Confidential - Redacted]**.⁷⁵⁴
 - **[Confidential - Redacted]**, RACI's market share **[Confidential - Redacted]** since 2023, **[Confidential - Redacted]** at **[Confidential - Redacted]** in December 2025.⁷⁵⁵

⁷⁴² **[Confidential - Redacted]**.

⁷⁴³ **[Confidential - Redacted]**.

⁷⁴⁴ **[Confidential - Redacted]**.

⁷⁴⁵ **[Confidential - Redacted]**.

⁷⁴⁶ **[Confidential - Redacted]**.

⁷⁴⁷ **[Confidential - Redacted]**.

⁷⁴⁸ **[Confidential - Redacted]**.

⁷⁴⁹ **[Confidential - Redacted]**.

⁷⁵⁰ **[Confidential - Redacted]**.

⁷⁵¹ **[Confidential - Redacted]**.

⁷⁵² **[Confidential - Redacted]**.

⁷⁵³ **[Confidential - Redacted]**; IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, Annexure 7, p. 127. 65005.001.005.0849.

⁷⁵⁴ **[Confidential - Redacted]**.

⁷⁵⁵ **[Confidential - Redacted]**; IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, Annexure 7, p. 127. 65005.001.005.0849.

RACI's pricing

- 13.29. The Parties submit that, **[Confidential - Redacted]**⁷⁵⁶
- 13.30. The ACCC accepts that RACI is not currently one of the lowest priced insurers in the market. However, the ACCC considers that RACI has been competitive on price over a long period of time. The ACCC considers that the evidence before it suggests that RACI will likely return to being one of the lower-cost insurers in the market in the short to medium term. In this regard, **[Confidential - Redacted]**.⁷⁵⁷ As with its motor insurance products, **[Confidential - Redacted]**.⁷⁵⁸
- 13.31. RACI has a history of low prices in home and contents insurance:
- According to RACI **[Confidential - Redacted]**,⁷⁵⁹ **[Confidential - Redacted]**.⁷⁶⁰
 - **[Confidential - Redacted]**⁷⁶¹ and that RAC **[Confidential - Redacted]** ⁷⁶²**[Confidential - Redacted]**.⁷⁶³
 - **[Confidential - Redacted]** provided that RACI is historically competitive on price and is currently competitive,⁷⁶⁴ **[Confidential - Redacted]** noted that RACI has a competitive price.⁷⁶⁵
- 13.32. **[Confidential - Redacted]**⁷⁶⁶ **[Confidential - Redacted]**⁷⁶⁷
- 13.33. **[Confidential - Redacted]** (see paragraph 10.32 of the motor vehicle insurance section for further explanation).
- 13.34. **[Confidential - Redacted]**.⁷⁶⁸ **[Confidential - Redacted]**:
- **[Confidential - Redacted]**,⁷⁶⁹
 - **[Confidential - Redacted]**,⁷⁷⁰ and
 - **[Confidential - Redacted]**.⁷⁷¹
- 13.35. **[Confidential - Redacted]**.⁷⁷² **[Confidential - Redacted]**.⁷⁷³

⁷⁵⁶ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 35. 65005.001.005.0849.

⁷⁵⁷ **[Confidential - Redacted]**.

⁷⁵⁸ **[Confidential - Redacted]**; **[Confidential - Redacted]**; **[Confidential - Redacted]**.

⁷⁵⁹ **[Confidential - Redacted]**.

⁷⁶⁰ **[Confidential - Redacted]**.

⁷⁶¹ **[Confidential - Redacted]**.

⁷⁶² **[Confidential - Redacted]**.

⁷⁶³ **[Confidential - Redacted]**.

⁷⁶⁴ **[Confidential - Redacted]**.

⁷⁶⁵ **[Confidential - Redacted]**.

⁷⁶⁶ **[Confidential - Redacted]**.

⁷⁶⁷ **[Confidential - Redacted]**.

⁷⁶⁸ **[Confidential - Redacted]**; **[Confidential - Redacted]**.

⁷⁶⁹ **[Confidential - Redacted]**; **[Confidential - Redacted]**.

⁷⁷⁰ **[Confidential - Redacted]**.

⁷⁷¹ **[Confidential - Redacted]**; **[Confidential - Redacted]**.

⁷⁷² **[Confidential - Redacted]**.

⁷⁷³ **[Confidential - Redacted]**.

RACI's service quality

- 13.36. The ACCC considers that RACI competes strongly on service quality, including customer service and claims handling, which provides it with a key competitive advantage over rival insurers. The ACCC considers that, as a member-owned organisation, RACI has a focus on member satisfaction that translates to high service quality.
- 13.37. RACI's service quality is discussed above in the motor vehicle insurance section. That analysis is equally applicable to RACI's service quality in home and contents insurance.
- 13.38. In addition, ACCC analysis of CHOICE's 2025 customer satisfaction survey data shows that RACI's performance in relation to customer experience (Figure 10) and claims experience (Figure 11) for home and contents insurance is on par or better than most rival insurers available in the Western Australia market.

Figure 10: CHOICE 2025 Customer Satisfaction Survey – Overall Experience (Home)

[Confidential - Redacted]

Figure 11: CHOICE 2025 Customer Satisfaction Survey - Claims Experience (Home)

[Confidential - Redacted]

- 13.39. Further, the ACCC combined AFCA complaint data with risks insured data from APRA to create an AFCA complaints per 100,000 risks insured metric. In home and contents insurance, [Confidential - Redacted], compared to [Confidential - Redacted].⁷⁷⁴

RACI's brand

- 13.40. The ACCC considers that RACI has a strong, trusted and resilient brand in Western Australia.
- 13.41. RACI's strong brand and reputation is discussed above from paragraph 10.48 in the motor vehicle insurance section. That analysis is equally applicable to RACI's brand in home and contents insurance.
- 13.42. In addition, ACCC analysis of CHOICE's 2025 customer satisfaction survey data demonstrates that RACI customers are relatively more likely to renew their home insurance with RACI than customers of other insurers (Figure 12).

Figure 12: CHOICE 2025 Customer Satisfaction Survey – Customer renewals (Home)

[Confidential - Redacted]

⁷⁷⁴ [Confidential - Redacted]; [Confidential - Redacted].

Competition between IAG and RACI

Product offering, quality and brand

- 13.43. As with motor vehicle insurance, the Parties provide similar home and contents products in terms of price, coverage and service quality and both have strong brands. **[Confidential - Redacted]**.⁷⁷⁵
- 13.44. Third party material also supports the view that the Parties compete closely on brand, reputation and loyalty, and service in the market.⁷⁷⁶
- 13.45. The ACCC also considered publicly available information from comparison site Canstar. Canstar provides a home insurance price rating that reflects the median premium across quotes for a sample of addresses in each state.⁷⁷⁷ The price guide classifies premiums as '\$' lower than the market average, '\$\$' generally in line with the market average, or '\$\$\$' higher than the market average, based on a range of quotes and assumptions across different insurance providers.⁷⁷⁸
- 13.46. The ACCC conducted a comparison search for a home and contents policy in Western Australia.⁷⁷⁹ For select insurers, the comparison search provided:

Canstar Price Guide ⁷⁸⁰	Insurers / Products
\$	APIA Home & Contents Extra (Suncorp), GIO Classic Extras Home & Contents (Suncorp), Suncorp Insurance Classic Extras Home & Contents (Suncorp), Budget Direct Home & Contents (Auto & General), NRMA Insurance Home & Contents (IAG) , QBE Home & Contents Insurance (QBE), AAMI Home & Contents (Suncorp), Coles Insurance Home & Contents (Suncorp), GIO Classic Home & Contents (Suncorp), ING Home & Contents (Auto & General), Ozicare Home & Contents (Auto & General), Qantas Home and Contents Insurance (Auto & General), Suncorp Insurance Classic Home & Contents (Suncorp), APIA Home & Contents (Suncorp), RAC Home & Contents (RACI) .
\$\$	NRMA Insurance Plus Home & Contents (IAG) , GIO Platinum Home & Contents (Suncorp), Suncorp Insurance Classic Advantages Home & Contents (Suncorp), Allianz Australia Home & Contents Insurance (Allianz), GMCU Home & Contents (Allianz), YOUI Home & Contents (Youi), Australian Unity Home & Contents (Allianz), Bank of Melbourne Home & Contents Insurance (Allianz), BankSA Home & Contents Insurance (Allianz), BOQ Home & Contents (prior to 1 October 2026 – Royal Automobile Club of Queensland, post 1 October 2026 – Zurich Australian Insurance), CommInsure Home & Contents Insurance – Classic (Hollard), Great Southern Bank Home & Contents (Allianz), Honey Insurance Home & Contents (prior to 1 October 2026 – Royal Automobile Club of Queensland, post 1 October 2026 – Zurich Australian Insurance), Hume Bank Home & Contents (Allianz), IMB Home & Contents (Allianz), Kogan Insurance Home & Contents Insurance (Allianz), St. George Bank Home & Contents Insurance (Allianz), Westpac Home & Contents Insurance (Allianz), Everyday Insurance Standard Home & Contents (Hollard), Real Insurance Essential Home & Contents (Hollard), Aussie Home & Contents (Allianz), Aust Seniors Insurance Agency Essential Home & Contents

⁷⁷⁵ **[Confidential - Redacted]; [Confidential - Redacted]; [Confidential - Redacted]; [Confidential - Redacted]; [Confidential - Redacted]; [Confidential - Redacted]; [Confidential - Redacted].**

⁷⁷⁶ **[Confidential - Redacted]; [Confidential - Redacted].**

⁷⁷⁷ Canstar, Home and Contents Insurance 'Price Guide' in [Home Insurance Comparison](#).

⁷⁷⁸ Canstar, [Star Ratings & Award Methodology – Car Insurance](#), June 2026.

⁷⁷⁹ ACCC, Canstar Car Insurance Comparison search results for Western Australia (30-39 years, male), 9 September 2026. 65005.001.072.0031.

⁷⁸⁰ ACCC, Canstar Car Insurance Comparison search results for Western Australia (30-39 years, male), 9 September 2026. 65005.001.072.0031.

Canstar Price Guide ⁷⁸⁰	Insurers / Products
	Hollard), National Seniors Home & Contents (Allianz), Huddle Insurance Basic Building & Contents Insurance (Hollard).
\$\$\$	ANZ Home Insurance – Plus (IAG), Australian Military Bank Home Insurance – Plus (IAG), Bendigo Bank Home Insurance – Plus, (IAG) Defence Bank Home Insurance – Plus (IAG), People First Bank Home Insurance – Plus (IAG) , Huddle Insurance Comprehensive Building & Contents Insurance (Hollard), Real Insurance Top Home & Contents (Hollard), AHM Comprehensive Home and Contents (Hollard), ANZ Home Insurance – Standard (IAG) , Aust Seniors Insurance Agency Top Home & Contents (Hollard), Australian Military Bank Home Insurance – Standard (IAG), Bendigo Bank Home Insurance – Standard (IAG) , BUPA Insurance Comprehensive Home & Contents (Hollard), BUPA Insurance Ultimate Home & Contents (Hollard), CommInsure Home & Contents Insurance – Plus (Hollard), Defence Bank Home Insurance – Standard (IAG) , Everyday Insurance Comprehensive Home & Contents (Hollard), Huddle Insurance Huddle Black Comprehensive Home & Contents Insurance (Hollard), People First Bank Home Insurance – Standard (IAG) , BUPA Insurance Basics Home & Contents (Hollard), NAB Home & Contents (Allianz), AHM Basic Home and Contents (Hollard), Guild Insurance Home Elite Home & Contents (Guild), Shannons Insurance Home & Contents (Suncorp), Guild Insurance Home Essential Home & Contents (Guild).

- 13.47. The comparison search highlights that IAG and RACI's insurance products are among the cheapest cohort (being in the \$ cohort). IAG's premium product is in the middle cohort (\$\$ cohort). This comparison indicates that IAG and RACI's main home and contents insurance products are highly comparable.
- 13.48. Canstar also provides a home insurance cover rating to assess the comprehensiveness of cover offered by insurance policies. Cover ratings (out of five) are calculated by weighing scores given for each cover category (including, building cover, rebuild and repair options, contents cover, accidental damage, events cover and flood cover).⁷⁸¹
- 13.49. The ACCC conducted a comparison search for a home and contents policy in Western Australia.⁷⁸² For select insurers, the comparison search provided:

Canstar Star Rating ⁷⁸³	Insurers / products
5 stars	GIO Classic Extras Home & Contents (Suncorp), Suncorp Insurance Classic Extras Home & Contents (Suncorp), QBE Home & Contents Insurance (QBE), AAMI Home & Contents (Suncorp), NRMA Insurance Plus Home & Contents (IAG) , GIO Platinum Home & Contents (Suncorp), Suncorp Insurance Classic Advantages Home & Contents (Suncorp), Allianz Australia Home & Contents Insurance (Allianz), ANZ Home Insurance – Plus (IAG), Australian Military Bank Home Insurance – Plus (IAG), Bendigo Bank Home Insurance – Plus (IAG), Defence Bank Home Insurance – Plus (IAG), People First Bank Home Insurance – Plus (IAG)
4 stars	APIA Home & Contents Extra, Budget Direct Home & Contents (Flood cover opted in) (Suncorp), Coles Insurance Home & Contents (Flood cover opted in) (Suncorp), GIO Classic Home & Contents (Suncorp), ING Home & Contents (Flood cover opted in) (Auto & General), Ozicare Home & Contents (Flood cover opted in) (Auto & General), Qantas Home and Contents Insurance (Flood cover opted in) (Auto & General), GMCU Home & Contents (Allianz), Australian Unity Home & Contents (Allianz), Bank of

⁷⁸¹ Canstar, [Cover Rating Methodology – Home Insurance & Landlord Insurance](#), accessed 22 September 2026.

⁷⁸² ACCC, Canstar Home and Contents Insurance Comparison search results for Western Australia, 9 September 2026. 65005.001.072.0001.

⁷⁸³ ACCC, Canstar Home and Contents Insurance Comparison search results for Western Australia, 9 September 2026. 65005.001.072.0001.

Canstar Star Rating ⁷⁸³	Insurers / products
	Melbourne Home & Contents Insurance (Allianz), BankSA Home & Contents Insurance (Allianz), BOQ Home & Contents (prior to 1 October 2026 – Royal Automobile Club of Queensland, post 1 October 2026 – Zurich Australian Insurance), Honey Insurance Home & Contents (prior to 1 October 2026 – Royal Automobile Club of Queensland, post 1 October 2026 – Zurich Australian Insurance), Real Insurance Top Home & Contents (Hollard), Bendigo Bank Home Insurance – Standard (IAG) , CommInsure Home & Contents Insurance – Plus (Hollard), Defence Bank Home Insurance – Standard (IAG) , Everyday Insurance Comprehensive Home & Contents (Hollard)
3 stars	NRMA Insurance Home & Contents (IAG) , Suncorp Insurance Classic Home & Contents (Suncorp), APIA Home & Contents (Suncorp), RAC Home & Contents (RACI) , YOU! Home & Contents (Youi), CommInsure Home & Contents Insurance – Classic (Hollard), Great Southern Bank Home & Contents (Allianz), Hume Bank Home & Contents (Allianz), IMB Home & Contents (Allianz), Kogan Insurance Home & Contents Insurance (Allianz), St. George Bank Home & Contents Insurance (Allianz), Westpac Home & Contents Insurance (Allianz), Everyday Insurance Standard Home & Contents (Hollard), Real Insurance Essential Home & Contents (Hollard), National Seniors Home & Contents (Allianz), Huddle Insurance Comprehensive Building & Contents Insurance (Hollard), AHM Comprehensive Home and Contents (Hollard), Aust Seniors Insurance Agency Top Home & Contents (Hollard), Australian Military Bank Home Insurance – Standard (IAG) , BUPA Insurance Comprehensive Home & Contents (Hollard), BUPA Insurance Ultimate Home & Contents (Hollard), Huddle Insurance Huddle Black Comprehensive Home & Contents Insurance (Hollard), People First Bank Home Insurance – Standard (IAG) , BUPA Insurance Basics Home & Contents (Hollard), NAB Home & Contents (Allianz), AHM Basic Home and Contents (Hollard), Guild Insurance Home Elite Home & Contents (Guild), Shannons Insurance Home & Contents (Suncorp), Guild Insurance Home Essential Home & Contents (Guild)
2 stars	Aussie Home & Contents (Allianz), Aust Seniors Insurance Agency Essential Home & Contents (Hollard), Huddle Insurance Basic Building & Contents Insurance (Hollard)
1 star	No products displayed with a 1-star Cover Rating

- 13.50. The comparison search highlights that IAG and RACI's insurance products are both in the middle cohort with 3 stars. IAG's premium product is in the top cohort with 5 stars. This comparison also indicates that IAG and RACI's main home and contents insurance products are highly comparable.

Premiums and pricing

- 13.51. In its response to the NOCC, IAG submits that a comparison of the Parties' average and median premiums does not constitute evidence of the closeness of competition due to the premium values lacking an adjustment for the sum insured. **[Confidential - Redacted]**.⁷⁸⁴
- 13.52. The ACCC analysed the Parties' average home and contents premiums for new risks, controlling for the insured values of those policies (Figure 13),⁷⁸⁵ although as noted in Section 10 commencing at paragraph 10.64, the sum insured is one of many factors included in the coverage of a policy. The results show that IAG and

⁷⁸⁴ **[Confidential - Redacted]**.

⁷⁸⁵ **[Confidential - Redacted]**; **[Confidential - Redacted]**.

RACI have historically priced their policies at relatively similar levels. An extension of this pricing analysis to other insurers was not possible given data constraints.

Figure 13: Average home and contents insurance premium per \$100,000 insured for new policies

[Confidential - Redacted]

13.53. As noted in Section 10 from paragraph 10.64 onwards, the ACCC considers analysing the correlation of annual price changes insightful. Figure 14 shows that **[Confidential - Redacted]**.⁷⁸⁶ **[Confidential - Redacted]**.

Figure 14: Home insurance - annual change in median premium of new risks insured

[Confidential - Redacted]

13.54. **[Confidential - Redacted]**.⁷⁸⁷ **[Confidential - Redacted]**.

Figure 15: Median home and contents insurance premiums in Western Australia by insurer

[Confidential - Redacted]

13.55. **[Confidential - Redacted]**.

Switching data and diversion ratios

13.56. As highlighted in paragraphs 10.71 to 10.73, the ACCC considers diversion ratios are a key metric to assess the closeness of competition between two firms, and that there is a benefit to considering diversion ratios calculated from multiple sources of data.⁷⁸⁸

13.57. ACCC analysis of switching rates and diversion ratios using CommBank iQ data for home and contents insurance policies is set out below.

Switching between insurers

13.58. As noted in paragraph 10.74 above, the Parties submit that CommBank iQ data provides a more reliable source for calculating diversion ratios given that the data only captures switches between insurers and is based on more observations of switching.⁷⁸⁹ While it still considers the data useful, the ACCC noted specific limitations to the CommBank iQ switching data in paragraph 10.75.

13.59. Paragraphs 10.76 to 10.78 provide an analysis of the switching rates from the CommBank iQ data, noting that these switching rates reflect switching for both motor vehicle and home and contents insurance combined.

Diversion ratios for home and contents insurance

13.60. As noted in paragraph 10.79, aggregated switching data can be converted to diversion ratios for home and contents insurance and motor vehicle insurance.

⁷⁸⁶ **[Confidential - Redacted]**; **[Confidential - Redacted]**.

⁷⁸⁷ **[Confidential - Redacted]**.

⁷⁸⁸ ACCC, [Merger assessment guidelines](#), 20 June 2025, para. 2.5; ACCC, *IAG and RAC Insurance (Report of Patrick Smith, RBB Economics)*, 22 May 2026, p. 16. 65005.001.051.0001.

⁷⁸⁹ **[Confidential - Redacted]**.

Using CommBank iQ combined switching data for the period September 2023 to August 2024, the ACCC estimated that **[Confidential - Redacted]** of lapsed IAG home and contents insurance customers diverted to RACI, and **[Confidential - Redacted]** of lapsed RACI customers diverted to IAG.⁷⁹⁰ The **[Confidential - Redacted]** diversion ratio of lapsed IAG home and contents customers diverting to RACI (**[Confidential - Redacted]**) compared to the combined motor vehicle and home and contents diversion ratio (**[Confidential - Redacted]**) reflects a **[Confidential - Redacted]** market share implied diversion ratio for home and contents (**[Confidential - Redacted]**) compared to motor vehicle (**[Confidential - Redacted]**) over that same period.

- 13.61. In a similar fashion the ACCC has converted the CommBank iQ combined switching data for the period September 2024 to August 2025 to a diversion ratio for home and contents policies. The ACCC calculates **[Confidential - Redacted]** of lapsed IAG home and contents insurance customers diverted to RACI, and **[Confidential - Redacted]** of lapsed RACI customers diverted to IAG.
- 13.62. In the Second Ockerby Report, Mr Ockerby submits diversion ratios for home and contents insurance policies across all insurers in Western Australia based on 2024-25 CommBank iQ data (Table 9-4, Second Ockerby Report).⁷⁹¹ These ratios largely mirror those calculated by the ACCC based on this data.
- 13.63. Additionally, Mr Ockerby submits market share implied diversion ratios for home and contents insurance policies based on market share data from RFI Global (see Table 9-6, Second Ockerby Report).⁷⁹² **[Confidential - Redacted]**.
- 13.64. The estimates of diversion ratios show **[Confidential - Redacted]**. Considered in combination with the Parties overlapping in both product coverage and customer locations, the ACCC considers that the diversion ratios show that the Parties are individually strong competitors in home and contents insurance and there is significant competition between them.

Distribution Agreement between IAG and RACI

- 13.65. The ACCC refers to the submissions and assessment relating to the Distribution Agreement at paragraphs 10.91 to 10.104.
- 13.66. In line with that assessment, the ACCC considers that the Distribution Agreement is unlikely to provide an adequate constraint on IAG's conduct in relation to the supply and pricing of RAC branded home and contents insurance products post-Acquisition.

Competition from remaining suppliers

- 13.67. Post-Acquisition, there would remain a number of other suppliers of home and contents insurance in Western Australia. The ACCC has considered whether these remaining suppliers are likely to pose a sufficient constraint on the merged entity such that it cannot raise prices and/or decrease service levels post-Acquisition.

⁷⁹⁰ **[Confidential - Redacted]**.

⁷⁹¹ IAG, Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026, p. 80, Table 9-4. 65005.001.022.0044.

⁷⁹² IAG, Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026, p. 81, Table 9-6. 65005.001.022.0044.

- 13.68. The Parties' submissions regarding the competitive constraint imposed by other insurers in Western Australia are set out above in the section on motor vehicle insurance.
- 13.69. The ACCC considers that alternative insurers operating in Western Australia would continue to provide a degree of competition in the supply of home and contents insurance following the Acquisition. However, the ACCC has found based on the evidence before it, that the alternative insurers are unlikely to pose a sufficient constraint such that the merged entity would not be able to raise prices and/or decrease service levels post-Acquisition.
- 13.70. This section sets out the ACCC's findings on the level of competitive constraint from established brands (Suncorp, Allianz, QBE) and mid-tier brands (A&G, Youi, Hollard). The discussion above in the section on motor vehicle insurance, discussing the level of brand awareness and marketing and media spend, is also relevant to home and contents insurance. This section therefore focuses on market shares and market position.

Market shares

- 13.71. The ACCC considers that most of the established and mid-tier insurers have struggled to build and maintain market share in the supply of home and contents insurance in Western Australia. This contrasts with the position of established insurers in other Australian states, as well as the overall growth mid-tier insurers have achieved in other states. The relatively low market shares and growth in Western Australia appear to be due, at least in part, to the strong competitive position of RACI, including its high levels of brand awareness and customer loyalty.
- 13.72. While the ACCC accepts Suncorp and Auto & General are sizeable competitors, the other suppliers of home and contents insurance in Western Australia have a comparatively small market presence. The evidence indicates that other suppliers have generally struggled to grow in the market, with several stating the difficulties of growing are due to RACI's brand strength and scale and the fact that Western Australians tend to prefer Western Australian businesses.⁷⁹³
- 13.73. The ACCC understands that established insurers in Western Australia have, overall, seen either erosion or lack of growth in their market share over time, and that their shares in Western Australia are lower than their national shares.
- 13.74. Market share data provided by IAG shows that most national established brands (including IAG itself) have considerably lower market share in Western Australia than they do nationally. For example, as at December 2025, Suncorp has **[Confidential - Redacted]** market share in home and contents insurance nationally and **[Confidential - Redacted]** share in Western Australia; Allianz has **[Confidential - Redacted]** nationally and **[Confidential - Redacted]** in Western Australia.⁷⁹⁴ The data also shows that in the period from 2017 to 2025, the market shares of the established insurers in Western Australia **[Confidential - Redacted]**. In June 2017, Suncorp, Allianz and QBE together had a combined market share in Western

⁷⁹³ **[Confidential - Redacted]; [Confidential - Redacted]; [Confidential - Redacted]; [Confidential - Redacted]; [Confidential - Redacted]; [Confidential - Redacted]; [Confidential - Redacted]; [Confidential - Redacted].**

⁷⁹⁴ **[Confidential - Redacted]**; IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, Annexure 7, p. 127. 65005.001.005.0849.

Australia of **[Confidential - Redacted]**.⁷⁹⁵ As at December 2025, this **[Confidential - Redacted]** to approximately **[Confidential - Redacted]** in Western Australia, compared to approximately **[Confidential - Redacted]** nationwide. The most marked change was to QBE's market share, which **[Confidential - Redacted]** from **[Confidential - Redacted]** to **[Confidential - Redacted]** in Western Australia.⁷⁹⁶ Following that was Allianz, with a **[Confidential - Redacted]** from **[Confidential - Redacted]** to **[Confidential - Redacted]** and then Suncorp, with a **[Confidential - Redacted]** from **[Confidential - Redacted]** to **[Confidential - Redacted]**.

- 13.75. The ACCC refers to the evidence from established insurers (Suncorp and Allianz) set out at paragraphs 10.117 to 10.119 to, which the ACCC considers shows that it is more challenging for insurers to grow its market share in Western Australia than other states. The ACCC also refers to an **[Confidential - Redacted]**.⁷⁹⁷ **[Confidential - Redacted]**.⁷⁹⁸
- 13.76. IAG submits that challenger brands Youi and Auto & General have successfully grown their market share in Western Australia.⁷⁹⁹
- 13.77. The ACCC considers that Auto & General is the only challenger brand to have lifted its market share materially above **[Confidential - Redacted]** over the period from June 2017 to December 2025 (**[Confidential - Redacted]**). Youi's market share in home and contents insurance in Western Australia is **[Confidential - Redacted]** and has **[Confidential - Redacted]** over time. Hollard's market share is also **[Confidential - Redacted]**. Market shares are also lower at the state level compared to the national level, with the three challenger brands (Auto & General, Youi and Hollard) collectively having **[Confidential - Redacted]** market share in home and contents insurance in Western Australia as at December 2025, compared to **[Confidential - Redacted]** nationwide. This is based on the RFI Global data submitted by IAG.
- 13.78. The ACCC refers to the evidence from the mid-tier insurers (including **[Confidential - Redacted]**) set out at paragraphs 10.121 to 10.122, which the ACCC considers indicates that they have had difficulty making headway in the Western Australia market and have had to spend more on marketing and employ more strategies (compared to other parts of Australia) to acquire customers and market share.

Market position of insurers

- 13.79. The Parties submit that there will remain six insurers that will continue to compete strongly and effectively with the merged entity post-Acquisition.⁸⁰⁰
- 13.80. As with motor vehicle insurance, IAG submits that **[Confidential - Redacted]**.⁸⁰¹ **[Confidential - Redacted]**.⁸⁰²

⁷⁹⁵ **[Confidential - Redacted]**; IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, Annexure 7, p. 127. 65005.001.005.0849.

⁷⁹⁶ **[Confidential - Redacted]**; IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, Annexure 7, p. 127. 65005.001.005.0849.

⁷⁹⁷ **[Confidential - Redacted]**.

⁷⁹⁸ **[Confidential - Redacted]**; **[Confidential - Redacted]**.

⁷⁹⁹ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, pp. 10-11, paras 29-30. 65005.001.005.0849.

⁸⁰⁰ **[Confidential - Redacted]**.

⁸⁰¹ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 16. 65005.001.005.0849.

⁸⁰² IAG, *Jason Ockerby (CEG) Report for Allens regarding IAG's proposed acquisition of RAC Insurance*, 3 March 2026, p. 17, paras. [60], [62]. 65005.001.005.1024.

- 13.81. RACI submits that it does not view IAG as its closest competitor, and regards AAMI (Suncorp), Budget Direct (Auto & General) and Youi as closer rivals in both home and contents insurance as well as motor (see paragraph 10.133 above).⁸⁰³ RACI also submits **[Confidential - Redacted]**.⁸⁰⁴
- 13.82. The ACCC considered evidence of how insurers view other providers in the home and contents market. The evidence before the ACCC regarding the market position of insurers is largely relevant to both motor and home and contents insurance. See paragraphs 10.130 to 10.137 above.
- 13.83. The ACCC considers that the Parties' internal documents **[Confidential - Redacted]**. As noted above, **[Confidential - Redacted]**⁸⁰⁵ **[Confidential - Redacted]**.⁸⁰⁶ **[Confidential - Redacted]**.⁸⁰⁷
- 13.84. The Parties' documents are consistent with evidence from third party insurers provided at paragraph 10.135 above. In particular, for home and contents insurance:
- As stated above in the motor vehicle insurance section, **[Confidential - Redacted]** gave evidence that **[Confidential - Redacted]** considers RACI, Suncorp (through its AAMI brand) and IAG to be the three biggest competitors in Western Australia.⁸⁰⁸
 - **[Confidential - Redacted]** gave evidence that while the motoring clubs are generally "less of an issue" in home and contents insurance than in motor insurance, it is different in Western Australia as the motoring club (i.e. RACI) still has a relatively high market share in home and contents insurance. **[Confidential - Redacted]** considers its other key competitors in the supply of home and contents insurance in Western Australia to be AAMI (Suncorp) and **[Confidential - Redacted]**.⁸⁰⁹
 - **[Confidential - Redacted]** gave evidence that **[Confidential - Redacted]**,⁸¹⁰ **[Confidential - Redacted]**.⁸¹¹ **[Confidential - Redacted]**.⁸¹²
- 13.85. As with motor vehicle insurance, the ACCC considers that evidence from third parties reinforces the view of RACI as a strong and effective competitor in the supply of home and contents insurance in Western Australia and highlights the difficulties other insurers would face competing against the merged entity, see paragraph 10.137 above.

Likelihood of entry or expansion

- 13.86. The Parties submit that barriers to entry and/or expansion may exist but reject any contention that the barriers are high enough to foreclose new entry or expansion.⁸¹³

⁸⁰³ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 10, para 16(e). 65005.001.005.0849.

⁸⁰⁴ **[Confidential - Redacted]**; **[Confidential - Redacted]**; **[Confidential - Redacted]**; **[Confidential - Redacted]**.

⁸⁰⁵ **[Confidential - Redacted]**.

⁸⁰⁶ **[Confidential - Redacted]**.

⁸⁰⁷ **[Confidential - Redacted]**.

⁸⁰⁸ **[Confidential - Redacted]**.

⁸⁰⁹ **[Confidential - Redacted]**.

⁸¹⁰ **[Confidential - Redacted]**.

⁸¹¹ **[Confidential - Redacted]**.

⁸¹² **[Confidential - Redacted]**.

⁸¹³ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 82. 65005.001.005.0849.

- 13.87. The ACCC considers that the barriers to entry and expansion into the supply of home and contents insurance are either the same or similar to the barriers to entry and expansion into the supply of motor vehicle insurance (see paragraph 10.142 above).
- 13.88. In particular, the significant regulatory requirements, capital and reinsurance requirements, development of sales channels and claims processes and the marketing costs to establish brand awareness are the same as motor vehicle insurance.⁸¹⁴ While the need to establish repair/replacement networks with home and building repairers and to develop data are similar, these barriers are slightly higher for home and contents insurance and this is because a home and its contents is a more complex asset than a motor vehicle.
- 13.89. While motor vehicle repairs can be undertaken by smash repairers using more standardised processes and parts networks, home repairs are generally bespoke in nature and often require coordination across multiple trades and suppliers over an extended period of time. The nature and scope of any repair work is a function of the property, construction type, location, cause and extent of damage and applicable building standards. Replacement parts are generally not always readily available.⁸¹⁵
- 13.90. In Western Australia in particular, **[Confidential - Redacted]** highlighted particular geographic and logistical factors that affected costs. These factors include the availability and cost of building materials and trades, as well as the impact of the local weather events (such as flooding).⁸¹⁶
- 13.91. The risk assessment for home and its contents is also more complex than that for a motor vehicle. Risk assessment for a home and its contents tends to require different and more extensive data to inform premiums. A new entrant insurer without comparable data may face adverse selection issues in trying to price their risk, in that it might price high risk customers too cheaply and lower risk customers too high compared with other insurers with bigger data sets.
- 13.92. As set out above in detail, Youi is the most recent successful new entrant in the home and contents insurance market in Western Australia. Youi entered in 2009 and currently has a **[Confidential - Redacted]** share in home and contents insurance in Western Australia as at December 2025 (and this was **[Confidential - Redacted]** in June 2025). By way of contrast, it had a **[Confidential - Redacted]** share of motor vehicle insurance in Queensland and **[Confidential - Redacted]** share of home and contents insurance in South Australia as at June 2025.⁸¹⁷
- 13.93. **[Confidential - Redacted]** stated that, to expand in this market, an insurer needed to do a range of things, including increasing marketing spend to increase brand awareness, lowering prices, improving service quality and service perception.⁸¹⁸ **[Confidential - Redacted]** noted that it has commenced efforts over the last 12 months to improve its position but has not seen the market share growth.⁸¹⁹

⁸¹⁴ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, pp. 82-83. 65005.001.005.0849.

⁸¹⁵ **[Confidential - Redacted]**.

⁸¹⁶ **[Confidential - Redacted]**.

⁸¹⁷ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 5, footnote 9. 65005.001.005.0849.

⁸¹⁸ **[Confidential - Redacted]**.

⁸¹⁹ **[Confidential - Redacted]**.

- 13.94. Given the above and taking into account the detailed discussion on the likelihood of entry or expansion in the section on motor vehicle insurance, the ACCC considers, based on the evidence before it, that timely and sufficient entry or expansion in home and contents insurance to constrain the merged entity is not likely. While expansion is more likely than entry, it is still unlikely that existing insurers would be able to expand in a timely and sufficient manner to offset the loss of competition caused by the Acquisition.

Empirical price effect analysis

Overview

- 13.95. As in the motor vehicle insurance empirical analysis section, the Parties submit that empirical price effects analysis demonstrates that the Acquisition is unlikely to substantially lessen competition in the supply of home and contents insurance in Western Australia.⁸²⁰ The Parties submitted empirical analysis including estimates of gross upward pricing pressure indexes (**GUPPIs**), indicative price rises (**IPRs**), and merger simulation in relation to both motor vehicle and home insurance in Western Australia.
- 13.96. As discussed in the motor vehicle insurance price effects section, the ACCC considers that there are significant limitations to empirical price effects analysis and that such analysis is neither determinative of the likely price effects of an acquisition nor of the question of whether an acquisition leads to a substantial lessening of competition. However, as in motor vehicle insurance, while the measures that the ACCC has calculated are **[Confidential - Redacted]** Mr Ockerby's measures, the ACCC considers that these quantitative measures are indicative and not determinative and therefore has not given significant weight to these measures in its single evaluative judgment.
- 13.97. Empirical price effects analysis for the supply of home and contents insurance follows the same structure as the price effects in motor vehicle insurance.

Estimates provided by the Parties

- 13.98. The First and Second Ockerby Reports provided the following estimates for GUPPIs and IPRs:
- **[Confidential - Redacted]**.
 - **[Confidential - Redacted]** linear demand model (without Slutsky symmetry) and the high estimate is the **[Confidential - Redacted]**.⁸²¹
- 13.99. The GUPPI is as set out in the First Ockerby Report with an adjustment for the gross margin.⁸²² The IPR low estimate is from the linear IPR model in the Second Ockerby

⁸²⁰ IAG, *Notification of Acquisition – Accompanying Submission to Notification*, 3 March 2026, p. 74, 65005.001.005.0849; **[Confidential - Redacted]**.

⁸²¹ Isoelastic IPR and GUPPI are from the First Ockerby Report which used gross margins on a net premium basis: IAG, *Jason Ockerby (CEG) Report for Allens regarding IAG's proposed acquisition of RAC Insurance*, 3 March 2026, 65005.001.005.1024. The linear IPR is calculated using gross margins on a gross premium basis from the Second Ockerby Report: IAG, *Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance*, 1 July 2026, 65005.001.022.0044.

⁸²² IAG, *Jason Ockerby (CEG) Report for Allens regarding IAG's proposed acquisition of RAC Insurance*, 3 March 2026, pp. 60, Table 5-9, 65005.001.005.1024. GUPPIs adjusted by multiplying by **[Confidential - Redacted]** for IAG home, and

Report⁸²³ and the high estimate is the isoelastic IPR estimate provided in the First Ockerby Report.⁸²⁴ The above estimates assume a **[Confidential - Redacted]**, gross margins using gross premium, and **[Confidential - Redacted]** of RACI's ability to raise prices.

13.100. The Second Ockerby Report also included the results of linear merger simulation. The report modelled a whole-of-market elasticity of **[Confidential - Redacted]** for home and contents insurance to reflect the availability of an outside option. The estimated price effects from the Acquisition were:

- **[Confidential - Redacted]**.⁸²⁵

13.101. Mr Ockerby's merger simulation results also included different demand specifications for the market demand elasticity of **[Confidential - Redacted]**. This shows price effects varying significantly depending on the demand structure used. Mr Ockerby placed greater weight on the AIDS results as the model Log Linear models results appeared unstable.⁸²⁶

13.102. The submitted results indicated that the degree to which demand curvature matters depends on the inputs. Under the CEG calibration, the AIDS and Linear results were very similar, with AIDS demand **[Confidential - Redacted]** and the RACI price effect **[Confidential - Redacted]** (see Table 10.16, Second Ockerby Report).⁸²⁷

13.103. However, when the comparison is made using ACCC inputs (gross margin and diversion ratios) the price effects and sensitivity to demand structure are much higher. For linear demand, the **[Confidential - Redacted]** and **[Confidential - Redacted]**. Under the AIDS model, price effects for **[Confidential - Redacted]** and **[Confidential - Redacted]**. The overall price effect of the merging firms was **[Confidential - Redacted]** under the AIDS model (see Table 10.17, Second Ockerby Report).⁸²⁸

13.104. The Second Ockerby Report provided estimates of the effect of pricing from the Distribution agreement. A post-merger price effect on RACI home and contents insurance occurs because **[Confidential - Redacted]**.⁸²⁹ The estimated effect for linear demand only were:

- **[Confidential - Redacted]**.

[Confidential - Redacted] for RACI home to adjust for gross margins. No adjustment for the Distribution Agreement was made.

⁸²³ IAG, Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026, p. 72, Table 8-8. 65005.001.022.0044.

⁸²⁴ IAG, Jason Ockerby (CEG) Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 3 March 2026, pp. 35, 61, para. 135, Table 5-10. 65005.001.005.1024. The Isoelastic estimate is based on gross margins using net premiums contained in the First Ockerby Report. The isoelastic IPR will be lower when gross margins are converted to a gross premium basis. However, the ACCC was not able to replicate Mr Ockerby's initial Isoelastic estimate using inputs from Table 5-9, and hence has not updated the Isoelastic IPR.

⁸²⁵ IAG, Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026, p. 103, Table 10-12. 65005.001.022.0044.

⁸²⁶ IAG, Jason Ockerby (CEG) Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 3 March 2026, pp. 504, 506. 65005.001.005.1024.

⁸²⁷ IAG, Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026, p. 107, Table 10-16. 65005.001.022.0044.

⁸²⁸ IAG, Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026, p. 108, Table 10-17. 65005.001.022.0044.

⁸²⁹ **[Confidential - Redacted]** **[Confidential - Redacted]** (the ACCC calculates historical distribution costs are **[Confidential - Redacted]** of GWP – 3-year average). IAG, Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026, pp. 65, 69. 65005.001.022.0044.

13.105. CEG and the Parties submit that an estimated quality-adjusted price effect **[Confidential - Redacted]** would be unlikely to give rise to a substantial lessening of competition.⁸³⁰

Review of the Parties' estimates

13.106. The review of Mr Ockerby's approach to calculating the GUPPIs, IPRs and merger simulation is provided in Annexure A. These include observations made in the Smith report⁸³¹ and are combined with observations made with regard to the motor vehicle insurance empirical price effects.

13.107. The similarity exception is the degree of difference with regard to the market demand elasticity of home and contents insurance. This impacts the assumed percentage of consumers leaving the insurance market following an increase in price. The ACCC considers the appropriate elasticity to be very low (-0.1 to -0.3), as estimated in Tooth (2015) and found in empirical studies.⁸³² This compares to Ockerby's empirical base-case which used an expenditure elasticity estimate of **[Confidential - Redacted]** in the same study.⁸³³ This is discussed further in Annexure A.

ACCC estimates

13.108. The ACCC carried out its own analysis of pricing pressure arising from the Acquisition using its own estimates of gross margins for each party (see Table 6 in Annexure A) and a range of diversion ratios. Given the uncertainty of the inputs and modelling limitations, the ACCC used a range of diversion ratios and gross margin assumptions.

13.109. The ACCC's range of empirical estimates for the GUPPI's and IPRs are:⁸³⁴

- GUPPIs: IAG home and contents insurance **[Confidential - Redacted]**, RACI home and contents insurance **[Confidential - Redacted]**. The range represents the low and high estimates from different sources of diversion ratios and gross margins (+/- 3%) around a central estimate.
- Linear IPRs: IAG home and contents insurance **[Confidential - Redacted]**, RACI home and contents insurance **[Confidential - Redacted]**. The Linear IPR for RACI excludes the price effect from the Distribution Agreement.

13.110. The IPR range represents the maximum range from single sensitivity comparison to the central estimate. Sensitivities include different sources of diversion ratios, a range of gross margins (+/- 3%), a range of market demand elasticities and a lower diversion ratio.⁸³⁵ The estimation tables are contained in full in Annexure A. The

⁸³⁰ **[Confidential - Redacted]**; IAG, Jason Ockerby (CEG) Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 3 March 2026, p. 61, Table 5-10. 65005.001.005.1024.

⁸³¹ ACCC, IAG and RAC Insurance (Report of Patrick Smith, RBB Economics), 22 May 2026, section 3 (Comments on Section 5 of the Ockerby report), pp. 26-42. 65005.001.051.0001.

⁸³² R Tooth, 'Analysis of demand for home and contents insurance' (2015) Insurance Council of Australia, Sapere Research Group.

⁸³³ IAG, Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026, p. 78, Table 9-1. 65005.001.022.0044.

⁸³⁴ This analysis does not include any impact that may or may not occur from the change in control from a member-owned organisation to a for-profit entity post-Acquisition.

⁸³⁵ See J Hausman et al, 'Unilateral effects of mergers with general linear demands' (2011) 111(2) *Economics Letters* 119-121.

range demonstrates the uncertainty around the assumptions necessary for GUPPIs and IPRs.

13.111. In addition, merger simulations were run to compare to Mr Ockerby's estimates. The ACCC found that the results differ according to assumptions on the elasticity of market demand and the model's demand system.⁸³⁶

13.112. The ACCC considers that an elasticity of market demand for home and contents insurance in the range of -0.1 to -0.3 is appropriate, whereas the Second Ockerby report uses a central assumption of **[Confidential - Redacted]**.⁸³⁷ The large difference is due to the use of an insurance expenditure elasticity, rather than price elasticity (allowing a decrease in coverage rather than exiting the market). Tooth (2015), a study on which Mr Ockerby relied, estimated participation elasticities for home insurance of -0.06 and for contents insurance of -0.191 for homeowners.⁸³⁸ Central to the finding of very low elasticities is that 96% of Australian households have house insurance. The results for the ACCC calibration were:⁸³⁹

- Market-wide elasticity -0.2: Linear demand specification estimated a weighted average price rise for RACI and IAG of **[Confidential - Redacted]**, while the AIDS specification estimated a weighted average price rise of **[Confidential - Redacted]** (See Annexure A, Table 18).
- Market-wide elasticity -1.34: Linear demand specification estimated a weighted average price rise for RACI and IAG of **[Confidential - Redacted]**, while the AIDS specification estimated a weighted average price rise of parties of **[Confidential - Redacted]** (See Annexure A, Table 16).

13.113. The results show that price effects increase when the market demand elasticity is smaller. This is due to the market elasticity creating a smaller outside option in the model. Price effects are also larger for the AIDS demand specification. These results have not included any effect from the Distribution Agreement. The ACCC considers that to the extent a higher market elasticity serves to mitigate the estimated price effects of the Acquisition, it would tend to increase the output effects.

13.114. While the measures that the ACCC has calculated **[Confidential - Redacted]** than Mr Ockerby's measures, the ACCC considers that these quantitative measures are indicative and not determinative and therefore has not given significant weight to these measures in its single evaluative assessment.

⁸³⁶ The ACCC gross margins are contained in Annexure A, Table 1. Diversion ratio is CBaiQ September 2024 to August 2025 (IAG, Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026, p. 80, Table 9-4. 65005.001.022.0044).

⁸³⁷ **[Confidential - Redacted]**; IAG, Jason Ockerby (CEG) Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 3 March 2026, p. 78, para 422. 65005.001.005.1024.

⁸³⁸ R Tooth, 'Analysis of demand for home and contents insurance' (2015) Insurance Council of Australia, Sapere Research Group. Note: A participation elasticity is the same as a demand elasticity when the population is fixed. An elasticity of -0.06 means that a 10% increase home insurance premium, leads to 0.6% of home owners deciding to not insure their house.

⁸³⁹ The ACCC gross margins are contained in Annexure A, Table 1. Diversion ratios used are CBaiQ September 2024 to August 2025 (IAG, Jason Ockerby (CEG) Reply Report for Allens regarding IAG's proposed acquisition of RAC Insurance, 1 July 2026, p. 80, Table 9-4. 65005.001.022.0044).

13.115. As in the motor vehicle insurance empirical section, the ACCC calculated the effect on RACI home and contents insurance pricing from the commission to RAC incorporated in the Distribution Agreement:⁸⁴⁰

- Linear demand: RACI home and contents insurance **[Confidential - Redacted]**.
- Isoelastic demand: RACI home and contents insurance **[Confidential - Redacted]**.

Evaluation of two sets of estimates

13.116. The main reasons for differences in estimates in the Second Ockerby Report and the ACCC estimates are discussed in Annexure A and mirror the reasons for the differences in estimates in the motor vehicle insurance price effects analysis.

Conclusion

13.117. The ACCC has considered the effects of the Acquisition by comparing the likely future state of competition if the Acquisition proceeds against the likely future state of competition if the Acquisition does not proceed.

13.118. On the evidence before it, the ACCC is satisfied that the Acquisition, if put into effect, would, in all the circumstances, have the effect or be likely to have the effect, of substantially lessening competition in the market for the supply of home and contents insurance in Western Australia.

13.119. The ACCC's view is based on the following findings:

- The Acquisition would result in a substantial increase in IAG's market share and a significant increase in market concentration, combining the leading supplier (RACI) of home and contents insurance with the third largest insurer (IAG).
- IAG and RACI both have strengths which make them effective competitors in the supply of home and contents insurance in Western Australia, with RACI holding a dominant competitive position in Western Australia.
- IAG and RACI are likely to continue to be effective competitors and have a strong ability and incentive to compete if the Acquisition does not proceed. In the short to medium term, RACI is likely to continue to compete vigorously. **[Confidential - Redacted]**.⁸⁴¹ **[Confidential - Redacted]**.
- The Acquisition would eliminate the competitive pressure that RACI and IAG exert on each other.
- The loss of competition between IAG and RACI is likely to have a meaningful effect on the process of competition in the supply of home and contents insurance in Western Australia, as other actual and potential insurers in the market are unlikely to provide a sufficient competitive constraint.

13.120. In reaching these findings, the ACCC has had regard to information and documents from the Parties, as well as third party material.

⁸⁴⁰ **[Confidential - Redacted]**; **[Confidential - Redacted]**; **[Confidential - Redacted]**.

⁸⁴¹ **[Confidential - Redacted]**.

14. Remedy offer

- 14.1. On 1 July 2026, IAG made a remedy offer that it contended would address the ACCC's competition concerns as identified in the NOCC (the **Initial Offer**). On 28 July 2026, IAG provided a draft section 87B undertaking to give effect to the Initial Offer (the **Proposed Undertaking**). The Initial Offer and the Proposed Undertaking are referred to collectively in this section as the **Remedy Offer**. The Remedy Offer places obligations on IAG to, for five years:
- a) not amend specified clauses of the Distribution Agreement without ACCC approval;
 - b) not offer, require, request or seek to rely on certain exclusivity terms with smash repair service providers in Western Australia;
 - c) not own or control repair service facilities in Western Australia subject to exceptions or ACCC approval;
 - d) comply with certain supporting commitments.
- 14.2. IAG submits that these obligations should give the ACCC additional comfort that the Acquisition will not have the effect or likely effect of substantially lessening competition.⁸⁴²
- 14.3. On the basis of the evidence before it, the ACCC does not consider that the Remedy Offer addresses the likely competitive harm arising from the Acquisition. That harm is substantial and arises from a significant structural change in relation to the supply of motor vehicle insurance and home and contents insurance in Western Australia. Post-Acquisition, there would be insufficient competitive constraints on IAG in the supply of motor vehicle insurance and home and contents insurance in Western Australia. The behavioural and time-limited nature of the obligations contained within the Remedy Offer do not provide an adequate remedy to resolve the significant competitive harm.

Assessment of the Remedy Offer

- 14.4. When considering whether a remedy may be appropriate, the ACCC tests the likely effectiveness of the remedy in addressing the competitive harm likely to result from the acquisition. This includes the nature and extent of the competitive harm and scope of the remedy, as well as other relevant considerations regarding how difficult a remedy would be to administer, the ability of the undertaking signatory to deliver the required outcomes, monitoring and compliance costs, and any risk associated with the implementation of a remedy (or failure to do so).
- 14.5. In assessing whether the Remedy Offer is likely to address the competitive harm likely to arise from the Acquisition, the ACCC has taken into account submissions made by IAG⁸⁴³ and feedback provided by market participants as part of the ACCC's consultation process. The ACCC placed the Initial Offer on the Acquisitions Register and accepted submissions for 9 business days from 8 July 2026. The ACCC placed

⁸⁴² [Confidential - Redacted].

⁸⁴³ [Confidential - Redacted]; [Confidential - Redacted] attaching IAG, *July 2026 Letter to the ACCC regarding Proposed Undertaking – Annexure A: Formal commitments offer*, 7 July 2026. 65005.001.061.0004 and [Confidential - Redacted]; [Confidential - Redacted]; IAG, *Proposed Undertaking to the ACCC pursuant to section 87B of the Act (Draft)*, 28 July 2026. 65005.001.061.0267.

the Proposed Undertaking on the Acquisitions Register and accepted submissions for 5 business days from 28 July 2026.

Behavioural nature of the Remedy Offer

- 14.6. The ACCC considers that the principal limitation of the Remedy Offer is that it is behavioural in nature and does not address the significant structural changes arising from the Acquisition. While behavioural obligations may, in some circumstances, address particular competition concerns, the ACCC considers the Remedy Offer is unlikely to replicate the competitive pressure that IAG and RACI impose on each other.
- 14.7. As outlined in the ACCC's merger remedies guidance and chapter 9 of the ACCC's interim Merger Process Guidelines, the ACCC has a strong preference for structural remedies.⁸⁴⁴ Structural remedies can provide an enduring remedy to competition concerns and also benefit from relatively low monitoring and compliance costs. In contrast to structural remedies which bring about permanent structural change, behavioural remedies are often only effective while the behavioural obligations remain in effect and the parties act in accordance with those obligations (for example, the parties do not seek to circumvent the obligations such that the remedy fails to achieve its objectives).
- 14.8. The Remedy Offer proposes to regulate IAG's conduct through behavioural obligations and in particular, compliance with the Distribution Agreement, which do not address the structural change brought about by IAG acquiring a significant competitor in the supply of both motor vehicle insurance and home and contents insurance in Western Australia. A consistent theme in submissions is that the commitments in the Remedy Offer would not replace the loss of competition between IAG and RACI or protect consumers and smash repair service providers from competitive harms arising from the Acquisition.⁸⁴⁵
- 14.9. The Remedy Offer has a limited duration of five years from the date the Acquisition is completed, unlike the enduring nature of the structural change to the market brought about by the Acquisition. The limited term of the Remedy Offer, where the competitive effect of the Acquisition would be enduring, is a concern that was also repeatedly raised by market participants.⁸⁴⁶
- 14.10. Further, as a behavioural undertaking, monitoring and implementation risks should be considered. The Remedy Offer attempts to make IAG behave in a manner that is inconsistent with its own interests, particularly as the largest supplier of both motor vehicle insurance and home and contents insurance in Western Australia post-Acquisition. Even with careful consideration by the ACCC, and independent auditing of compliance, there remains a risk that the obligations contained within the Remedy Offer are not or cannot be appropriately specified such that ambiguities could be exploited by IAG post-Acquisition.

⁸⁴⁴ See ACCC, [Merger process guidelines – interim version](#), 3 December 2025; ACCC, [Remedies to address concerns with an acquisition](#) (website).

⁸⁴⁵ See, for example, Motor Trade Association of Western Australia (MTAWA), *Submission on Remedy Offer*, 22 July 2026, p. 6. 65005.001.044.0627. The ACCC also received a number of other submissions from repairers which supported this view.

⁸⁴⁶ See, for example Motor Trade Association of Western Australia (MTAWA), *Submission on Remedy Offer*, 22 July 2026, p. 8. 65005.001.044.0627. The ACCC also received a number of other submissions from repairers and insurers which supported this view.

The specific obligations in the Remedy Offer

- 14.11. In addition to the behavioural nature of the Remedy Offer, the ACCC has considered the effectiveness of the specific obligations contained in the Remedy Offer in addressing the competitive harm arising from the Acquisition. That consideration is set out below in respect of key obligations.
- 14.12. The ACCC considers that, in general, the Remedy Offer is limited and complex. In particular, it contains qualified obligations on the Parties, exceptions to obligations on the Parties, and obligations imposed on the ACCC.

Competitiveness and benchmarking provisions

- 14.13. The Remedy Offer contains obligations that IAG must not amend specified clauses of the Distribution Agreement, except as agreed between the parties and approved by the ACCC. The clauses are:
- a) clause 8.4 (Most favoured nation principle);
 - b) clause 8.5 (Price competitiveness);
 - c) clause 8.6 (Competitiveness benchmarking and review);
 - d) clause 32.1 (Termination rights exercisable from the Commencement Date);
 - e) clause 32.2(a), (b), (c), (d), (e), (f), (h) (Termination rights exercisable from 8 years after the Commencement Date);
 - f) clause 32.5 (Obligations on termination);
 - g) Schedule 3 (Product Pricing and Design Principles); and
 - h) Schedule 4 (Competitiveness Assessment Process).
- 14.14. IAG submits that these obligations are intended to give the ACCC additional comfort regarding the ACCC's preliminary concern that IAG would be able to profitably reduce quality or raise prices (or both) in the supply of motor vehicle insurance or home and contents insurance in Western Australia by preserving certain contractual obligations and by providing an additional layer of ACCC oversight and enforceability in relation to those obligations for at least a period of five years.⁸⁴⁷
- 14.15. As set out in paragraphs 10.91 to 10.104 above, the ACCC considers that the Distribution Agreement is unlikely to provide an adequate constraint on IAG's conduct in relation to the supply and pricing of RAC branded motor vehicle insurance and home and contents insurance products post-Acquisition.
- 14.16. The ACCC notes that it also expressed concern in paragraph 10.104 regarding the ability of the parties to amend the Distribution Agreement as well as the fact that aspects are still in draft and subject to negotiation between the parties (including Schedules 3 and 4).
- 14.17. The ACCC considers that the obligations in the Remedy Offer to not amend certain clauses of the Distribution Agreement except as agreed between the parties and approved by the ACCC, help address the ACCC's specific concerns with those provisions but not the ACCC's underlying concerns with the limited nature of the obligations.

⁸⁴⁷ [Confidential - Redacted].

- 14.18. The ACCC has considered submissions from market participants, which raised concerns with the obligations. These included concerns with respect to the unclear and limited nature of the terms in the Distribution Agreement and the consequences for non-compliance, the fact that key termination rights are not exercisable until 8 years after completion, as well as the reliance on contractual, monitoring and dispute resolutions processes.⁸⁴⁸
- 14.19. The ACCC considers that the obligations do not remedy the inadequate nature of the constraint offered by the Distribution Agreement.

Smash repair service terms commitment

- 14.20. The Remedy Offer contains obligations prohibiting IAG from offering, requiring, requesting or seeking to rely on or enforce, certain exclusivity and other restrictions affecting smash repair service providers in Western Australia.
- 14.21. The Parties submit that the smash repair service terms commitment addresses the ACCC's preliminary concerns that the Acquisition could result in IAG:
- a) being able to foreclose or partially foreclose rival insurers' access to quality and cost-effective repairs or otherwise increase rivals' costs of acquiring repair services to service their insurance contracts with customers; and
 - b) gaining the ability to reduce prices and quality of smash repair services in Western Australia and/or certain regions of Western Australia.⁸⁴⁹
- 14.22. As set out in Section 11, the ACCC is not satisfied that the Acquisition would give rise to vertical effects to the point of substantially lessening competition in the supply of motor vehicle insurance in Western Australia. However, for completeness, the ACCC considers that, while the Remedy Offer includes some protections for smash repair service providers from certain exclusivity and other restrictions, it does not clearly address all the ways that the merged entity may be able to influence repairers so they favour IAG work over work requested by rival insurers. For instance, market participants identified that IAG would still be in a position to reduce future work allocation to repairers who undertake significant work for competing insurers.⁸⁵⁰
- 14.23. Further, as set out in Section 12, the ACCC is not satisfied that the Acquisition would substantially lessen competition in markets for the acquisition of smash repair services in certain regions of Western Australia. However, for completeness, the ACCC considers that the Remedy Offer does not address a range of potential impacts identified by market participants that may arise from increased buyer power as IAG could circumvent aspects of the remedy.⁸⁵¹

Repair services facilities commitment

- 14.24. The Remedy Offer contains obligations prohibiting IAG from owning or controlling repair service facilities in Western Australia, subject to exceptions.

⁸⁴⁸ See, for example Motor Trade Association of Western Australia (MTAWA), *Submission on Remedy Offer*, 22 July 2026, pp. 5-6. 65005.001.044.0627. The ACCC also received a number of other submissions from repairers which supported this view.

⁸⁴⁹ [Confidential - Redacted].

⁸⁵⁰ See, for example, Motor Trade Association of Western Australia (MTAWA), *Submission on Remedy Offer*, 22 July 2026, p. 6. 65005.001.044.0627. The ACCC also received a number of other submissions from repairers which supported this view.

⁸⁵¹ See, for example, Motor Trade Association of Western Australia (MTAWA), *Submission on Remedy Offer*, 22 July 2026, p. 4. 65005.001.044.0627.

- 14.25. IAG submitted that the repair services facilities commitment is intended to complement the smash repair services terms commitment and address the ACCC's preliminary concern that the Acquisition could result in IAG being able to foreclose or partially foreclose rival insurers' access to quality and cost-effective repairers or otherwise increase rivals' costs of acquiring repair services to service their insurance contracts with customers.⁸⁵²
- 14.26. The ACCC notes that some market participants expressed concerns that exceptions to the commitment could undermine its effect, and that market participants were not able to comment on the detail of exceptions due to IAG claiming them as confidential.⁸⁵³
- 14.27. The ACCC considers that, while the obligations include some protections from IAG owning or controlling repair services facilities, exceptions to the obligations may reduce their potential effectiveness. **[Confidential - Redacted]**.
- 14.28. **[Confidential - Redacted]**.

Supporting commitments

- 14.29. The Remedy Offer contains supporting obligations on IAG including:
- a) giving notice to smash repair services providers in Western Australia of the Remedy Offer;
 - b) maintaining a register of terms IAG offers to and agrees with smash repair services providers in Western Australia;
 - c) establishing, maintaining and following a repair services complaints handling process for smash repair service providers in Western Australia, and
 - d) complying with the Motor Vehicle Insurance and Repair Industry Code of Conduct when engaging with smash repair service providers in Western Australia.
- 14.30. The Parties submit that the supporting commitments are intended to ensure that the smash repair service terms commitment and the repair service facilities commitment are effective in practice and capable of enforcement.
- 14.31. Market participants expressed particular concerns that the complaints process would not be administered by an independent body and that relevant parties may be reluctant to use it for fear of damaging an important commercial relationship or retaliation.⁸⁵⁴
- 14.32. The ACCC does not consider that the supporting commitments strengthen the obligations in the Remedy Offer such that they overcome the ACCC's concerns with the specific obligations set out above (or the fundamental issues with the behavioural nature of the Remedy Offer).

⁸⁵² **[Confidential - Redacted]**.

⁸⁵³ See, for example, Motor Trade Association of Western Australia (MTAWA), *Submission on Remedy Offer*, 22 July 2026, p. 7. 65005.001.044.0627.

⁸⁵⁴ See, for example, Motor Trade Association of Western Australia (MTAWA), *Submission on Remedy Offer*, 22 July 2026, pp. 4, 7. 65005.001.044.0627. The ACCC also received a number of other submissions from repairers which supported this view.